



Advanced COR Workshop

Handout Pack



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SA 1-1: Performance-Based Acquisition

Objectives

- Distinguish between PBA and non-PBA
- Discuss the benefits of PBA

Instructions

Read the scenario and answer the questions that follow. Be prepared to discuss your responses.

Scenario

It's another beautiful day at the Bureau of Banking Inspection and Audit. Today you, along with the other members of the BBIA information technology operations and maintenance (IT O&M) acquisition team, attended a kickoff meeting for a new acquisition. During this meeting, the IT Division Chief, Paul Price, spoke about the current contract and gave the team his goals for the new O&M contract.

Mr. Price stated he was only minimally satisfied with the current contract and the performance of the contractor. He described numerous occasions when users called the helpdesk and their calls were not answered. Users also complained that when they sent emails or left voice messages with the helpdesk, their calls were not returned or were returned several hours later. When users were able to establish contact with the helpdesk, their issue(s) were often not resolved for several days. During this time, users were unable to accomplish their work assignments.

Additionally, the network systems and servers were often down, causing, in many cases, organization-wide outages. This was especially troublesome to employees working from remote locations since it impacted their ability to accomplish and document their audits or inspections. In some cases, it took the contractor several hours or days to re-establish the service. On three occasions, several weeks of audit and inspection data was lost because either the contractor had not backed up the system or was not able to restore the data.

Also, customers complained that when their computer hardware or peripherals required maintenance, it often took a week or more for repair and replacement. Loaner equipment was available as a temporary replacement but it normally took one or two days for the contractor to configure and provide the equipment.

Mr. Price was especially frustrated that, due to the wording in the statement of work, the contractor was delivering the level of service required but the service provided was not meeting the BBIA's mission requirements. Mr. Price stated, "while I am unhappy with performance of the current contract, it's difficult to put the total blame on the contractor. They were doing what we told them to do in the statement of work but maybe we were not asking for the right things. We expended a lot of effort to ensure all of the requirements of the contract were met but that had little bearing on the success of our mission."

Mr. Price stated that he wants the new contract to provide quality, responsive IT O&M support that ensures operational computer hardware and peripherals, software support, reliable network availability,

absolute data assurance, and accurate equipment accountability—all of which will enable BBIA to meet its mission.

Mr. Price has budgeted \$30 million over five years for this acquisition. He stated “the bureau’s information technology systems, and their availability and protection, are extremely important to our mission so I don’t mind spending a little extra for the best quality solution.”

Mr. Price gave the team eight top-level goals:

- Centralized contractor support managed by a single contractor
- A responsive, centralized helpdesk that can diagnose and solve trouble calls
- Immediate response or a timely call back to customers
- Operable computer equipment and peripherals, software, and network connectivity for all customers
- Operable databases and web pages
- Timely repairs and services restored within hours not days
- Absolute data assurance and protection from intrusion or virus. Ensure no data compromise or loss.
- Accurate inventory of all agency IT assets maintained in an automated asset management system

At the end of the meeting, Mr. Price tasked the team to make recommendations on how best to acquire this service. He is hoping to make this a performance-based acquisition but he is not familiar with the aspects of PBA. He asked how PBA would be different than the current contract and if PBA should be used for this acquisition.

Questions

1. Summarize the performance issues that are happening under the current contract.
2. Why might the customers be so dissatisfied with the contract even though the contractor is following contract requirements?

5. What other advice will your team provide to improve performance under the new contract?

SA 1-2: Market Research Report

Name: _____

This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. This is an **individual assignment**. Do not work in your teams.

Objectives

- Analyze relevant market information to understand the marketplace and identify possible sources
- Recommend acquisition strategies to ensure that supplies and services are available when needed to meet mission requirements

Instructions

Paul Price, the IT Division Chief agreed that PBA would address the concerns he had with the current operations and maintenance contract. He wants to use PBA for the new contract. Now, Mr. Price would like for you to document the market research to identify potential sources and market information for use in acquisition planning.

Prepare the market research report using the attached template and the market research information from the pre-class assignment. Be prepared to discuss your responses.

Market Research Report

1. Purchase Request (PR) #: 1234-XX-USG-BBIA-007.
2. Title/Description: Information Technology Services.
This is a requirement to provide a full range of services to ensure continuous computer systems and network availability for BBIA headquarters and regional offices. The services required include, but are not limited to, helpdesk, system administration, and hardware repair services.
3. Product or Service Code (PSC): J070
4. North American Industry Classification System (NAICS) code: 541513
5. Budgeted amount (including options): \$30,000,000
6. In accordance with *Federal Acquisition Regulation* (FAR) Part 10, market research has been conducted for this acquisition. The following techniques were used: (*check all that apply*)
 - a) Review of recent market research results for similar or identical supplies/services.
 - b) Personal knowledge in procuring supplies/services of this type.
 - c) Contact with the requester and/or other knowledgeable people in government and industry about the commercial nature of this requirement and standard industry practices.
 - d) Publication of a formal request for information.
 - e) Publication in appropriate technical journals.
 - f) Review of government and/or commercial databases.
 - g) Review of Internet resources.
 - h) Source lists for identical or similar items obtained from government, professional, and/or industry sources.
 - i) Review of catalogs and other generally available product literature.

- j) Pre-solicitation conferences with potential offerors.
 - k) Other:
7. On the basis of the results of the above research, it is determined that this service: *(check only one)*
Provide a justification for your selection in the space below.
- a. ☐ **Can** be provided as a commercial item.
- OR
- b. ☐ **Cannot** be provided as a commercial item.

8. What tasks are typically provided in the marketplace for help desk services?

9. What tasks are typically provided in the marketplace for systems administration?

10. What tasks are typically provided in the marketplace for deskside support?

11. What tasks are typically provided in the marketplace for information security services?

12. What tasks are typically provided in the marketplace for asset management?

13. Performance incentives (e.g., award fee, award term, incentives, disincentives) used in information technology services acquisitions.

14. Contract type. (*Hint: FAR 12.207 limits commercial item contracts to firm-fixed-price and fixed-price with economic price adjustment. Time-and-materials and labor-hour contracts are permitted under limited conditions.*)

Recommended contract type:

Justification:

15. Socioeconomic programs: If market research has demonstrated that this requirement can be met by small businesses, fill in the table below with the company name and type of small business (small, veteran-owned service-disabled, small disadvantaged, women-owned, etc.):

Company Name	Type of Small Business

16. Source Selection Process: If competition is involved, how will award be made?
- a. ☐ Lowest price technically acceptable
 - b. ☐ Price/technical tradeoffs
- Justification:

- 17.a. ☐ **The market research is adequate to proceed.**

OR

- b. ☐ **Additional market research is necessary before this report can be submitted.** If this item is checked, indicate the weakness in the current market research that must be corrected. State the nature of the additional research to be conducted and indicate when it will be completed. A procurement CANNOT be initiated if the market research is not adequate to proceed.

Report by:

Signed: _____ **Date:** _____

(COR)

Accepted:

Signed: _____ **Date:** _____

(Contracting Officer)

Signed: _____ **Date:** _____

(Program Manager or User)

SA 2-1: Job Analysis

Team Name _____

Team Members (First and Last Names)

_____	_____
_____	_____
_____	_____

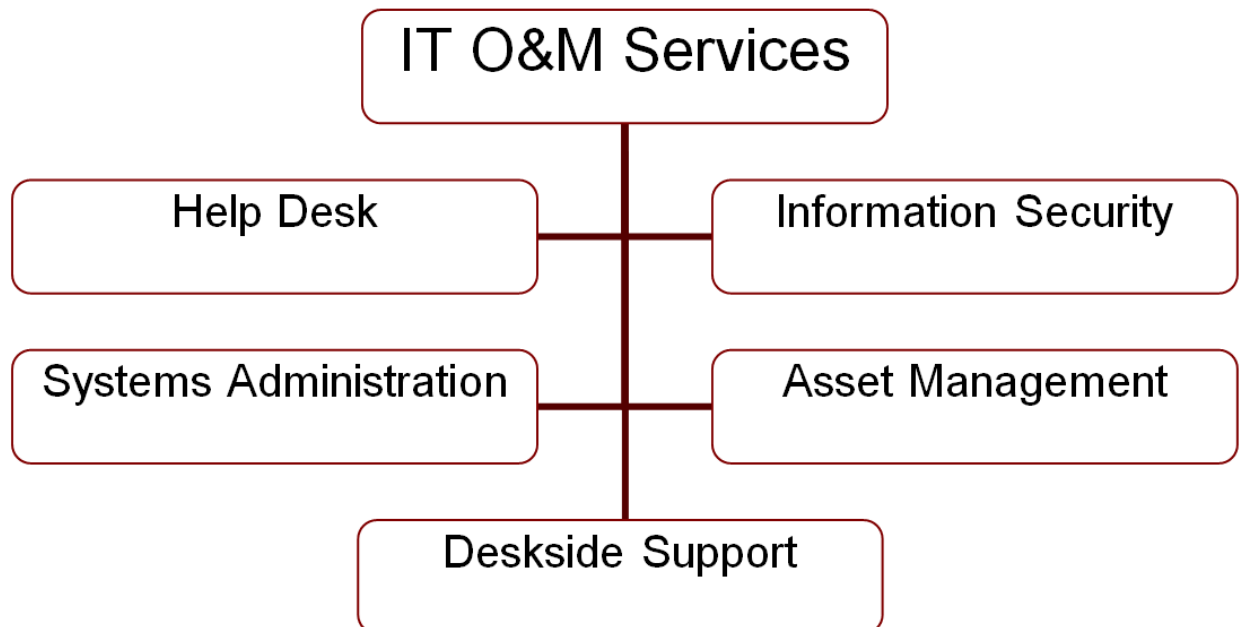
This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. All team members will receive the same grade.

Objective

Construct a job analysis for the IT support services requirement.

Instructions

A few days later at the next acquisition planning meeting, your team presented the results of your market research and acquisition planning advice to Mr. Price. He was very pleased with the information and your advice on how best to conduct the acquisition. He agrees that this should be a performance-based service acquisition. However, before proceeding further he would like the team to perform a job analysis to better define the requirement and report the results back to him. Mr. Price has identified the top level of support he believes is required for IT operations and maintenance support:



Using the information from your market research report and your knowledge of the requirement, conduct a job analysis for your assigned task. Be prepared to brief your responses to the IT Division Chief.

Teams & Assigned Tasks

Team	Assigned Task
Team 1	Help Desk
Team 2	Systems Administration
Team 3	Deskside Support
Team 4	Information Security
Team 5	Asset Management
Team 6	Help Desk

1. Prepare a tree diagram to illustrate the subparts of your team's assigned task. Draw your expanded tree diagram in the space provided below.

2. Using the tree diagram, conduct an activity analysis. Use the following activity analysis worksheet. Identify the input, work, and output for each part and subpart depicted in your tree diagram. Also decide which output(s) will be included in the PWS.

Activity Analysis

Activity/Block Number	Input	Work	Output	Include in PWS? Y/N

3. Based on your activity analysis, conduct a performance analysis. Using the PRS worksheet on the next page, list the performance indicators, standards, and AQLs for each required service (output) **that will be included in the PWS**.
 - a) Identify the method(s) of surveillance that you will use to monitor the contractor's performance
 - b) What information would you need to calculate a deduct percentage for the job?
 - c) Could you use a performance incentive (award fee or award term) in this case? Why or why not?
 - d) If your answer to question c) above is "yes", what would be your method of calculating the amount of the incentive?

Performance Requirements Summary

Required Service	Performance Indicator	Performance Standard	Acceptable Quality Level	Method(s) of Surveillance	Monthly Deduction if AQL is not met (as applicable)

4. Review your preliminary performance requirements summary and finalize.

a) How did you decide on the performance indicators, standards, and acceptable quality levels?

b) Why did you choose the method of surveillance?

SA 2-2: Performance Work Statement and Quality Assurance Surveillance Plan

Team Name _____

Team Members (First and Last Names)

_____	_____
_____	_____
_____	_____

This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. All team members will receive the same grade.

Objective

Complete the performance work statement and quality assurance surveillance plan.

Instructions

Your performance analysis briefing was well received. Mr. Price approved the performance analysis and thanked the team for a job well done. He asked the team to prepare a draft PWS and QASP.

Using your team job analysis and Performance Requirements Summary and the attached draft PWS, finalize the PWS by completing the following for **your assigned task only**:

- Section 5, Specific Tasks
- Technical Exhibit 1, Performance Requirements Summary*
- Technical Exhibit 2, Required Reports

* For the PRS in Technical Exhibit 1, you should refine what you came up with in the Job Analysis assignment. Improving on your first PRS draft is not only realistic, but also will help demonstrate a higher level of analysis on the Questionnaire Rubric.

Be prepared to discuss your responses.

Draft Performance Work Statement: Information Technology Operations and Maintenance Services

Section 1 General Information

1.1 Background

1.1.1 Organization Overview. The Bureau of Banking Inspection and Audit (BBIA) is an organization tasked with regulating, inspecting, and auditing financial institutions to ensure a safe, sound, and competitive banking system that supports both its customers and the national economy. The BBIA consists of approximately 2,500 auditors and 500 staff personnel located at the BBIA headquarters facility in Washington DC.

1.1.2 BBIA Network. The BBIA headquarters server room houses 7 Microsoft Active Directory domain controllers, 6 Microsoft Exchange mail servers (2 front-end and 4 back-end), 5 mobile services servers for

mobile phones, 5 Microsoft SQL database servers, 3 Network-attached Storage (NAS)/Storage Area Networks, 2 Microsoft WUS/SUS network/systems servers, 5 Microsoft print servers, 10 Microsoft applications servers, 5 ARC back-up servers with 10 tape drives, 2 spam fire walls, 2 Proxy servers, 15 Wireless access points, 10 Multi-point routers, 50 switches (48 points each), and 3 Windows 10 remote access network servers.

1.1.3 IT Equipment. BBIA has approximately 1,320 portable and 700 desktop computers running the Windows 10 operating system and commercial off-the-shelf (COTS) applications (see Technical Exhibit 3). Approximately 70% of the users travel extensively with their notebook computers. BBIA also repairs most computers and peripherals “in-house”.

1.2 Scope of Work

BBIA requires information technology operations and maintenance services to support users, hardware, software, and network equipment to include network servers, personal computers (PCs), printers, portable computers, LAN/WAN hardware/software and other miscellaneous IT equipment. This PWS requires performance of services to analyze, implement, install, evaluate, document, integrate, and provide support to end users.

1.3 Contractor Personnel

1.3.1 Project Manager. The contractor must provide a project manager who is responsible for the performance of the work. The name of this person, and an alternate(s) who must act for the contractor when the manager is absent, must be designated in writing to the contracting officer.

1.3.1.1 The project manager or alternate must have full authority to act for the contractor on all contract matters relating to the daily operation of this contract.

1.3.1.2 The project manager or alternate must be available during normal business hours within 30 minutes to meet with government personnel (designated by the contracting officer) to discuss problem areas. After normal business hours, the manager or alternate must be available within four hours.

1.3.1.3 The project manager and alternate(s) must be able to read, write, speak, and understand English.

1.3.2 Contractor Employees. The contractor must not employ persons for work on this contract if such employee is considered by the contracting officer to be a potential threat to the health, safety, security, general well-being, or operational mission of the installation and its population.

1.3.2.1 Contractor personnel must present a neat appearance and be easily recognized as contractor employees. BBIA badges must be worn when inside any BBIA facility.

1.3.2.2 The contractor must not employ any person who is an employee of the U.S. Government if employing that person would create a conflict of interest. Additionally, the contractor must not employ any person who is an employee of the BBIA, unless such person seeks and receives approval according to BBIA ethics regulations.

1.3.3 Security Requirements. Contractor will not be required to access classified information. All information will be unclassified; however, some financial information will be sensitive. Specific security requirements are listed in the contract additional terms and conditions addendum.

1.3.4 Employee Training. The contractor is responsible for providing personnel of an adequate skill and educational level. Personnel must maintain their skill and education levels throughout the life of the contract. Personnel selected by the contractor must already have the necessary education, training and/or certifications to perform the requirements of this contract prior to reporting to work under this contract.

1.4 Quality Control

The contractor must ensure that services are performed in accordance with the PRS.

1.4.1 Quality Control Plan. The contractor must provide a quality control plan to the contracting officer for acceptance not later than the pre-performance conference. The contracting officer will notify the contractor of acceptance or required modifications to the plan before the contract start date. The contractor must make appropriate modifications and obtain acceptance of the plan by the contracting officer before the contract start date. The plan must include:

1.4.1.1 A description of the inspection system to cover all services listed on the performance requirements summary (PRS). The description must include specifics as to the areas to be inspected on both a scheduled and unscheduled basis, frequency of inspections, and the title and organizational placement of the inspectors. Additionally, control procedures for any government-provided keys or lock combinations must be included.

1.4.1.2 A description of the methods to be used for identifying and preventing defects in the quality of service performed.

1.4.1.3 A description of the records to be kept to document inspections and corrective or preventive actions taken.

1.4.2 Records. The records of inspections must be kept and made available to the contracting officer, when requested, throughout the contract performance period and for the period after contract completion until final settlement of any claims under this contract.

1.5 Quality Assurance

According to the Inspection of Services clause located in the in contract additional terms and conditions addendum, the government will evaluate the contractor's performance under this contract. For those tasks listed on the PRS (Technical Exhibit 1), the contracting officer's representative (COR) will follow the methods of surveillance specified in Quality Assurance Surveillance Plan (QASP). Government personnel will record all surveillance observations. When an observation indicates defective performance, the COR will require the project manager or representative at the site to initial the observation. The initialing of the observation does not necessarily constitute concurrence with the observation, only acknowledgment that he or she has been made aware of the defective performance. Government surveillance of tasks not listed in the PRS or by methods other than those listed in the PRS (such as provided for by the Inspection of Services clause) may occur during the performance period of this contract. Such surveillance will be done according to standard inspection procedures or other contract provisions. Any action taken by the contracting officer as a result of surveillance will be in accordance with the terms of this contract.

1.5.1 Contract Performance Working Group (CPWG) Meetings. The contractor and government will convene quarterly CPWS meetings to review contract performance. The members of the CPWG will include, as a minimum, the contractor project manager, the government contracting officer, the COR, and additional members as determined by the CPWG. The CPWG will discuss such issues as the contractor's performance against the PRS standards and whether they are meeting or exceeding acceptable quality levels, whether performance standards are measuring and incentivizing the right performance outcomes, any changes that need to be made to performance standards or acceptable quality levels, any problems affecting contract/mission performance and steps that can be taken to mitigate risk, other topics as determined by CPWG members. Written minutes of each CPWG meeting must be recorded and signed by the project manager and the contracting officer or contract administrator. If the contractor does not concur with any portion of the minutes, such nonconcurrence must be provided in writing to the contracting officer within five calendar days following receipt of the minutes.

1.6 Physical Security

The contractor must be responsible for safeguarding all government property provided for contractor use. At the end of each work period, all government property, equipment and materials must be secured.

1.6.1 Key Control. The contractor must establish and implement methods of making sure all keys issued to the contractor by the government are not lost or misplaced and are not used by unauthorized persons. The contractor must not duplicate any keys issued by the government.

1.6.1.1 The contractor must immediately report to the COR or contracting officer any occurrences of lost or duplicated keys.

1.6.1.2 The contractor must prohibit the use of keys issued by the government by any persons other than the contractor's employees. Opening of locked areas by contractor employees to permit entrance of persons other than contractor employees engaged in performance of contract work requirements in those areas is prohibited.

1.7 Hours of Operation

1.7.1 Normal Hours of Operation. The contractor must perform the services required under this contract Monday through Friday from 6:00 AM Eastern Time to 10:00 PM Eastern Time. The contractor must provide services regardless of inclement weather or office closings and early dismissals, unless otherwise approved by the COR.

1.7.2 Federal Holidays. Contractor services will not be required on the following federal holidays: New Year's Day, Martin Luther King's Birthday, President's Day, Memorial Day, Independence Day, Labor Day, Columbus Day, Veterans' Day, Thanksgiving, and Christmas Day.

1.8 Records

The contractor must be responsible for creating, maintaining, and disposing of only those government required records that are specifically cited in this PWS or required by the provisions of a mandatory directive listed in section 6, Applicable Publications and Forms. If requested by the government, the contractor must provide the original record or a reproducible copy of any such record within five working days of receipt of the request.

Section 2 Definitions and Acronyms

2.1 Definitions

2.1.1 Contractor. A supplier or vendor having a contract to provide specific supplies or service to the government. The term used in this document refers to the prime.

2.1.2 Contracting Officer. A person with authority to enter into, administer, and/or terminate contracts, and make related determinations and findings on behalf of the government. The only individual who can legally bind the government.

2.1.3 Contracting Officer's Technical Representative. An employee of the U.S. Government appointed by the contracting officer to administer the contract. Such an appointment must be in writing and must state the scope of authority and limitations. This individual has authority to provide technical direction to the Contractor as long as that direction is within the scope of the contract, does not constitute a change, and has no funding implications. This individual does NOT have the authority to change the terms and conditions of the contract.

2.1.4 Defective Performance. A service output that does not meet the standard of performance associated with the Performance Work Statement.

2.1.5 Deliverable. Anything that can be physically delivered but may include non-physical things such as meeting minutes.

2.1.6 Physical Security. Actions that prevent the loss or damage of Government property.

2.1.7 Quality Assurance. The government procedures to verify that services being performed by the Contractor are performed according to acceptable standards.

2.1.8 Quality Assurance Surveillance Plan. An organized written document specifying the surveillance methodology to be used for surveillance of contractor performance.

2.1.9 Quality Control. All necessary measures taken by the Contractor to assure that the quality of an end product or service must meet contract requirements.

2.2 Acronyms

BBIA	Bureau of Banking Inspection and Audit
BD	Business Days
COR	Contracting Officer's Representative
COTS	Commercial Off-The-Shelf
CO	Contracting Officer
IAVA	Information Assurance Vulnerability Assessment
IAVB	Information Assurance Vulnerability Bulletin
IT	Information Technology
NAS	Network-Attached Storage
OSHA	Occupational Safety and Health Act
PC	Personal Computer
PRS	Performance Requirements Summary
PWS	Performance Work Statement
QASP	Quality Assurance Surveillance Plan

Section 3 Government-Furnished Property and Services

3.1 Government-Furnished Property

3.1.1 Government-Furnished Real Property. Government property has been inspected for compliance with the Occupational Safety and Health Act (OSHA). No hazards have been identified for which work-arounds have been established. Should a hazard be subsequently identified, the government will correct OSHA hazards according to government developed and approved plans of abatement taking into account safety and health priorities. A higher priority for correction will not be assigned to the property provided hereunder merely because of this contracting initiative. The fact that no such conditions have been identified does not warrant or guarantee that no possible hazard exists, or that work-around procedures will not be necessary or that the property as furnished will be adequate to meet the responsibilities of the contractor. Compliance with the OSHA and other applicable laws and regulations for the protection of employees is exclusively the obligation of the contractor. Further, the government will assume no liability or responsibility for the contractor's compliance or noncompliance with such requirements, with the exception of the aforementioned requirement to make corrections according to approved plans of abatement subject to base-wide priorities. Before any modification of the property is performed by the contractor at his or her expense, the contractor must furnish the contracting officer documentation describing, in detail, the modification requested. No alterations to the property must be made without specific written permission from the contracting officer. In the case of alterations necessary for

compliance with the OSHA, such permission must not be unreasonably withheld. The contractor must return the property to the government in the same condition as received, fair wear and tear and approved modifications excepted. The property must only be used in the performance of this contract. Contractor assigned work areas include:

Helpdesk and management office—approximately 3,000 square feet.

Work Area—approximately 1,200 square feet

Server Room—approximately 1,500 square feet

3.1.2 Government-Furnished Materials. All equipment and software under this contract will be provided by the government. BBIA will provide the contractor with the spare parts inventory and the existing maintenance tools and diagnostics tools for hardware repair. The contractor will be responsible for replacing existing stock. BBIA will also provide specific training on all BBIA specific software products not available commercially.

3.2 Government-Furnished Services

3.2.1 Government-Furnished Utilities. BBIA will furnish all necessary utility services used at BBIA. The contractor must ensure all employees use methods to conserve utilities.

3.2.1.1 Lights must be used only in areas where work is actually being performed.

3.2.1.2 Employees must not adjust mechanical equipment controls for heating, ventilation, and air conditioning systems.

3.2.1.3 Water faucets or valves must be turned off when not in use.

3.2.2 Telephone Services. BBIA will provide telephone service for contractor use at no cost to the contractor. Use of telephones is authorized only for official business. Contractor personnel must not relocate government-furnished telephone equipment or tamper, in any way, with the telephone distribution system. The contractor must notify the COR when maintenance, repair, or change in the service of telephone equipment is required. The contractor must be responsible for all costs associated with contractor-initiated upgrades or changes in service.

3.2.3 Custodial Service. BBIA will provide custodial services for office/work spaces, restrooms, and break areas. Services include emptying waste and recycling receptacles, sweeping, mopping, and vacuuming floors, dusting, cleaning sinks and water fountains, and supplying paper towels and soap.

Section 4 Contractor-Furnished Items and Services

4.1 General Information

Except for those items or services specifically stated in section 3 as government-furnished, the contractor must furnish everything needed to fulfil this contract according to all its terms.

Section 5 Specific Tasks

5.1 General Information

The contractor must provide all management, labor, and supervision necessary to provide information technology operations and maintenance support. In executing the requirements of this PWS, the Contractor must satisfy the performance requirements included in this PWS and the requirements set forth in the Performance Requirements Summary (PRS) at Attachment 1.

5.1.1 Monthly Status Report. The contractor's Project Manager must provide a written Monthly Status Report to the COR by the fifth day of each month. The monthly report for transition and first month of services may be combined. Any format is acceptable, however, the report must address, as a minimum, the following: (1) status of work performed in the previous time period; (2) tasks completed during the

reporting period; (3) equipment and software installed by location; (4) problems or constraints encountered while performing this work; (5) suggested solutions to problems or constraints encountered; (6) proposed initiatives or waivers requiring Government action; (7) trends or information that may indicate need for user training; and (8) status of open items from previous report.

(Write your assigned task in the blank. Use the space here and following to describe the requirements for your assigned task.)

5.2 _____

Section 6 Applicable Publications

The applicable documents for this PWS are listed below. The contractor is expected to comply with all documents. The contractor must use the latest version of the applicable document. BBIA documents will be provided to the contractor upon request but no later than the before the commencement of services.

Publication	Title	Applicable Portion
BBIAM 60-1	Information Technology	All
BBIAM 60-2	Electronic Messaging Systems	All
PL 104-106	Clinger-Cohen Act of 1996	All
PL 100-235	The Computer Security Act of 1987	All
PL 104-231	Electronic Freedom of Information Act of 1996	All
PL 105-277	Government Paperwork Elimination Act	All
44 USC 3101	Federal Records Act	All
OMB Circular A-130	Management of Federal Information Resources	All

**Technical Exhibit 1 — Performance Requirements Summary (for your assigned task only,
REFINE the PRS from the Job Analysis assignment)**

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Disincentives

The factors included in this PRS are considered by the government to be key performance factors for the requirement.

Technical Exhibit 2 — Required Reports (for your assigned task only)

Deliverable Item	PWS Ref.	Due Date

Deliverable Item	PWS Ref.	Due Date

Technical Exhibit 3 — BBIA Software/Applications

- Windows Server 2016
- Microsoft Windows 10
- Microsoft Windows Outlook 2016
- Microsoft Windows Active Directory (AD)
- Exchange ActiveSync
- SQL Server
- Microsoft Internet Information Services
- NetBackup
- Short Message Service (SMS)
- GR-AWARE
- ForcePoint Web Security
- Symantec's Norton Antivirus Corporate Edition (to include any subsequent patches/updates)

Technical Exhibit 4 — Workload Estimates

PWS Title	Workload description	FY'0	FY'+1	FY'+2	FY'+3	FY'+4	FY'+5	FY'+6	FY'+7
Help Desk Service	Support (hours)	17,280	17,280	17,280	17,280	17,280	17,280	17,280	17,280
Help Desk Service	Number of help desk tickets opened.	37,810	41,591	43,670	45,854	48,147	50,554	53,082	55,736
Hardware and Software Support	Support (hours)	14,520	14,520	14,520	14,520	14,520	14,520	14,520	14,520
Hardware and Software Support	Number trouble tickets processed for hardware and software maintenance .	2,400	2,640	2,667	2,400	2,934	3,227	3,550	3,905
Systems Administration	Support (hours)	15,200	15,200	15,200	15,200	15,200	15,200	15,200	15,200
Systems Administration	Number of trouble tickets processed systems administrators.	4,814	4,954	4,102	4,257	4,420	4,591	4,771	4,960

NOTE: The hour projections above are just estimates and are not intended to dictate the level of staffing. It is up to the contractor to include in its proposal the staffing level and clearly demonstrate that the staffing will result in quality performance.

Instructions

The IT Division Chief approved your team's draft PWS. Now, Mr. Price would like your team to prepare a draft QASP and report back to brief him on how the team intends to monitor and assess contractor performance under the contract.

Using your team's PWS and the attached draft QASP, finalize the QASP by completing the following for **your assigned task only**:

- Section 3, Methods of Surveillance

In Section 3, write in the selected methods of surveillance and in the space provided, describe the tasks associated with the selected method.

Remember, the QASP describes how the government will evaluate the contractor's performance to ensure the contractor meets contractual quality standards not how the contractor will ensure quality.

Be prepared to discuss your responses.

Draft Quality Assurance Surveillance Plan: Information Technology Operations and Maintenance Services

1.0 Introduction

This Quality Assurance Plan (QASP) is written pursuant to the requirements listed in the Performance Work Statement (PWS) entitled "IT Operations and Maintenance Services." This QASP sets forth the procedures and guidelines the BBIA will use in evaluating the technical performance of the Operations and Maintenance service contractor.

1.1 Purpose

The purpose of this QASP is to describe the systematic methods used to measure performance and to identify the reports required and the resources to be employed. The QASP provides a means for evaluating whether the contractor is meeting performance standards identified in the PWS. This QASP is designed to define roles and responsibilities, identify the performance objectives, define the methodologies used to monitor and evaluate the contractor's performance, describe quality assurance reporting, and describe the analysis of quality assurance monitoring results.

1.2 Performance Management Strategy

1.2.1 The contractor's Quality Control Plan (QCP) will set forth the staffing and procedures for self-inspecting the quality, timeliness, responsiveness, and other performance requirements in the PWS. The contractor must develop and implement a performance management system with processes to assess and report their performance to the COR.

1.2.2 The COR will monitor performance and determine how the contractor is performing against the performance objective stated in Technical Exhibit 1, Performance Requirement Summary, of the PWS. The Government will make decisions based on performance data and notify the contractor of those decisions. The contractor will be responsible for making required changes in their processes and practices to ensure performance is effectively managed.

2.0 Government Roles and Responsibilities

The following personnel must oversee and coordinate surveillance activities.

2.1 Contracting Officer

The CO must ensure performance of all necessary actions for effective contracting, ensure compliance with the contract terms, and must safeguard the interests of the United States in the contractual relationship. The CO must also assure that the contractor receives impartial, fair, and equitable treatment under this contract. The CO is ultimately responsible for the final determination of the adequacy of the contractor's performance.

2.2 Contracting Officer's Representative (COR)

The COR is responsible for technical administration of the contract and must ensure proper government surveillance of the contractor's performance. The COR must keep a quality assurance file. The COR is not empowered to make any contractual commitments or to authorize any contractual changes on the government's behalf.

3.0 Methods of Surveillance

The below listed methods of surveillance must be used in the administration of this QASP. In addition to specific instructions that may be mentioned, the appropriate and standardized form that is to be used for documentation for QA surveillance is the surveillance activity checklist.

(Write **your selected surveillance method(s)** for your assigned task in the blanks provided. Use the remaining space to describe how you will use that method.)

3.1 Method of Surveillance: _____

3.2 Method of Surveillance: _____

3.3 Method of Surveillance: _____

3.4 Method of Surveillance: _____

3.5 Method of Surveillance: _____

4.0 Performance Standards

The Performance Requirements Summary, Technical Exhibit 1 of the Performance Work Statement (PWS), and Attachment 1 to this QASP includes performance standards. The Government must use these standards to determine contractor performance and must compare contractor performance to the Acceptable Quality Level (AQL).

5.0 Documentation

The COR will, in addition to providing documentation to the contracting officer, maintain a complete quality assurance file. The file will contain copies of all reports, evaluations, recommendations, and any actions related to the government's performance of the quality assurance function, including the originals of all surveillance activity checklists. All such records will be retained for the life of this contract. The COR must forward these records to the contracting officer at termination or completion of the contract.

Attachment 1 - Performance Requirements Summary (Normally Filled in Using the PWS, but Leave Blank for Purposes of this Assignment)

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met

The factors included in this PRS are considered by the government to be key performance factors for the requirement.

Contract Number: _____

Attachment 2 - Surveillance Activity Checklist (Leave Blank)

Performance Requirement	Performance Standard	Surveillance Method	AQL	Contractor's Performance Metrics	Compliance (Exceeded, Met, Not Met, or Partially Met)

Surveillance Activity Checklist (to be performed (Daily) (Monthly) (Weekly). etc.)

Attachment 3 -- Contract Discrepancy Report (Leave Blank)

1. Contract Number	2. Report Number for this Discrepancy		
3. To: (<i>Contractor and Manager's Name</i>)	4. From: (Name of QAE)		
5. Dates:			
Prepared:		Returned by Contractor	
Action Completed:			
6. Discrepancy or Problem: (Describe in detail; include reference to PWS Directive; attach continuation sheet if necessary.)			
7. Signature of Contracting Officer:			
8. To: (<i>Contracting Officer</i>)		From: (Contractor)	
9. Contractor Response as to Cause, Corrective Action and Actions to Prevent Recurrence; Attach continuation sheet if necessary. (Cite applicable QC program procedures or new QC procedures):			
10. Signature of Contractor Representative		Date:	
11. Government Evaluation (Acceptance, partial acceptance, rejection; attach continuation sheet if necessary)			
12. Government Actions (Reduced payment, cure notice, show cause, other):			
Closeout			
	Name-Title	Signature	Date
Contractor Notified			

QAE			
ACO			

SA 2-2: Final Performance Work Statement: Information Technology Operations and Maintenance Services

Section 1 General Information

1.1 Background

1.1.1 Organization Overview. The Bureau of Banking Inspection and Audit (BBIA) is an organization tasked with regulating, inspecting, and auditing financial institutions to ensure a safe, sound, and competitive banking system that supports both its customers and the national economy. The BBIA consists of approximately 2,500 auditors and 500 staff personnel located at the BBIA headquarters facility in Washington DC.

1.1.2 BBIA Network. The BBIA headquarters server room houses 7 Microsoft Active Directory domain controllers, 6 Microsoft Exchange mail servers (2 front-end and 4 back-end), 5 mobile services servers for mobile phones, 5 Microsoft SQL database servers, 3 Network-attached Storage (NAS)/Storage Area Networks, 2 Microsoft WUS/SUS network/systems servers, 5 Microsoft print servers, 10 Microsoft applications servers, 5 ARC back-up servers with 10 tape drives, 2 Barracuda spam fire walls, 2 Proxy servers, 15 Wireless access points, 10 Multi-point routers, 50 switches (48 points each), and 3 Windows XP remote access network servers.

1.1.3 IT Equipment. BBIA has approximately 1,320 portable and 700 desktop computers running the Windows XP operating system and commercial off-the-shelf (COTS) applications (see Technical Exhibit 3). Approximately 70% of the users travel extensively with their notebook computers. BBIA also repairs most computers and peripherals “in-house”.

1.2 Scope of Work

BBIA requires information technology operations and maintenance services to support users, hardware, software, and network equipment to include network servers, personal computers (PCs), printers, portable computers, LAN/WAN hardware/software and other miscellaneous IT equipment. This PWS requires performance of services to analyze, implement, install, evaluate, document, integrate, and provide support to end users.

1.3 Contractor Personnel

1.3.1 Project Manager. The contractor must provide a project manager who is responsible for the performance of the work. The name of this person, and an alternate(s) who must act for the contractor when the manager is absent, must be designated in writing to the contracting officer.

1.3.1.1 The project manager or alternate must have full authority to act for the contractor on all contract matters relating to the daily operation of this contract.

1.3.1.2 The project manager or alternate must be available during normal business hours within 30 minutes to meet with government personnel (designated by the contracting officer) to discuss problem areas. After normal business hours, the manager or alternate must be available within four hours.

1.3.1.3 The project manager and alternate(s) must be able to read, write, speak, and understand English.

1.3.2 Contractor Employees. The contractor must not employ persons for work on this contract if such employee is considered by the contracting officer to be a potential threat to the health, safety, security, general well-being, or operational mission of the installation and its population.

1.3.2.1 Contractor personnel must present a neat appearance and be easily recognized as contractor employees. BBIA badges must be worn when inside any BBIA facility.

1.3.2.2 The contractor must not employ any person who is an employee of the U.S. Government if employing that person would create a conflict of interest. Additionally, the contractor must not employ any person who is an employee of the BBIA, unless such person seeks and receives approval according to BBIA ethics regulations.

1.3.3 Security Requirements. Contractors will not be required to access classified information. All information will be unclassified; however, some financial information will be sensitive. Specific security requirements are listed in the contract additional terms and conditions addendum.

1.3.4 Employee Training. The contractor is responsible for providing personnel of an adequate skill and educational level. Personnel must maintain their skill and education levels throughout the life of the contract. Personnel selected by the contractor must already have the necessary education, training and/or certifications to perform the requirements of this contract prior to reporting to work under this contract.

1.4 Quality Control

The contractor must ensure that services are performed in accordance with the PRS.

1.4.1 Quality Control Plan. The contractor must provide a quality control plan to the contracting officer for acceptance not later than the pre-performance conference. The contracting officer will notify the contractor of acceptance or required modifications to the plan before the contract start date. The contractor must make appropriate modifications and obtain acceptance of the plan by the contracting officer before the contract start date. The plan must include:

1.4.1.1 A description of the inspection system to cover all services listed on the performance requirements summary (PRS). The description must include specifics as to the areas to be inspected on both a scheduled and unscheduled basis, frequency of inspections, and the title and organizational placement of the inspectors. Additionally, control procedures for any government-provided keys or lock combinations must be included.

1.4.1.2 A description of the methods to be used for identifying and preventing defects in the quality of service performed.

1.4.1.3 A description of the records to be kept to document inspections and corrective or preventive actions taken.

1.4.2 Records. The records of inspections must be kept and made available to the contracting officer, when requested, throughout the contract performance period and for the period after contract completion until final settlement of any claims under this contract.

1.5 Quality Assurance

According to the Inspection of Services clause located in the contract additional terms and conditions addendum, the government will evaluate the contractor's performance under this contract. For those tasks listed on the PRS (Technical Exhibit 1), the contracting officer's representative (COR) will follow the methods of surveillance specified in Quality Assurance Surveillance Plan (QASP). Government personnel will record all surveillance observations. When an observation indicates defective performance, the COR will require the project manager or representative at the site to initial the observation. The initialing of the observation does not necessarily constitute concurrence with the observation, only acknowledgment that he or she has been made aware of the defective performance. Government surveillance of tasks not listed in the PRS or by methods other than those listed in the PRS (such as provided for by the Inspection of Services clause) may occur during the performance period of this contract. Such surveillance will be done according to standard inspection procedures or other contract provisions. Any action taken by the contracting officer as a result of surveillance will be in accordance with the terms of this contract.

1.5.1 Contract Performance Working Group (CPWG) Meetings. The contractor and government will convene quarterly CPWS meetings to review contract performance. The members of the CPWG will include, as a minimum, the contractor project manager, the government contracting officer, the COR, and additional members as determined by the CPWG. The CPWG will discuss such issues as the contractor's performance against the PRS standards and whether they are meeting or exceeding acceptable quality levels, whether performance standards are measuring and incentivizing the right performance outcomes, any changes that need to be made to performance standards or acceptable quality levels, any problems affecting contract/mission performance and steps that can be taken to mitigate risk, other topics as determined by CPWG members. Written minutes of each CPWG meeting must be recorded and signed by the project manager and the contracting officer or contract administrator. If the contractor does not concur with any portion of the minutes, such nonconcurrency must be provided in writing to the contracting officer within five calendar days following receipt of the minutes.

1.6 Physical Security

The contractor must be responsible for safeguarding all government property provided for contractor use. At the end of each work period, all government property, equipment and materials must be secured.

1.6.1 Key Control. The contractor must establish and implement methods of making sure all keys issued to the contractor by the government are not lost or misplaced and are not used by unauthorized persons. The contractor must not duplicate any keys issued by the government.

1.6.1.1 The contractor must immediately report to the COR or contracting officer any occurrences of lost or duplicated keys.

1.6.1.2 In the event that keys, other than master keys, are lost or duplicated, the contractor may be required, upon written direction of the contracting officer, to rekey or replace the affected lock or locks without cost to the government. The government may, however, at its option, replace the affected lock or locks or perform rekeying and deduct the cost of such from the monthly payment due the contractor. If a master key is lost or duplicated, all locks and keys for that system must be replaced by the government and the total cost deducted from the monthly payment due the contractor.

1.6.1.3 The contractor must prohibit the use of keys issued by the government by any persons other than the contractor's employees. Opening of locked areas by contractor employees to permit entrance of persons other than contractor employees engaged in performance of contract work requirements in those areas is prohibited.

1.7 Hours of Operation

1.7.1 Normal Hours of Operation. The contractor must perform the services required under this contract Monday through Friday from 6:00 AM Eastern Time to 10:00 PM Eastern Time. The contractor must provide services regardless of inclement weather or office closings and early dismissals, unless otherwise approved by the COR.

1.7.2 Federal Holidays. Contractor services will not be required on the following federal holidays: New Year's Day, Martin Luther King's Birthday, President's Day, Memorial Day, Independence Day, Labor Day, Columbus Day, Veterans' Day, Thanksgiving, and Christmas Day.

1.8 Records

The contractor must be responsible for creating, maintaining, and disposing of only those government required records that are specifically cited in this PWS or required by the provisions of a mandatory directive listed in section 6, Applicable Publications and Forms. If requested by the government, the contractor must provide the original record or a reproducible copy of any such record within five working days of receipt of the request.

Section 2 Definitions and Acronyms

2.1 Definitions

2.1.1 Contractor. A supplier or vendor having a contract to provide specific supplies or service to the government. The term used in this document refers to the prime.

2.1.2 Contracting Officer. A person with authority to enter into, administer, and/or terminate contracts, and make related determinations and findings on behalf of the government. The only individual who can legally bind the government.

2.1.3 Contracting Officer's Representative. An employee of the U.S. Government appointed by the contracting officer to administer the contract. Such appointment must be in writing and must state the scope of authority and limitations. This individual has authority to provide technical direction to the Contractor as long as that direction is within the scope of the contract, does not constitute a change, and has no funding implications. This individual does NOT have authority to change the terms and conditions of the contract.

2.1.4 Defective Performance. A service output that does not meet the standard of performance associated with the Performance Work Statement.

2.1.5 Deliverable. Anything that can be physically delivered but may include non-physical things such as meeting minutes.

2.1.6 Physical Security. Actions that prevent the loss or damage of Government property.

2.1.7 Quality Assurance. The government procedures to verify that services being performed by the Contractor are performed according to acceptable standards.

2.1.8 Quality Assurance Surveillance Plan. An organized written document specifying the surveillance methodology to be used for surveillance of contractor performance.

2.1.9 Quality Control. All necessary measures taken by the Contractor to assure that the quality of an end product or service must meet contract requirements.

2.2 Acronyms

BBIA	Bureau of Banking Inspection and Audit
BD	Business Days
COR	Contracting Officer's Representative
COTS	Commercial Off-The-Shelf
CO	Contracting Officer
IAVA	Information Assurance Vulnerability Assessment
IAVB	Information Assurance Vulnerability Bulletin
IT	Information Technology
NAS	Network-Attached Storage
OSHA	Occupational Safety and Health Act
PC	Personal Computer
PRS	Performance Requirements Summary
PWS	Performance Work Statement
QASP	Quality Assurance Surveillance Plan

Section 3 Government-Furnished Property and Services

3.1 Government-Furnished Property

3.1.1 Government-Furnished Real Property. Government property has been inspected for compliance with the Occupational Safety and Health Act (OSHA). No hazards have been identified for which work-arounds have been established. Should a hazard be subsequently identified, the government will correct OSHA hazards according to government developed and approved plans of abatement taking into account safety and health priorities. A higher priority for correction will not be assigned to the property provided hereunder merely because of this contracting initiative. The fact that no such conditions have been identified does not warrant or guarantee that no possible hazard exists, or that work-around procedures will not be necessary or that the property as furnished will be adequate to meet the responsibilities of the contractor. Compliance with the OSHA and other applicable laws and regulations for the protection of employees is exclusively the obligation of the contractor. Further, the government will assume no liability or responsibility for the contractor's compliance or noncompliance with such requirements, with the exception of the aforementioned requirement to make corrections according to approved plans of abatement subject to base-wide priorities. Before any modification of the property performed by the contractor at his or her expense, the contractor must furnish the contracting officer documentation describing, in detail, the modification requested. No alterations to the property must be made without specific written permission from the contracting officer. In the case of alterations necessary for compliance with the OSHA, such permission must not be unreasonably withheld. The contractor must return the property to the government in the same condition as received, fair wear and tear and approved modifications excepted. The property must only be used in performance of this contract. Contractor assigned work areas include:

Helpdesk and management office - approximately 3,000 square feet.

Work Area - approximately 1,200 square feet

Server Room – approximately 1,500 square feet

3.1.2 Government-Furnished Materials. All equipment and software under this contract will be provided by the government. BBIA will provide the contractor the spare parts inventory and the existing maintenance tools and diagnostics tools for hardware repair. Contractor will be responsible for replacing existing stock. BBIA will also provide specific training on all BBIA specific software products not available commercially.

3.2 Government-Furnished Services

3.2.1 Government-Furnished Utilities. BBIA will furnish all necessary utility services used at BBIA. The contractor must ensure all employees use methods to conserve utilities.

3.2.1.1 Lights must be used only in areas where work is actually being performed.

3.2.1.2 Employees must not adjust mechanical equipment controls for heating, ventilation, and air conditioning systems.

3.2.1.3 Water faucets or valves must be turned off when not in use.

3.2.2 Telephone Services. BBIA will provide telephone service for contractor use at no cost to the contractor. Use of telephones is authorized only for official business. Contractor personnel must not relocate government-furnished telephone equipment or tamper, in any way, with the telephone distribution system. The contractor must notify the COR when maintenance, repair, or change in service of telephone equipment is required. The contractor must be responsible for all costs associated with contractor initiated upgrades or changes in service.

3.2.3 Custodial Service. BBIA will provide custodial services for office/work spaces, restrooms, and break areas. Services include emptying waste and recycle receptacles, sweeping, mopping, and vacuuming floors, dusting, cleaning sinks and water fountains, and supplying paper towels and soap.

Section 4 Contractor-Furnished Items and Services

4.1 General Information

Except for those items or services specifically stated in section 3 as government furnished, the contractor must furnish everything needed to perform this contract according to all its terms.

Section 5 Specific Tasks

5.1 General Information

The contractor must provide all management, labor, and supervision necessary to provide information technology operations and maintenance support. In executing the requirements of this PWS, the Contractor must satisfy the performance requirements included in this PWS and the requirements set forth in the Performance Requirements Summary (PRS) at Attachment 1.

5.1.1 Monthly Status Report. The contractor's Project Manager must provide a written Monthly Status Report to the COR by the fifth day of each month. The monthly report for transition and first month of services may be combined. Any format is acceptable, however, the report must address, as a minimum, the following: (1) status of work performed in the previous time period; (2) tasks completed during the reporting period; (3) equipment and software installed by location; (4) problems or constraints encountered while performing this work; (5) suggested solutions to problems or constraints encountered; (6) proposed initiatives or waivers requiring Government action; (7) trends or information that may indicate need for user training; and (8) status of open items from previous report.

5.2 Help Desk Support

The contractor must provide, implement, operate, and maintain a fully functional helpdesk for recording, triaging, troubleshooting, and resolving customer support requirements and ensuring minimum down time. The contractor must utilize an automated helpdesk tracking system. The contractor must ensure the

software application supporting the helpdesk is industry-proven, open, non-proprietary, and COTS-based. Specifically, the contractor must:

- 5.2.1** Manage accounts, network rights, and access to network systems and equipment.
- 5.2.2** Promptly respond to and process requests for assistance.
- 5.2.3** Provide network account administration for all users.
- 5.2.4** Diagnose and resolve trouble calls.
- 5.2.5** Set and reset passwords for network accounts and functional applications user ids after appropriate identification has been validated.
- 5.2.6** Operate and maintain a trouble-ticketing system to track the status and means of resolution of reported.
- 5.2.7** Verify and document resolution of the problem with the customer prior to placing the ticket in a closed status.
- 5.2.8** Ensure tickets are set to “fixed” at problem resolution, quality checked, then set to “closed” within two business days (BD) of problem resolution.
- 5.2.9** Maintain a central repository for technical advice and solutions for network systems, software applications, automatic data processing support, hardware exchange and repair service support. This information will be provided to the COR upon request.

5.3 Systems Administration

The Contractor must provide support services to ensure BBIA computer systems and network have continuous operational capabilities. The contractor must provide the customer with technical advice or solutions when needed including the research of technical solutions to meet customer requirements or improve customer operations and provide technical support to customers. The contractor must utilize an automated network monitoring system to monitor and track network health and identify issues. The contractor must ensure the software application used to monitor the network is industry-proven, open, non-proprietary, and COTS-based. The contractor must:

- 5.3.1** Proactively monitor local and remote networks to ensure responsible and reliable system performance and availability.
- 5.3.2** Install and configure all network equipment to include servers, routers, and switches.
- 5.3.3** Install and properly configure all network software.
- 5.3.4** Identify potential or actual local and remote network system failures and prevent or quickly provide a remedy to ensure systems remain or are quickly made operational.
- 5.3.5** Perform preventative maintenance on all network hardware and software to ensure optimal performance.
- 5.3.6** Monitor computer and server logs to track system performance trends.
- 5.3.7** Create, modify, and delete user active directory/email.
- 5.3.8** Develop and maintain the local intranet and internet pages.
- 5.3.9** Develop and maintain databases

5.4 Deskside Support

The contractor must provide hardware and software support for all government IT equipment and the software applications listed in Exhibit 3. The contractor must:

- 5.4.1** Provide hardware configuration, troubleshooting, and repair.
- 5.4.2** Provide support for all IT equipment to include personal computers, portable computers, printers, polycom units and any miscellaneous IT equipment.
- 5.4.3** Perform equipment relocation, installation, expansion, connection/disconnection, support/maintenance, and preventative maintenance of computer systems, hardware, documentation, and peripheral devices. The contractor must survey new installations and move IT equipment as requested by users.
- 5.4.4** Perform cable installation and maintenance.
 - 5.4.4.1** Provide installation of network cabling (fiber or copper) in buildings or office areas using appropriate cable routing methods, i.e., cable channel and connector boxes such as Panduit or cable tray for larger size installations.
 - 5.4.4.2** Ensure cable installation, repair, and maintenance are Building Industry Consulting Service International (BICSI) compliant.
- 5.4.5** Perform printer maintenance.
 - 5.4.5.1** Install and maintain all network and personal computer attached printers (bar code and laser).
 - 5.4.5.2** Install and configure network print servers.
 - 5.4.5.3** Troubleshoot and resolve printer server problems.
- 5.4.6** Provide software support including but not limited to the software applications listed in Exhibit 3.
- 5.4.7** Install and configure software and applications.
- 5.4.8** Troubleshoot and resolve software performance issues.
- 5.4.9** Develop and conduct user training for software applications in order to ensure users are competent and successful in using the applications. Includes deskside and, as necessary, small-group training for new users and after upgrades.

5.5 Information Security

Contractor must ensure the confidentiality, integrity, availability, authenticity, and non-repudiation of the BBIA network and equipment, and software. The contractor must protect all networks, equipment, and software from unauthorized access, use, disclosure, disruption, modification, and destruction. The contractor must ensure any software applications used to provide information security are industry-proven, open, non-proprietary, and COTS-based.

- 5.5.1** Take proactive measures to prevent network security breaches, viruses, malicious software, and security violations.
- 5.5.2** Provide firewall/intrusion detection system support and maintenance
- 5.5.3** Perform system audits to assess security related factors within the network environment.
- 5.5.4** Examine potential security violations to determine if the network environment has been breached, assess the impact and preserve the evidence. Document breaches and intrusions.
- 5.5.5** Implement available patches including Information Assurance Vulnerability Assessments (IAVAs), Information Assurance Vulnerability Bulletins (IAVBS), and Taskings for the network.
- 5.5.6** Scan computers monthly including portable computer issued out or stored for issue and use to BBIA personnel. Perform monthly IAVA Audit scan of BBIA network IP address ranges and ensure all IP-based assets are detected and scanned. Search computer and network logs for unauthorized entry attempts. Submit results to the COR.
- 5.5.7** Contractor must submit a weekly Network Security Report to the COR. Any format is acceptable; however, the report must address, as a minimum, the following: (1) network security incidents or intrusion incidents; (2) the contractor's response to these incidents; and (3) any preventative steps taken by the contractor as a result of the incident.
- 5.5.8** Perform and document weekly backups for all critical systems. Maintain the data storage solution in order to ensure efficient use, availability of resources, and survivability of data
- 5.5.9** Provide comprehensive disaster recovery planning to ensure data protection and coordinated and responsive restoration of operations in the event of an emergency.

5.6 Asset Management

The contractor must implement and maintain an inventory management solution for hardware and software that ensures accurate and efficient asset accountability across the organization. The contractor must utilize an automated asset management system. The contractor must ensure the software application supporting the solution is industry-proven, open, non-proprietary, and COTS-based. Provide the government with an initial property inventory baseline no later than 30 days after the start of this contract and monthly updates reflecting any baseline changes. The contractor must:

- 5.6.1** Maintain warranty information and coordinate warranty repairs.
- 5.6.2** Manage IT Inventory
 - 5.6.2.1 Maintain Asset Management System
 - 5.6.2.2 Perform an annual physical inventory of all IT equipment
 - 5.6.2.3 Update all inventory changes in the Asset Management system
 - 5.6.2.4 Affix appropriate property tags to all IT equipment purchased and enter the equipment information into the Asset Management system
- 5.6.3** Process Excess IT equipment and software
 - 5.6.3.1 Deliver unserviceable or excess IT equipment and software to staging area for disposal
 - 5.6.3.2 Destroy hard drives in accordance with IAW BBIA Manual 60-1, Information Technology Systems, and provide records to COR.
 - 5.6.3.3 Adjust IT inventory for any relocation or disposal of IT equipment.
- 5.6.4** Submit a Monthly Property Report to the COR. Any format is acceptable; however, the report must address, as a minimum, the following: (1) changes to the inventory baseline; (2) hard drive destruction and disposal; and (3) IT and software disposal.

5.7 Initial Transition Planning

The contractor must ensure all existing and applicable services and support are successfully transitioned from the existing support contractor within 30 days after the start of the contract in accordance with the contractor's Initial Transition Plan.

Section 6 Applicable Publications

The applicable documents for this PWS are listed below. The contractor is expected to comply with all documents. The contractor must use the latest version of the applicable document. BBIA documents will be provided to the contractor upon request but no later than the before the commencement of services.

Publication	Title	Applicable Portion
BBIAM 60-1	Information Technology	All
BBIAM 60-2	Electronic Messaging Systems	All
PL 104-106	Clinger-Cohen Act of 1996	All
PL 100-235	The Computer Security Act of 1987	All
PL 104-231	Electronic Freedom of Information Act of 1996	All
PL 105-277	Government Paperwork Elimination Act	All
44 USC 3101	Federal Records Act	All
OMB Circular A-130	Management of Federal Information Resources	All

Technical Exhibit 1 — Performance Requirements Summary

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Manage accounts, network rights, access to network systems and equipment (5.2)	Requests for account creation are promptly completed Requests for account deletion are promptly completed	Complete account creation within 2 business days of receipt Complete account deletion request within 4 business days of receipt	90%	Review of help desk tracking system	
Promptly resolve customer requirements (5.2)	Resolve customer requirements during the first call	Customer requirements resolved to customer satisfaction during the first call	80%	Review of help desk tracking system	
LAN Availability (5.3)	LAN available during business hours	LAN fully operational during business hours	95%	Review of network monitoring system	
Remote access network connectivity (5.3)	Remote access network available during business hours	Remote access network fully operational during business hours	90%	Review of network monitoring system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Network protected from unauthorized intrusion (5.5)	Protection from network intrusion Prompt response to unauthorized intrusion to network	No unauthorized network intrusion Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	100 %	Review of weekly contractor Network Security Report	
Network and IT equipment free of malicious programs (5.5)	Protection of network and IT equipment from virus, malware, adware, spyware, and other malicious programs	Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	95%	Review of weekly contractor Network Security Report	
Data assurance (5.5)	Back up all servers daily Restore data using back-up tapes	All servers must be backed up on a daily basis Perform restore using back-up tapes	100 %	Monthly contractor backup documentation review Observation of performance. Contractor will demonstrate restoration of data using a tape randomly selected by the COR.	
IT equipment and software operational when needed (5.3/5.4)	Timely repair/replacement of equipment and software	Repair or replacement is provided within 24 hours request for service	90%	Review of help desk tracking system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Ensure accurate and efficient asset accountability across the organization (5.6)	Provide accurate inventory of all IT assets	Physical inventory quantities match quantities tracked in asset management system	95%	Joint annual physical equipment inventory	
Ensure accurate and efficient asset accountability across the organization (5.6)	Ensure hardware, software, data, and facility resources are achieved and sanitized, prior to disposal	No sensitive data compromised as a result of failure to follow disposition policy	100 %	Inspection of Monthly Property Report	

The factors included in this PRS are considered by the government to be key performance factors for the requirement.

Technical Exhibit 2 — Required Reports

Deliverable Item	PWS Ref.	Due Date
Quality Control Plan	1.4.1	NLT 14 calendar days after contract award
Monthly Status Report	5.1.1	Monthly, by the 5th working day of each month covering the preceding month. The monthly report for transition and first month of services may be combined.
Weekly Network Security Report	5.5.7	First Monday following the completion of the work
Initial Property Inventory	5.6	NLT 30 days after the start of this contract
Monthly Property Report	5.6.4	Monthly, by the 5th working day of each month covering the preceding month

Technical Exhibit 3 — BBIA Software/Applications

- Windows Server 2016
- Microsoft Windows 10
- Microsoft Windows Outlook 2016
- Microsoft Windows Active Directory (AD)
- SQL Server

- Microsoft Internet Information Services
- NetBackup
- Short Message Service (SMS)
- GR-AWARE
- ForcePoint Web Security
- Symantec's Norton Antivirus Corporate Edition (to include any subsequent patches/updates)
- Exchange ActiveSync

Technical Exhibit 4 — Workload Estimates

PWS Title	Workload description	FY'0	FY'+1	FY'+2	FY'+3	FY'+4	FY'+5	FY'+6	FY'+7
Help Desk Service	Support (hours)	17,280	17,280	17,280	17,280	17,280	17,280	17,280	17,280
Help Desk Service	Number of help desk tickets opened	37,810	41,591	43,670	45,854	48,147	50,554	53,082	55,736
Hardware and Software Support	Support (hours)	14,520	14,520	14,520	14,520	14,520	14,520	14,520	14,520
Hardware and Software Support	Number trouble tickets processed for hardware and software maintenance	2,400	2,640	2,667	2,400	2,934	3,227	3,550	3,905
Systems Administration	Support (hours)	15,200	15,200	15,200	15,200	15,200	15,200	15,200	15,200
Systems Administration	Number of trouble tickets processed systems administrators	4,814	4,954	4,102	4,257	4,420	4,591	4,771	4,960

NOTE: The hour projections above are just estimates and are not intended to dictate the level of staffing. It is up to the contractor to include in its proposal the staffing level and clearly demonstrate that the staffing will result in quality performance.

SA 2-2: Final Quality Assurance Surveillance Plan: Information Technology Operations and Maintenance Services

1.0 Introduction

This Quality Assurance Plan (QASP) is written pursuant to the requirements listed in the Performance Work Statement (PWS) entitled "IT Operations and Maintenance Services." This QASP sets forth the procedures and guidelines the BBIA will use in evaluating the technical performance of the Operations and Maintenance service contractor.

1.1 Purpose

The purpose of this QASP is to describe the systematic methods used to measure performance and to identify the reports required and the resources to be employed. The QASP provides a means for evaluating whether the contractor is meeting performance standards identified in the PWS. This QASP is designed to define roles and responsibilities, identify the performance objectives, define the methodologies used to monitor and evaluate the contractor's performance, describe quality assurance reporting, and describe the analysis of quality assurance monitoring results.

1.2 Performance Management Strategy

1.2.1 The contractor's Quality Control Plan (QCP) will set forth the staffing and procedures for self-inspecting the quality, timeliness, responsiveness, and other performance requirements in the PWS. The contractor must develop and implement a performance management system with processes to assess and report their performance to the COR.

1.2.2 The COR will monitor performance and determine how the contractor is performing against the performance objective stated in Technical Exhibit 1, Performance Requirement Summary, of the PWS. The government will make decisions based on performance data and notify the contractor of those decisions. The contractor will be responsible for making the required changes in their processes and practices to ensure performance is effectively managed.

2.0 Government Roles and Responsibilities

The following personnel must oversee and coordinate surveillance activities.

2.1 Contracting Officer

The CO must ensure performance of all necessary actions for effective contracting, ensure compliance with the contract terms, and must safeguard the interests of the United States in the contractual relationship. The CO must also assure that the contractor receives impartial, fair, and equitable treatment under this contract. The CO is ultimately responsible for the final determination of the adequacy of the contractor's performance.

2.2 Contracting Officer's Representative (COR)

The COR is responsible for technical administration of the contract and must ensure proper government surveillance of the contractor's performance. The COR must keep a quality assurance file. The COR is not empowered to make any contractual commitments or to authorize any contractual changes on the Government's behalf.

3.0 Methods of Surveillance

The below listed methods of surveillance must be used in the administration of this QASP. In addition to specific instructions that may be mentioned, the appropriate and standardized form that is to be used for documentation for QA surveillance is the surveillance activity checklist.

3.1 Review of Help Desk Tracking System

This level of inspection must be accomplished by automated monitoring and documentation features built into the contractor's help desk software package. Each month, the COR will review the generated documentation and enter summary results into the surveillance activity checklist.

3.2 Review of Network Monitoring System

This level of inspection must be accomplished by automated monitoring and documentation features built into the contractor's network monitoring software package. Each month, the COR will review the generated documentation and enter summary results into the surveillance activity checklist.

3.3 Review of Contractor Documentation and Reports

The COR will review the contractor's system backup documentation, network security report, and property disposal records to ensure actions have been completed as specified in the PWS.

3.4 Observations of Performance

During each month, the COR will randomly observe help desk operations to measure how promptly the contractor handles customer calls. During each month the COR will observe contractor restoration of data using a system back-up tape randomly selected by the COR.

3.5 Annual Joint Equipment Inventory

The contractor and COR will jointly conduct an annual physical inventory of all BBIA IT assets and compare the physical inventory quantities with those in the contractor's asset management system.

4.0 Performance Standards

The Performance Requirements Summary, Technical Exhibit 1 of the Performance Work Statement (PWS), and Attachment 1 to this QASP includes performance standards. The Government must use these standards to determine contractor performance and must compare contractor performance to the Acceptable Quality Level (AQL).

5.0 Documentation

The COR will, in addition to providing documentation to the contracting officer, maintain a complete quality assurance file. The file will contain copies of all reports, evaluations, recommendations, and any actions related to the government's performance of the quality assurance function, including the originals of all surveillance activity checklists. All such records will be retained for the life of this contract. The COR must forward these records to the contracting officer at termination or completion of the contract.

Attachment 1 — Performance Requirements Summary

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Manage accounts, network rights, access to network systems and equipment (5.2)	Requests for account creation are promptly completed Requests for account deletion are promptly completed	Complete account creation within 2 business days of receipt Complete account deletion request within 4 business days of receipt	90%	Review of help desk tracking system	
Promptly resolve customer requirements (5.2)	Resolve customer requirements during the first call	Customer requirements resolved to customer satisfaction during the first call	80%	Review of help desk tracking system	
LAN Availability (5.3)	LAN available during business hours	LAN fully operational during business hours	95%	Review of network monitoring system	
Remote access network connectivity (5.3)	Remote access network available during business hours	Remote access network fully operational during business hours	90%	Review of network monitoring system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Network protected from unauthorized intrusion (5.5)	Protection from network intrusion Prompt response to unauthorized intrusion to network	No unauthorized network intrusion Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	100 %	Review of weekly contractor Network Security Report	
Network and IT equipment free of malicious programs (5.5)	Protection of network and IT equipment from virus, malware, adware, spyware, and other malicious programs	Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	95%	Review of weekly contractor Network Security Report	
Data assurance (5.5)	Back up all servers daily Restore data using back-up tapes	All servers must be backed up on a daily basis Perform restore using back-up tapes	100 %	Monthly contractor backup documentation review Observation of performance. Contractor will demonstrate restoration of data using a tape randomly selected by the COR.	
IT equipment and software operational when needed (5.4)	Timely repair/replacement of equipment and software	Repair or replacement is provided within 24 hours request for service	90%	Review of help desk tracking system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Ensure accurate and efficient asset accountability across the organization (5.6)	Provide accurate inventory of all IT assets	Physical inventory quantities match quantities tracked in asset management system	95%	Joint annual physical equipment inventory	
Ensure accurate and efficient asset accountability across the organization (5.6)	Ensure hardware, software, data, and facility resources are achieved and sanitized, prior to disposal	No sensitive data compromised as a result of failure to follow disposition policy	100 %	Inspection of Monthly Property Reports	

The factors included in this PRS are considered by the government to be key performance factors for the requirement.

Contract Number: _____

Attachment 2 — Surveillance Activity Checklist

Performance Requirement	Performance Standard	Surveillance Method	AQL	Contractor's Performance Metrics	Compliance (Exceeded, Met, Not Met, or Partially Met)

Surveillance Activity Checklist (to be performed (Daily) (Monthly) (Weekly). etc.)

Attachment 3 — Contract Discrepancy Report

1. Contract Number		2. Report Number for this Discrepancy	
3. To: <i>(Contractor and Manager's Name)</i>		4. From: (Name of QAE)	
5. Dates			
Prepared:	Returned by Contractor:	Action Completed:	
6. Discrepancy or Problem: (Describe in detail; include reference to PWS Directive; attach continuation sheet if necessary.)			
7. Signature of Contracting Officer			
8. To: <i>(Contracting Officer)</i>		From: <i>(Contractor)</i>	
9. Contractor Response as to Cause, Corrective Action and Actions to Prevent Recurrence; Attach continuation sheet if necessary. (Cite applicable QC program procedures or new QC procedures)			
10. Signature of Contractor Representative		Date	
11. Government Evaluation <i>(Acceptance, partial acceptance, rejection; attach continuation sheet if necessary)</i>			

12. Government Actions (*Reduced payment, cure notice, show cause, other*)

Closeout

	Name–Title	Signature	Date
Contractor Notified			
QAE			
ACO			

SA 2-3: Pre-Proposal Conference

Team Name _____

Team Members (First and Last Names)

_____	_____
_____	_____
_____	_____

This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. All team members will receive the same grade.

Objective

Prepare for a pre-proposal conference

Instructions

Read the following scenario and answer the questions that follow.

Scenario: Mr. Price is pleased with the final PWS and QASP. However, given the problems with the previous contractor, he asked for suggestions to ensure all offerors have a clear understanding of BBIA's requirements. The contracting officer, Mr. Farr, suggested a pre-proposal conference to discuss and clarify the requirement with potential offerors. Mr. Price agreed. You, the COR, have been asked to identify those areas of the requirement that may require clarification and prepare an agenda for the pre-proposal conference.

- 1 What aspects of the PWS are most likely to require clarification during the pre-proposal conference?
- 2 Prepare an agenda for the pre-proposal conference.

SA 3-1: Non-Cost Evaluation Factors

Objective

Develop non-cost evaluation factors and subfactors for use in evaluating technical proposals.

Instructions

Read the following scenario and complete the tasks that follow. Be prepared to discuss your responses.

Scenario

During the next team meeting Mr. Price approved the final PWS and QASP and thanked the team for a job well done. He is pleased with the progress the team has made in planning the acquisition.

The contracting officer, Ino Farr, briefed that she has decided to set aside the new contract for Service-Disabled Veteran Owned Small Business (SDVOSB) concerns since market research indicates that offers are expected to be received from two or more SDVOSBs and award will be made at a fair market price.

The next step in the planning process is to select evaluation factors for the award. Mr. Price has asked your team to recommend non-cost evaluation factors to evaluate proposals. He reminded your team to choose only the factors and subfactors that you consider to be meaningful discriminators between potential contractors. He said “it is better to have a minimum number of meaningful factors than to try to include everything in the PWS.”

1. Using the final PWS and what you know about the IT Division Chief's desires for the new contract, recommend technical evaluation factors and any subfactors to be used in evaluating contractor proposals. You may also refer to FAR 15.104. Establish the relative importance of any subfactors. Write your answers in the **Evaluation Factors Worksheet** on the pages that follow.

Some common non-cost factors in tradeoff source selections for service contracts are:

- Technical approach
- Understanding of requirements
- Technical capability
- Consideration of alternatives
- Personnel qualifications
- Availability of key personnel
- Use of subcontractors
- Management plan
- Experience
- Initial transition planning
- Past performance

Do not be constrained by these sample factors. If you can think of others that are more appropriate, use them.

2. Using the space below, write a sentence or two that establishes the **relative importance of the non-cost factors** you selected on the worksheet **to each other**.

3. Recommend whether non-cost factors should be:

- a. More important than cost/price.
- b. Equal in importance than cost/price.
- c. Less important than cost/price.

Circle your response above. Write your justification in the space below.

Evaluation Factors Worksheet

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

Factor:

Subfactors, if any:

Relative importance of subfactors:

FAR 15.104, Establishing competitive evaluation factors and significant subfactors.

- (a) *General.* A competitive award decision is based on evaluation factors and significant subfactors that are tailored to the acquisition. Evaluation factors and significant subfactors must represent the key areas of importance and emphasis to be considered in the source selection decision; and support meaningful differentiation between competing proposals. All factors and significant subfactors that will affect contract award and their relative importance must be stated clearly in the RFP (10 U.S.C. 3206(b)(1) and 41 U.S.C. 3306(b)(1)).
- (b) *Required factors.* The evaluation factors and significant subfactors that apply to an acquisition and their relative importance are within the broad discretion of agency acquisition officials, subject to the following requirements:
 - (1) *Price or cost.*
 - (i) Price or cost to the Government must be evaluated in every competitive source selection (10 U.S.C. 3206(c)(1)(B) and 41 U.S.C. 3306(c)(1)(B)). Proposed price reductions under an offeror's other contracts cannot be used as an evaluation factor.
 - (ii) In accordance with 10 U.S.C. 3206(c), for DoD, NASA, and the Coast Guard:
 - (1.) Contracting officers may choose not to include price or cost as an evaluation factor for award when an RFP—
 - (1.) Has an estimated value above the simplified acquisition threshold;
 - (2.) Will result in multiple-award contracts that are for the same or similar services; and
 - (3.) States that the Government intends to make an award to each and all qualifying offerors.
 - (4.) If the contracting officer chooses not to include price or cost as an evaluation factor for the contract award, in accordance with paragraph (b)(1)(ii)(A) of this section, the contracting officer must consider price or cost as one of the factors in the selection decision for each order placed under the contract.
 - (5.) The exception in paragraph (B)(1)(ii)(A) of this section must not apply to RFPs for multiple-award contracts that provide for sole source orders pursuant to section 8(a) of the Small Business Act (15 U.S.C. 637(a)).
 - (2) *Quality.* The quality of the product or service must be evaluated in every competitive source selection through consideration of one or more non-cost evaluation factors such as past performance, compliance with RFP requirements, technical excellence, management capability,

personnel qualifications, and prior experience ((10 U.S.C. 3206(c)(1)(A) and 41 U.S.C. 3306(c)(1)(A)).

(3) *Past performance.*

- (i) Past performance must be evaluated in every competitive source selection, unless the contracting officer documents the reason past performance is not an appropriate evaluation factor for the acquisition. This evaluation is separate from the responsibility determination required under part 9.
- (ii) The RFP must—
 - (1.) Describe the general approach for evaluating past performance information, including evaluating offerors with no relevant performance history;
 - (2.) Provide offerors an opportunity to: identify past or current contracts (including Federal, State, and local government, private sector, and other contracts) for efforts similar to the Government requirement, and provide information on problems encountered on the identified contracts and the offeror corrective actions; and
- (iii) The RFP may describe the agency's approach to considering the currency and relevance, source, and context of the information to be requested.

(c) *Situational factors.* For competitive RFPs that are not set aside for small business concerns, involving consolidation or bundling, that offer a significant opportunity for subcontracting, the contracting officer must include—

- (1) A factor to evaluate past performance indicating the extent to which the offeror attained applicable goals for small business participation under contracts that required subcontracting plans (15 U.S.C. 637(d)(4)(G)(ii)); and
- (2) A factor to evaluate the proposed small business subcontracting participation in the subcontracting plan (15 U.S.C. 637(d)(4)(G)(i)).

(d) *Factor importance.* In addition to stating the relative importance of each evaluation factor, and unless the exception at paragraph (b)(1)(ii) of this section applies, the RFP must also state, at a minimum, whether all evaluation factors other than cost or price, when combined, are—

- (1) Significantly more important than cost or price;
- (2) Appropriately equal to cost or price; or
- (3) Significantly less important than cost or price (10 U.S.C. 3206(c)(1)(C) and 41 U.S.C. 3306(c)(1)(C)).

SA 3-2: Reviewing the Contract

Objective

Identify and understand the obligations of all parties under the contract.

Instructions

You are the COR on the new IT O&M contract. Your COR delegation letter indicates that you should become familiar with the contract.

The following documents are attached:

- Summary of the source selection
- COR delegation letter
- The new contract

In your teams, review these documents and answer the following questions. Be prepared to discuss your responses.

1. What is the unit price, in the base year, for one month of IT Operations and Maintenance services?
2. When does the period of performance under this contract end?
3. Where in the contract are instructions for notifying the contractor that the government intends to exercise an option?

4. When must the government notify the contractor that it intends to exercise an option?
5. Where can you find a list of the contractor reports required by this contract?
6. What clause governs the contractor's use of government furnished property?
7. For which type of delays may the contractor be excused?
8. What security requirements must be met before a contractor can start work under the contract?

9. If there is a conflict between the PWS or QASP and a contract clause, then which applies? How do you know?

10. Does the government have the right to issue a unilateral contract modification to the contract's terms and conditions?

11. Where in the contract can you find the procedures for submitting, processing, and paying contractor invoices?

12. Where are inspection and acceptance and quality assurance procedures addressed in the contract?

Source Selection Summary

The new contract was awarded to Sharkey IT Solutions, which provided the best value proposal. Sharkey is a relatively new IT company. They have been subcontractors on a number of prior contracts, but this is their first contract as a prime contractor.

Sharkey's key personnel include:

Name	Title	Phone
Otto Sharkey	President	703-111-9999
Joe Garner	Contracts Manager	703-111-9998
Marilyn Everett	Project Manager	703-111-9997 703-222-1111 (cell)
Larry Howard	Assistant Project Manager	703-111-9996 703-222-1112 (cell)

Sharkey's technical proposal and management proposals received the highest rating and were clearly superior to the other two offerors in the competitive range. Sharkey's strengths included their approach to providing IT O&M services, their personnel staffing plan, and their transition plan. Sharkey's price was slightly higher than the other two offerors.

Since Sharkey is a relatively new company, they did not have a record of relevant past performance as a prime contractor. However, they did have some relevant performance as a subcontractor on three contracts with the same scope as the BBIA contract. While there were no noted performance issues, the evaluation team gave Sharkey a "significant confidence" past performance rating, meaning Sharkey's past performance record provides little doubt that they will be able to successfully provide IT O&M services that meet or exceed the government's requirement with little government intervention. Sharkey was given this rating instead of the highest rating of "high confidence" mainly due Sharkey's lack of relevant past performance as a prime contractor.

Although the technical evaluation team was concerned about risks presented by Sharkey's lack of experience as a prime contractor, it was not enough to preclude them from giving Sharkey's proposal the highest overall ranking.

The SSA determined that Sharkey's exceptional technical and management approach was well worth the slightly higher price and the risk presented by Sharkey's lack of a record of relevant past performance as a prime contractor.

After a thorough debriefing, neither of the unsuccessful offerors protested the award.

The contracting officer, Ino Farr, has assigned J.R. Farmeister to be the Contract Specialist for this contract. Since the BBIA is retaining contract administration for this contract, all contract files will be housed in the BBIA Acquisition Management Division.

COR Delegation Letter

To: [Your Name]

From: INO D. FARR

Date: December 1, 2XXX

Re: Appointment as Contracting Officer's Representative (COR)

You are formally appointed as the Contracting Officer's Representative (COR) for contract BBIA-XX-C-1234 with Sharkey IT Solutions. Written modifications to the contract will be forwarded to you as they occur.

As the COR, you are authorized as my direct representative in the technical monitoring and administration of this contract with very specific limitations. As a COR, you *must*:

- a. Complete and file with the BBIA Ethics Office a Confidential Financial Disclosure Report within 30 days following COR appointment, and annually thereafter, until the termination of the COR appointment.
- b. Act as the Contracting Officer's authorized representative for contract administration functions that do not involve changes to the scope, price, schedule, terms and conditions of the contract.
- c. Monitor the contractor's performance of the technical requirements including, but not limited to, review and approval of invoices/vouchers.
- d. Provide suggestions to the Contracting Officer for improvements and changes that would facilitate better work performance or streamline processes to the advantage of the Government and/or contractor.
- e. Coordinate with the Contracting Officer actions relating to funding and changes in the scope of work.
- f. Ensure that changes in the work or services, and resulting effects on delivery schedule, are formally effected by written modification issued by the Contracting Officer before the contractor proceeds with the changes.
- g. Ensure prompt review of draft reports and provide approval to the contractor so that distribution of reports can be within the specified completion date of the contract, and assure prompt inspection and acceptance or rejection of other deliverable items.
- h. Maintain a contract working file to include a copy of the contract and all modifications, correspondence, invoices/vouchers, financial tracking, reviews and past performance information.
- i. Refer to the Contracting Officer those matters, other than purely technical problems, which may affect the contract.
- j. Inform the Contracting Officer in writing when a contractor is known to be behind schedule, with reasons thereof, and coordinate with the Contracting Officer any corrective action necessary to restore the schedule.
- k. Provide the Contracting Officer with a copy of Government contractor reports and correspondence. Coordinate with the Contracting Officer on the content of any contractually significant correspondence addressed to the contractor. These steps are taken to prevent possible misunderstanding or the creation of a condition that may later be made the basis of a claim.
- l. Request that the Contracting Officer authorize Government-furnished-property and, when requested by the Contracting Officer, provide disposition advice on Government-furnished property or contractor-acquired property.
- m. For a contract having a period of performance or delivery due date greater than one year, and having one or more options, (1) no later than 30 calendar days prior to the planned exercise date of an option, evaluate the contractor's performance; and, (2) evaluate the contractor's performance promptly (but no later than 10 Government working days) upon completion of all contractual requirements.
- n. Report any suspected procurement fraud, waste, abuse, bribery, conflict of interest, or other improper conduct to the Contracting Officer and proper BBIA Security Office.
- o. Review and submit recommendations to the Contracting Officer on subcontracts, considering the privity of contract that exists between the prime contractor and subcontractor.
- p. Ensure that the contractor submits proper security clearance forms, as required by the contract, and coordinate with the appropriate officer(s).
- q. Ensure the contractor has a current facility clearance, as well as other appropriate clearances for contractor personnel to have access to classified material, as soon as it is determined that access to classified material will be required to complete the contractual requirements.

- r. Ensure that the BBIA Security Office is notified at contract conclusion, or when contractor employees depart during contract performance, and facilitate the collection of badges and cancellation of systems access and security clearances.
- s. Recommend approval or disapproval to the Contracting Officer concerning a contractor's request for public release regarding work being performed under the contract.
- t. Notify the Contracting Officer of inventions by the contractor during the performance of the contract.
- u. Provide the Contracting Officer with a formal request for termination, when required.
- v. Review the contractor's invoices/vouchers to ensure that they accurately reflect the work completed in accordance with the requirements of the contract, and certify acceptance of the delivered items.
- w. Respond to requests for information relating to contract closeout support, including furnishing the Contracting Officer a notice of satisfactory or unsatisfactory completion.

As COR you *must not*:

- a. Make commitments or promises to contractors relating to award of contracts.
- b. Make any agreement with the contractor requiring the obligation of public funds.
- c. Discuss procurement plans or any other advance information that might provide preferential treatment to one firm over another when a solicitation is issued for a competitive procurement.
- d. Write contract requirements around the product or capacity of one source.
- e. Solicit proposals.
- f. Modify the stated terms and conditions of the contract, including the description of services to be performed, time of performance, or place of performance.
- g. Direct a contractor to begin work prior to contract award date (or Notice to Proceed letter).
- h. Issue instructions (oral or written) to a contractor to start or stop work.
- i. Approve items of cost not specifically authorized by the contract.
- j. Direct changes (oral or written) or provide any guidance in the work to the contractor that contradict the contract's scope and terms and conditions or that may be misinterpreted as properly changing the contractual terms and conditions, but actually jeopardize the rights of or the benefits to the Government, the contract, or both.
- k. Execute supplemental agreements to the contract.
- l. Participate in negotiations with a contractor without the presence of a Contracting Officer.
- m. Render a decision on any dispute or question of fact under the Disputes Clause of the contract.
- n. Take any action with respect to termination, except to notify the Contracting Officer that the action is desired and to assist with the process as required.
- o. Interfere with the contractor's management prerogative by supervising contractor employees or otherwise directing their work efforts.
- p. Authorize a contractor to obtain property for use under a contract, or allow government property accountable under one contract to be used under another.
- q. Provide information that might give a contractor an unfair competitive advantage.

You must notify the Contracting Officer promptly of:

- Any violation of, or deviation from, the technical requirements of the contract/order
- Inefficient or wasteful practices in use by the contractor
- Any requests for changes from the contractor
- Issues that require clarification or resolution
- Inconsistencies between invoiced charges and performance, including the use of improper labor categories
- Any circumstances that prevent you from performing your COR responsibilities

Your authority is limited and does not include commitments or changes that affect price, quality, quantity, or other terms and conditions of the contract. Only a warranted Contracting Officer has the authority to make those changes to the contract. Keep these limitations in mind during your interactions with the contractor employees. You may be personally liable for unauthorized acts.

Your actions as the COR for this contract become a matter of record and should be completely documented in the contract working file. I strongly encourage you to ask questions if you are uncertain of your authority and responsibility. Your relationship with the contractor must be beyond reproach. The BBIA requires strict compliance with established Standards of Conduct and Conflict of Interest rules.

Responsibilities outlined in this memorandum are not intended to be all-inclusive. If a specific situation arises that you think requires my attention, please do not hesitate to call me. Your appointment is effective throughout the life of the contract, unless otherwise revoked. Please notify me if you can no longer serve as the appointed COR on this contract, or if you leave your current position. You cannot redelegate COR authority.

If you have any questions or issues regarding this delegation, please feel free to contact J.R. Farmeister, Contract Specialist at (202) 222-5678 or me at (202) 222-5679.

//SIGNED//

INO D. FARR

Contracting Officer

Acknowledgement:

I understand and accept my assignment as COR for contract BBIA-XX-C-1234, Information Technology Operations and Maintenance Services. I understand and agree to the responsibilities and limitations outlined in this delegation letter.

COR Signature and Title

Date

Attachment:

Contract BBIA-XX-C-1234

[Solicitation/Contract/Order For Commercial Items](#)

SOLICITATION/CONTRACT/ORDER FOR COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

NOTE: OFFEROR TO COMPLETE BLOCKS 12, 17, 23, 24, AND 30.

1. REQUISITION NUMBER			PAGE 1 OF		
2. CONTRACT NUMBER	3. AWARD/EFFECTIVE DATE	4. ORDER NUMBER	5. SOLICITATION NUMBER	6. SOLICITATION ISSUE DATE	
7. FOR SOLICITATION INFORMATION CALL:			a. NAME		b. TELEPHONE NUMBER (<i>No collect calls</i>)
			8. OFFER DUE DATE/ LOCAL TIME		
9. ISSUED BY CODE			10. THIS ACQUISITION IS ☐ UNRESTRICTED OR ☐ SET ASIDE: _____ % FOR: ☐ SMALL BUSINESS ☐ WOMEN-OWNED SMALL BUSINESS (WOSB) NORTH AMERICAN INDUSTRY CLASSIFICATION STANDARD (NAICS): ☐ HUBZONE SMALL BUSINESS ECONOMICALLY DISADVANTAGED ☐ SERVICE-DISABLED VETERAN-OWNED SMALL BUSINESS (EDWOSB) SIZE STANDARD: ☐ (SDVOSB) ☐ 8(A)		
11. DELIVERY FOR FREE ON BOARD (FOB) DESTINATION UNLESS BLOCK IS MARKED ☐ SEE SCHEDULE	12. DISCOUNT TERMS		13a. THIS CONTRACT IS A ☐ RATED ORDER UNDER THE DEFENSE PRIORITIES AND ALLOCATIONS SYSTEM - DPAS (15 CFR 700)		13b. RATING
			14. METHOD OF SOLICITATION REQUEST ☐ REQUEST FOR QUOTE (RFQ) ☐ INVITATION FOR BID (IFB) ☐ REQUEST FOR PROPOSAL (RFP)		
15. DELIVER TO CODE			16. ADMINISTERED BY CODE		
17a. CONTRACTOR/ OFFEROR CODE FACILITY CODE			18a. PAYMENT WILL BE MADE BY CODE		
TELEPHONE NUMBER			18b. SUBMIT INVOICES TO ADDRESS SHOWN IN BLOCK 18a UNLESS BLOCK BELOW IS CHECKED ☐ SEE ADDENDUM		
☐ 17b. CHECK IF REMITTANCE IS DIFFERENT AND PUT SUCH ADDRESS IN OFFER					
19. ITEM NUMBER	20. SCHEDULE OF SUPPLIES/SERVICES		21. QUANTITY	22. UNIT	23. UNIT PRICE
(Use Reverse and/or Attach Additional Sheets as Necessary)					
25. ACCOUNTING AND APPROPRIATION DATA				26. TOTAL AWARD AMOUNT (<i>For Government Use Only</i>)	
☐ 27a. SOLICITATION INCORPORATES BY REFERENCE (FEDERAL ACQUISITION REGULATION) FAR 52.212-1, 52.212-4. FAR 52.212-3 AND 52.212-5 ARE ATTACHED. ADDENDA ☐ 27b. CONTRACT/PURCHASE ORDER INCORPORATES BY REFERENCE FAR 52.212-4. FAR 52.212-5 IS ATTACHED. ADDENDA ☐ ARE ☐ ARE NOT ATTACHED ☐ ARE ☐ ARE NOT ATTACHED					
28. CONTRACTOR IS REQUIRED TO SIGN THIS DOCUMENT AND RETURN COPIES TO ISSUING OFFICE. CONTRACTOR AGREES TO FURNISH AND DELIVER ALL ITEMS SET FORTH OR OTHERWISE IDENTIFIED ABOVE AND ON ANY ADDITIONAL SHEETS SUBJECT TO THE TERMS AND CONDITIONS SPECIFIED			29. AWARD OF CONTRACT: REFERENCE _____ OFFER DATED . _____. YOUR OFFER ON SOLICITATION (BLOCK 5), INCLUDING ANY ADDITIONS OR CHANGES WHICH ARE SET FORTH HEREIN, IS ACCEPTED AS TO ITEMS:		
30a. SIGNATURE OF OFFEROR/CONTRACTOR			31a. UNITED STATES OF AMERICA (<i>SIGNATURE OF CONTRACTING OFFICER</i>)		
30b. NAME AND TITLE OF SIGNER (<i>Type or print</i>)	30c. DATE SIGNED	31b. NAME OF CONTRACTING OFFICER (<i>Type or print</i>)		31c. DATE SIGNED	

19. ITEM NUMBER	20. SCHEDULE OF SUPPLIES/SERVICES	21. QUANTITY	22. UNIT	23. UNIT PRICE	24. AMOUNT

32a. QUANTITY IN COLUMN 21 HAS BEEN

☐ RECEIVED

☐ INSPECTED

☐ ACCEPTED, AND CONFORMS TO THE CONTRACT, EXCEPT AS NOTED: _____

32b. SIGNATURE OF AUTHORIZED GOVERNMENT REPRESENTATIVE

32c. DATE

32d. PRINTED NAME AND TITLE OF AUTHORIZED GOVERNMENT REPRESENTATIVE

32e. MAILING ADDRESS OF AUTHORIZED GOVERNMENT REPRESENTATIVE

32f. TELEPHONE NUMBER OF AUTHORIZED GOVERNMENT REPRESENTATIVE

32g. EMAIL OF AUTHORIZED GOVERNMENT REPRESENTATIVE

33. SHIP NUMBER

34. VOUCHER NUMBER

35. AMOUNT VERIFIED
CORRECT FOR

36. PAYMENT

37. CHECK NUMBER

☐ PARTIAL ☐ FINAL

☐ COMPLETE ☐ PARTIAL ☐ FINAL

STOCK RECORD (S/R)

38. S/R ACCOUNT NUMBER

39. S/R VOUCHER NUMBER

40. PAID BY

41a. I CERTIFY THIS ACCOUNT IS CORRECT AND PROPER FOR PAYMENT

41b. SIGNATURE AND TITLE OF CERTIFYING OFFICER

41c. DATE

42a. RECEIVED BY *(Print)*

42b. RECEIVED AT *(Location)*

42c. DATE RECEIVED *(MM/DD/YYYY)*

42d. TOTAL CONTAINERS

SF 1449 – CONTINUATION SHEET

ITEM NO.	SUPPLIES/SERVICES	QTY	UNIT	UNIT PRICE	AMOUNT
0001	Contract Transition (Firm-Fixed-Price) Complete contract transition IAW the contractor's initial transition plan during the period December 1, 2XXX through December 31, 2XXX	1	Month	\$200,000.00	\$200,000.00
0002	Information Technology Operations and Maintenance Services (Base Year) (FFP) Provide on-site Information Technology (IT) Operations and Maintenance Services for the Period January 1, 2XX0 through November 30, 2XX0 in accordance with the Performance Work Statement.	11	Month	\$416,667.00	\$4,583,337.00
0003	Information Technology Operations and Maintenance Services (Option Year 1) (FFP) Provide on-site Information Technology (IT) Operations and Maintenance Services for the Period December 1, 2XX0 through November 30, 2XX2 in accordance with the Performance Work Statement.	12	Month	\$431,250.00	\$5,175,000.00
0004	Information Technology Operations and Maintenance Services (Option Year 2) (FFP) Provide on-site Information Technology (IT) Operations and Maintenance Services for the Period December 1, 2XX2 through November 30, 2XX3 in accordance with the Performance Work Statement.	12	Month	\$444,188.00	\$5,330,256.00
0005	Information Technology Operations and Maintenance Services (Option Year 3) (FFP) Provide on-site Information Technology (IT) Operations and Maintenance Services for the Period December 1, 2XX3 through November 30, 2XX4 in accordance with the Performance Work Statement.	12	Month	\$457,513.00	\$5,490,156.00

ITEM NO.	SUPPLIES/SERVICES	QTY	UNIT	UNIT PRICE	AMOUNT
0006	Information Technology Operations and Maintenance Services (Option Year 4) (FFP) Provide on-site Information Technology (IT) Operations and Maintenance Services for the Period December 1, 2XX4 through November 30, 2XX5 in accordance with the Performance Work Statement.	12	Month	\$471,374.00	\$5,656,488.00

The following clauses are hereby incorporated by full text:

52.212-4 Contract Terms and Conditions—Commercial Products and Commercial Services.

As prescribed in 12.301(b)(3), insert the following clause: Contract Terms and Conditions—Commercial Products and Commercial Services (Deviation Aug 2025)

- (a) *Definitions.* The clause at Federal Acquisition Regulation (FAR) 52.202-1, Definitions, is incorporated by reference.
- (b) *Inspection/Acceptance.* The Contractor shall only tender for acceptance those items that conform to the requirements of this contract. The Government reserves the right to inspect or test any supplies or services that have been tendered for acceptance. The Government may require repair or replacement of nonconforming supplies or reperformance of nonconforming services at no increase in contract price. If repair/replacement or reperformance will not correct the defects or is not possible, the Government may seek an equitable price reduction or adequate consideration for acceptance of nonconforming supplies or services. The Government must exercise its post acceptance rights—
 - (1) Within a reasonable time after the defect was discovered or should have been discovered; and
 - (2) Before any substantial change occurs in the condition of the item, unless the change is due to the defect in the item.
- (c) *Assignment.* The Contractor or its assignee may assign its rights to receive payment due as a result of performance of this contract to a bank, trust company, or other financing institution, including any Federal lending agency in accordance with the Assignment of Claims Act (31 U.S.C. 3727). However, when a third party makes payment (e.g., use of the Governmentwide commercial purchase card), the Contractor may not assign its rights to receive payment under this contract.
- (d) *Changes.* Changes in the terms and conditions of this contract may be made only by written agreement of the parties.
- (e) *Disputes.* This contract is subject to 41 U.S.C. chapter 71, Contract Disputes. Failure of the parties to this contract to reach agreement on any request for equitable adjustment, claim, appeal, or action arising under or relating to this contract shall be a dispute to be resolved in accordance with the clause FAR 52.233-1, Disputes, which is incorporated in this contract by reference. The Contractor shall proceed diligently with performance of this contract, pending final resolution of any dispute arising under the contract.

- (f) *Excusable delays.* The Contractor shall be liable for default unless nonperformance is caused by an occurrence beyond the reasonable control of the Contractor and without its fault or negligence. Examples of occurrences include acts of God or the public enemy, acts of the Government in either its sovereign or contractual capacity, fires, floods, epidemics, quarantine restrictions, strikes, unusually severe weather, and delays of common carriers. When an excusable delay occurs, the Contractor shall—
- (1) Notify the Contracting Officer in writing as soon as possible;
 - (2) Remedy the delay as quickly as possible; and
 - (3) Notify the Contracting Officer when the occurrence is over.
- (g) *Invoice.* The Government will handle invoices according to the Prompt Payment Act (31 U.S.C. 3903) and 5 CFR part 1315. The Contractor shall submit invoices to the address designated in the contract to receive invoices. An invoice must include the information required by 5 CFR part 1315.9(b).
- (h) *Patent indemnity.* The Contractor shall indemnify the Government and its officers, employees, and agents against liability, including costs, for actual or alleged direct or contributory infringement of, or inducement to infringe, any United States or foreign patent, trademark, or copyright, arising out of the performance of this contract, provided the Contractor is reasonably notified of such claims and proceedings.
- (i) *Payment—*
- (1) Items accepted. Payment shall be made for items accepted by the Government that have been delivered to the delivery destinations set forth in this contract.
 - (2) Prompt payment. The Government will make payment in accordance with the Prompt Payment Act (31 U.S.C. 3903) and prompt payment regulations at 5 CFR Part 1315.
 - (3) Discount. In connection with any discount offered for early payment, time shall be computed from the date of the invoice. For the purpose of computing the discount earned, payment shall be considered to have been made on the date which appears on the payment check or the specified payment date if an electronic funds transfer payment is made.
 - (4) Overpayments. If the Contractor becomes aware of a duplicate contract financing or invoice payment or that the Government has otherwise overpaid on a contract financing or invoice payment, the Contractor shall—
 - (i) Remit the overpayment amount to the payment office cited in the contract along with a description of the overpayment including the—
 - (1.) Circumstances of the overpayment (e.g., duplicate payment, erroneous payment, liquidation errors, date(s) of overpayment);
 - (2.) Affected contract number and delivery order number, if applicable;
 - (3.) Affected line item or subline item, if applicable; and
 - (4.) Contractor point of contact.
 - (ii) Provide a copy of the remittance and supporting documentation to the Contracting Officer.
- (5) *Interest.*
- (i) All amounts that become payable by the Contractor to the Government under this contract shall bear simple interest from the date due until paid unless paid within 30 days of becoming due. The interest rate shall be the interest rate established by the Secretary of the Treasury as provided in 41 U.S.C. 7109, which is applicable to the period in which the amount becomes due, as provided in (i)(6)(v) of this clause, and then at the rate applicable for each six-month period as fixed by the Secretary until the amount is paid.
 - (ii) The Government may issue a demand for payment to the Contractor upon finding a debt is due under the contract.
 - (iii) Final decisions. The Contracting Officer will issue a final decision as required by if—

- (1.) The Contracting Officer and the Contractor are unable to reach agreement on the existence or amount of a debt within 30 days;
 - (2.) The Contractor fails to liquidate a debt previously demanded by the Contracting Officer within the timeline specified in the demand for payment unless the amounts were not repaid because the Contractor has requested an installment payment agreement; or
 - (3.) The Contractor requests a deferment of collection on a debt previously demanded by the Contracting Officer (see 32.607-2).
- (iv) If a demand for payment was previously issued for the debt, the demand for payment included in the final decision shall identify the same due date as the original demand for payment.
- (v) Amounts shall be due at the earliest of the following dates:
 - (1.) The date fixed under this contract.
 - (2.) The date of the first written demand for payment, including any demand for payment resulting from a default termination.
- (vi) The interest charge shall be computed for the actual number of calendar days involved beginning on the due date and ending on—
 - (1.) The date on which the designated office receives payment from the Contractor;
 - (2.) The date of issuance of a Government check to the Contractor from which an amount otherwise payable has been withheld as a credit against the contract debt; or
 - (3.) The date on which an amount withheld and applied to the contract debt would otherwise have become payable to the Contractor.
- (vii) The interest charge made under this clause may be reduced under the procedures for interest credits prescribed in FAR part 32 in effect on the date of this contract.
- (j) *Risk of loss.* Unless the contract specifically provides otherwise, risk of loss or damage to the supplies provided under this contract shall remain with the Contractor until, and shall pass to the Government upon—
 - (1) Delivery of the supplies to a carrier, if transportation is f.o.b. origin; or
 - (2) Delivery of the supplies to the Government at the destination specified in the contract, if transportation is f.o.b. destination.
- (k) *Taxes.* The contract price includes all applicable Federal, State, and local taxes and duties.
- (l) *Termination for the Government's convenience.* The Government reserves the right to terminate this contract, or any part hereof, for its sole convenience. In the event of such termination, the Contractor shall immediately stop all work and shall immediately cause any and all of its suppliers and subcontractors to cease work. Subject to the terms of this contract, the Contractor shall be paid a percentage of the contract price reflecting the percentage of the work performed prior to the notice of termination, plus reasonable charges the Contractor can demonstrate to the satisfaction of the Government using its standard record keeping system, have resulted from the termination. The Contractor shall not be required to comply with the cost accounting standards or contract cost principles for this purpose. This paragraph does not give the Government any right to audit the Contractor's records. The Contractor shall not be paid for any work performed or costs incurred which reasonably could have been avoided.
- (m) *Termination for cause.* The Government may terminate this contract, or any part hereof, for cause in the event of any default by the Contractor, or if the Contractor fails to comply with any contract terms and conditions, or fails to provide the Government, upon request, with adequate assurances of future performance. The Government will send a cure notice to the Contractor, unless the reason for the termination is late delivery. In the event of termination for cause, the Government shall not be liable to the Contractor for any amount for supplies or services not accepted, and the Contractor shall be liable to the Government for any and all rights and remedies provided by law. If it is

determined that the Government improperly terminated this contract for default, such termination shall be deemed a termination for convenience.

- (n) *Title*. Unless specified elsewhere in this contract, title to items furnished under this contract shall pass to the Government upon acceptance, regardless of when or where the Government takes physical possession.
- (o) *Warranty*. The Contractor warrants and implies that the items delivered hereunder are merchantable and fit for use for the particular purpose described in this contract.
- (p) *Limitation of liability*. Except as otherwise provided by an express warranty, the Contractor will not be liable to the Government for consequential damages resulting from any defect or deficiencies in accepted items.
- (q) *Compliance with laws unique to Government contracts*. The Contractor agrees to comply with 31 U.S.C. 1352 relating to limitations on the use of appropriated funds to influence certain Federal contracts; 40 U.S.C. chapter 37, Contract Work Hours and Safety Standards; 41 U.S.C. chapter 87, Kickbacks; 49 U.S.C. 40118, Government-financed air transportation; and 41 U.S.C. chapter 21 relating to procurement integrity.
- (r) *Order of precedence*. Any inconsistencies in this solicitation or contract shall be resolved by giving precedence in the following order: (1) The schedule of supplies/services; (2) The Disputes, Payments, Invoice, Compliance with Laws Unique to Government Contracts, and Unauthorized Obligations paragraphs of this clause; (3) Other contract clauses incorporated in the solicitation or contract; (4) Addenda to this solicitation or contract; (5) Solicitation provisions incorporated in the solicitation; (6) Other paragraphs of this clause; (7) Other documents, exhibits, and attachments; and (8) The specification.
- (s) *Unauthorized obligations*.
 - (1) Except as stated in paragraph (s)(2) of this clause, when any supply or service acquired under this contract is subject to any End User License Agreement (EULA), Terms of Service (TOS), or similar legal instrument or agreement, that includes any clause requiring the Government to indemnify the Contractor or any person or entity for damages, costs, fees, or any other loss or liability that would create an Anti Deficiency Act violation (31 U.S.C. 1341), the following shall govern:
 - (i) Any such clause is unenforceable against the Government.
 - (ii) Neither the Government nor any Government-authorized end user shall be deemed to have agreed to such clause by virtue of it appearing in the EULA, TOS, or similar legal instrument or agreement. If the EULA, TOS, or similar legal instrument or agreement is invoked through an "I agree" click box or other comparable mechanism (e.g., "click-wrap" or "browse-wrap" agreements), execution does not bind the Government or any Government authorized end user to such clause.

- (iii) Any such clause is deemed to be stricken from the EULA, TOS, or similar legal instrument or agreement.
- (2) Paragraph (s)(1) of this clause does not apply to indemnification by the Government that is expressly authorized by statute and specifically authorized under applicable agency regulations and procedures.
- (t) *Comptroller General examination of record.* This paragraph applies if this contract was awarded using other than sealed bid procedures and is in excess of the simplified acquisition threshold on the date of award of this contract.
 - (1) The Comptroller General of the United States, or an authorized representative of the Comptroller General, shall have access to and right to examine any of the Contractor's directly pertinent records involving transactions related to this contract.
 - (2) The Contractor shall make available at its offices, at all reasonable times, the records, materials, and other evidence for examination, audit, or reproduction, until 3 years after final payment under this contract or for any shorter period specified in FAR part 4, longer period required by statute, or periods specified in other clauses of this contract. If this contract is completely or partially terminated, the records relating to the work terminated shall be made available for 3 years after any resulting final termination settlement. Records relating to appeals under the disputes clause or to litigation or the settlement of claims arising under or relating to this contract shall be made available until such appeals, litigation, or claims are finally resolved.
 - (3) As used in this clause, records include books, documents, accounting procedures and practices, and other data, regardless of type and regardless of form. This clause does not require the Contractor to create or maintain any record that the Contractor does not maintain in the ordinary course of business or pursuant to a provision of law.
- (u) *Incorporation by reference.* The Contractor's representations and certifications, including those completed electronically via the System for Award Management (SAM), are incorporated by reference into the contract.

(End of Clause)

Addenda to FAR 52.212-4 Contract Terms and Conditions – Commercial Products and Commercial Services

The following clauses are hereby incorporated by reference:

52.203-6, Restrictions on Subcontractor Sales to the Government (Alt I)
52.203-13, Contractor Code of Business Ethics and Conduct
52.203-17, Contractor Employee Whistleblower Rights
52.203-19, Prohibition on Requiring Certain Internal Confidentiality Agreements or Statements
52.204-9, Personal Identify Verification of Contractor Personnel
52.204-10, Reporting Executive Compensation and First-Tier Subcontract Awards
52.204-13, System for Award Management - Maintenance
52.209-6, Protecting the Government's Interest When Subcontracting with Contractors Debarred, Suspended, or Proposed for Debarment
52.209-9, Updates of Publicly Available Information Regarding Responsibility Matters
52.209-10, Prohibition on Contracting with Inverted Domestic Corporations
52.219-6, Notice of Total Small Business Set-Aside
52.219-8, Utilization of Small Business Concerns
52.219-9, Small Business Subcontracting Plan
52.219-16, Liquidated Damages – Subcontracting Plan
52.219-14, Limitations on Subcontracting
52.219–27, Notice of Set-Aside for, or Sole-Source Award to, Service-Disabled Veteran-Owned

Small Business (SDVOSB) Concerns Eligible Under the SDVOSB Program**52.219-28, Post Award Small Business Program Representation****52.219-33, Nonmanufacturer Rule****52.222-3, Convict Labor****52.222-19, Child Labor-Cooperation with Authorities and Remedies****52.222-35, Equal Opportunity for Veterans****52.222-36, Equal Opportunity for Workers with Disabilities****52.222-37, Employment Reports on Veterans****52.222-40, Notification of Employee Rights Under the National Labor Relations Act****52.222-50, Combating Trafficking in Persons****52.223-11, Ozone-Depleting Substances****52.223-23, Sustainable Products****52.225-1, Buy American-Supplies****52.226-8, Encouraging Contractor Policies to Ban Text Messaging While Driving****52.228-5, Insurance – Work on a Government Installation (Jan 1997)****52.232-33, Payment by Electronic Funds Transfer-System for Award Management****52.232-40, Providing Accelerated Payments to Small Business Subcontractors (Mar 2023)****52.233-3, Protest After Award****52.245-1, Government Property (Sep 2021)****52.245-9, Use and Charges (Apr 2012)****The following clauses are hereby incorporated by full text:****52.217-8 Option to Extend Services (Nov 1999)**

The Government may require continued performance of any services within the limits and at the rates specified in the contract. These rates may be adjusted only as a result of revisions to prevailing labor rates provided by the Secretary of Labor. The option provision may be exercised more than once, but the total extension of performance hereunder shall not exceed 6 months. The Contracting Officer may exercise the option by written notice to the Contractor within **60 days**.

(End of Clause)

52.217-9 Option to Extend the Term of the Contract (Mar 2000)

(a) The Government may extend the term of this contract by written notice to the Contractor within **30 days** provided that the Government gives the Contractor a preliminary written notice of its intent to extend at least **60** days before the contract expires. The preliminary notice does not commit the Government to an extension.

(b) If the Government exercises this option, the extended contract shall be considered to include this option clause.

(c) The total duration of this contract, including the exercise of any options under this clause, shall not exceed **66 months**.

(End of Clause)

9952.245-90 BBIA Security Investigations and Personal Identity Verification of Headquarters Contractor Personnel (Aug 2008)

Definition: as used in this clause the term access means, “access to BBIA facilities, information systems, security items and products, and/or sensitive but unclassified information.”

The BBIA shall have the right under this contract to require Contractor personnel that need access, as defined above, to undergo a security investigation. As used herein, "contractor personnel" includes, but is not limited to, advisors or consultants to the contractor, subcontractors or their personnel, or any other persons under the auspices of the contractor.

The type of security investigations conducted shall be determined by the BBIA and will depend upon several factors including, but not limited to, the duration of the contract, the kind of access the personnel will have, the sensitivity of the duties the personnel will perform, and whether adequate investigations have previously been done. Investigations can range from credit and fingerprint checks to full background reviews.

The BBIA shall schedule security investigations and provide restricted access for contractor employees in accordance with the following procedures:

1. The COR will provide basic contractor information on Personal Information Verification (PIV) form, to include name of contractor, phone number, email address, contract number and company name to the BBIA Security Office (BSO).
2. The BSO will contact the contractor to obtain information on contractor personnel and agents. If the contractor personnel or agent has a prior security investigation, the BSO will verify this information with Office of Personnel Management (OPM). If the investigation is confirmed, a new investigation may not be necessary.
3. The BSO will contact the COR to schedule an appointment for contractor personnel to complete final processing of the PIV form which includes authentication of two forms of identification and badge issuance.
4. The BSO will create an e-Quip user account for contractor personnel who will receive an email with the following information:
 - i. a link to the e-QIP website at www.opm.gov/e-qip/;
 - ii. instructions for completion and submission of the forms; and
 - iii. any supplemental forms that may apply.
5. The contractor personnel shall complete the Personnel Security Questionnaire (PSQ) in e-QIP prior to contractor access to BBIA facility. The contractor must print and sign the e-QIP signature forms, including the certification and release pages. The contractor shall provide two forms of identification, a signed credit disclosure, and OF 306 for the scheduled PIV processing appointment.
6. The BSO will schedule the PIV processing appointment date and time and provide the information to the COR. The COR will notify the contractor personnel of the scheduled appointment date and time and escort the individual to the PIV processing appointment.
7. The contractor shall complete Section 1 of the PIV form and sign the certification page and release forms at the scheduled appointment. The contractor personnel shall provide two forms of identification, OF306, and the signed credit disclosure and Non-Disclosure Agreement.
8. The BSO will fingerprint and photograph the contractor's employees; they will also review their security paperwork.
 - a. Employees without badges will not have any access to BBIA facilities, information systems, security items and products, and/or sensitive but unclassified information.
 - b. These badges will only provide contractor employees with limited access. It is the contractor's responsibility to ensure that all required security-related paperwork is completed and submitted in

accordance with the process outlined above. Failure to provide the required information may delay access to BBIA facilities, information systems, security items and products, or sensitive but unclassified information and impact contract performance. As soon as CIPS receives a favorable fingerprint and/or background check for a contractor employee, BSO personnel will issue that employee unescorted access. The BBIA shall have the right to require a final suitability determination prior to contractor employee beginning work at the BBIA. The contractor shall immediately notify both the contracting officer and the COR when a contractor employee with a BBIA issued security badge will no longer be working on this contract. This notification must be in writing (e-mail is acceptable) and must be provided no later than 15 hours after the employee's departure. The Contractor shall immediately replace, with equally qualified employee(s), any employee(s) whose security investigation does not result in a favorable adjudication. The BBIA shall have the unilateral right to make security adjudication decisions.

During the life of the contract, the Contractor shall immediately notify the COR of any new contractor employees that will require access. The BBIA shall schedule security investigations for these new contractor employees in accordance with the process outlined above on an as needed basis. The Government will bear cost for any investigations required under the contract.

(End of Clause)

9952.245-91 Citizenship or Residency Requirements of Contractor Personnel (Jan 2007)

The Contractor shall ensure that all employees having access to BBIA facilities, information systems, security items, or sensitive but unclassified information shall be United States citizens or have lawful permanent resident status.

(End of Clause)

9952.204-98 Confidential or Sensitive Information (Jun 1998)

The Contractor agrees that the work to be performed and information released to the Contractor is, because of the proprietary and confidential nature of such information, sensitive in nature and is not to be disclosed to anyone other than BBIA employees assigned to the contracted project and other Contractor personnel working on the project. The Contractor agrees to protect all confidential and/or proprietary information received by or provided to the Contractor pursuant to this contract from unauthorized disclosure or use for as long as the information remains proprietary or confidential and further agrees that it will not use such information for any purpose other than that relating to the performance of this contract. For purposes of the contract, all information provided to or received by the Contractor is deemed confidential and proprietary. The Contractor shall execute and is responsible for having all of its employees and agents working under this contract and/or having access to sensitive information under this contract execute a statement entitled "Conditional Access to Sensitive But Unclassified Information Non-Disclosure Agreement." This statement, a copy of which is attached to this contract, provides that sensitive but unclassified information provided to the Contractor or its employees or agents shall not, except as permitted in connection with the performance of the contract, be further disclosed or used without the prior written approval of the BBIA. Executed copies of this statement must be completed and returned to the BBIA by a duly authorized official of the Contractor and by all Contractor employees or agents who will perform work on the Contract before their work begins. In the event that contractor fails to submit signed Agreements prior to beginning work, the effective date of any agreements received after work begins shall be the date of award.

(End of Clause)

9952.239-94 BBIA Security Requirements for Unclassified Information Technology Resources (Jun 2008)

I. DEFINITIONS

Definitions, as used in this clause, generally refer to the Code of Federal Regulations (CFR) unless a more specific provision is noted below.

Adequate Security - Security that is commensurate with the risk and magnitude of harm resulting from the loss, misuse, or unauthorized access to or modification of information. This includes assuring that systems and applications in use operate effectively and provide appropriate confidentiality, integrity, and availability through the use of managerial, operational, and technical security controls.

Information Resource - An information resource encompasses both information and information related resources such as personnel, equipment, data, and information technology.

Information System - A discreet set of information resources organized for the collection, processing, maintenance, transmission, and dissemination of information, in accordance with defined procedures, whether automated or manual.

II. GENERAL REQUIREMENTS

(1) The contractor shall be responsible for Information Technology (IT) security for all systems connected to the BBIA network or operated by the contractor for the BBIA.

(2) The contractor shall maintain a complete and accurate inventory of BBIA-provided information resources. The inventory shall be made available for inspection at the request of the COR.

(3) Suspected or confirmed compromises of security to BBIA information resources must be reported to the COR within 60 minutes of discovery.

(4) The Contractor shall ensure that its employees, in performance of the contract performing under this contract, receive IT security training in accordance with Office of Management and Budget (OMB) Circular A-130 and Federal Information Security Management Act of 2002 requirements, as they may be amended from time to time during the term of this contract.

(5) At the expiration of the contract, the contractor shall return all BBIA information resources provided to or generated by the contractor during the contract. The contractor shall provide certification that all BBIA information has been purged from any contractor-owned system.

(End of Clause)

9952.245-95 BBIA Information Technology (IT) Security Awareness Training (Dec 2007)

The Contractor understands that work to be performed under this contract may require network (logical) access to BBIA information resources. As used in this clause the term *access* means “network access to BBIA information resources” regardless of location. Contractor personnel must complete initial training on their IT security responsibilities and BBIA established system rules of behavior to receive network access to BBIA information resources. As used herein, “*contractor personnel*” includes, but is not limited to, advisors, consultants, or agents to the contractor, subcontractors or their personnel, or any other persons under the auspices of the contractor. Contractor personnel requiring network access to BBIA information resources must also complete security awareness training annually for the duration of this contract.

The Contractor is responsible for its personnel who require access to BBIA information resources. The contractor shall provide a list of names to the COR after award to initiate the background investigation process and identify contractor personnel who require information security awareness training. The Contractor shall update this list during contract performance to add new contractor personnel to the contract.

Contractor personnel shall complete the IT Security Awareness Training located at <http://www.BBIA.gov/training/isa.htm> before receiving network access to BBIA information resources, sign

and date the certificate at the end of the training with their legal names, and provide electronic copies of the certificate to the Contracting Officer's representative (COR) at least two weeks prior to the need date for network access. The contractor shall contact the COR to ensure timely processing of request(s) or for situations when immediate access is required due to circumstances beyond the contractor's control. Failure to meet the requirements of this provision could negatively impact the contractor's performance rating and/or result in a contract termination pursuant to the termination provisions of this contract.

Contractor personnel shall complete the training annually. The Contractor must verify completion of training for all personnel in a report submitted to the CO, with a copy to the COR. The initial training must be completed before contractor personnel are granted network (logical) access. The annual training must be completed by April 30th of the fiscal year and the contractor shall submit the report no later than May 15th.

(End of Clause)

9952.212-70 Supplemental Invoicing Requirements — Commercial Item (Jun 2007)

In addition to the invoicing requirements specified in clause 52.212-4, Contract Terms and Conditions-- Commercial Items, of this contract, the following special invoicing requirements also apply to the submission of invoices.

(a)(i) The contractor shall submit invoices in a format that replicates the line item and subline item structure of the contract or, in the case of an order against a contract, the line item and subline item structure of the order. Each invoice shall provide, by line item and subline item, the line item number, description, quantity being invoiced, unit of measure, unit price, and current invoiced amount. Each invoice shall sequence line items and subline items in the same order in which they appear in the contract or order and shall be totaled at the bottom of the invoice.

(ii) If the contract allows for the submission of partial or periodic invoices, the contractor shall include an additional column, titled "Cumulative Amount," to the right of the "Current Invoiced Amount" column. In the "Cumulative Amount" column, the contractor shall enter the total amount that has been billed for each line item and subline item through the end of the current invoice period.

(iii) The contractor shall submit invoices that conform to the requirements listed in subparagraphs (a)(i) and (ii) above. The contractor shall not deviate from this format without the expressed, written permission of the contracting officer. To further clarify the guidance provided in these paragraphs, a sample, generic invoice accompanies this clause.

(b) The contractor shall identify the contracting officer's representative (COR) for this contract on the face sheet of all invoices submitted under the contract. The COR is identified in (c)(ii) below. The contractor shall precede the COR's name with a "COR" label, as appropriate (e.g., "COR: John E. Doe").

(c) The contractor shall submit an original and two copies of each invoice. The contractor shall submit the original and all copies of the invoice at the same time. Submission shall be as follows:

(i) The contractor shall submit the original invoice to the designated billing office. The designated billing office for this contract is:

Address: Bureau of Banking
Inspection and Audit
Accounts Payable Branch
8011 A Street
Washington, DC 20200
Phone: (202) 222-9876

(ii) The contractor shall submit one copy of the invoice to the contracting officer's representative (COR), as designated in the contract. The COR for this contract is:

Name: A.B. Student

Address: Bureau of Banking
Inspection and Audit
Acquisition Management
Division
8011 A Street
Washington, DC 20200

Phone: 202-222-1234

(iii) The contractor shall submit one copy of the invoice to the Contract Specialist for this contract. The Contract Specialist for this contract is:

Name: J.R. Farmeister

Address: Bureau of Banking
Inspection and Audit
Acquisition Management
Division
8011 A Street
Washington, DC 20200

Phone: 202-222-5678

(d) The BBIA may deem any invoice that does not fully comply with the invoicing requirements specified in 52.212-4, Contract Terms and Conditions — Commercial Items, and this clause, as an improper invoice and return the invoice to the contractor.

(End of clause)848da14f-dc25-45a6-b96b-05031eb04eb0

ATTACHMENTS

Attachment 1 – Performance Work Statement for Information Technology Operations and Maintenance Support Services

Attachment 2 – Quality Assurance Surveillance Plan

Attachment 1: Performance Work Statement: Information Technology Operations and Maintenance Services

Section 1 General Information

1.1 Background

1.1.1 Organization Overview. The Bureau of Banking Inspection and Audit (BBIA) is an organization tasked with regulating, inspecting, and auditing financial institutions to ensure a safe, sound, and competitive banking system that supports both its customers and the national economy. The BBIA consists of approximately 2,500 auditors and 500 staff personnel located at the BBIA headquarters facility in Washington DC.

1.1.2 BBIA Network. The BBIA headquarters server room houses 7 Microsoft Active Directory domain controllers, 6 Microsoft Exchange mail servers (2 front-end and 4 back-end), 5 mobile services servers for mobile phones, 5 Microsoft SQL database servers, 3 Network-attached Storage (NAS)/Storage Area Networks, 2 Microsoft WUS/SUS network/systems servers, 5 Microsoft print servers, 10 Microsoft

applications servers, 5 ARC back-up servers with 10 tape drives, 2 Barracuda spam fire walls, 2 Proxy servers, 15 Wireless access points, 10 Multi-point routers, 50 switches (48 points each), and 3 Windows XP remote access network servers.

1.1.3 IT Equipment. BBIA has approximately 1,320 portable and 700 desktop computers running the Windows XP operating system and commercial off-the-shelf (COTS) applications (see Technical Exhibit 3). Approximately 70% of the users travel extensively with their notebook computers. BBIA also repairs most computers and peripherals “in-house”.

1.2 Scope of Work

BBIA requires information technology operations and maintenance services to support users, hardware, software, and network equipment to include network servers, personal computers (PCs), printers, portable computers, LAN/WAN hardware/software and other miscellaneous IT equipment. This PWS requires performance of services to analyze, implement, install, evaluate, document, integrate, and provide support to end users.

1.3 Contractor Personnel

1.3.1 Project Manager. The contractor must provide a project manager who is responsible for the performance of the work. The name of this person, and an alternate(s) who must act for the contractor when the manager is absent, must be designated in writing to the contracting officer.

1.3.1.1 The project manager or alternate must have full authority to act for the contractor on all contract matters relating to the daily operation of this contract.

1.3.1.2 The project manager or alternate must be available during normal business hours within 30 minutes to meet with government personnel (designated by the contracting officer) to discuss problem areas. After normal business hours, the manager or alternate must be available within four hours.

1.3.1.3 The project manager and alternate(s) must be able to read, write, speak, and understand English.

1.3.2 Contractor Employees. The contractor must not employ persons for work on this contract if such employee is considered by the contracting officer to be a potential threat to the health, safety, security, general well-being, or operational mission of the installation and its population.

1.3.2.1 Contractor personnel must present a neat appearance and be easily recognized as contractor employees. BBIA badges must be worn when inside any BBIA facility.

1.3.2.2 The contractor must not employ any person who is an employee of the U.S. Government if employing that person would create a conflict of interest. Additionally, the contractor must not employ any person who is an employee of the BBIA, unless such person seeks and receives approval according to BBIA ethics regulations.

1.3.3 Security Requirements. Contractors will not be required to access classified information. All information will be unclassified; however, some financial information will be sensitive. Specific security requirements are listed in the contract additional terms and conditions addendum.

1.3.4 Employee Training. The contractor is responsible for providing personnel of an adequate skill and educational level. Personnel must maintain their skill and education levels throughout the life of the contract. Personnel selected by the contractor must already have the necessary education, training and/or certifications to perform the requirements of this contract prior to reporting to work under this contract.

1.4 Quality Control

The contractor must ensure that services are performed in accordance with the PRS.

1.4.1 Quality Control Plan. The contractor must provide a quality control plan to the contracting officer for acceptance not later than the pre-performance conference. The contracting officer will notify the contractor of acceptance or required modifications to the plan before the contract start date. The contractor must make appropriate modifications and obtain acceptance of the plan by the contracting officer before the contract start date. The plan must include:

1.4.1.1 A description of the inspection system to cover all services listed on the performance requirements summary (PRS). The description must include specifics as to the areas to be inspected on both a scheduled and unscheduled basis, frequency of inspections, and the title and organizational placement of the inspectors. Additionally, control procedures for any government-provided keys or lock combinations must be included.

1.4.1.2 A description of the methods to be used for identifying and preventing defects in the quality of service performed.

1.4.1.3 A description of the records to be kept to document inspections and corrective or preventive actions taken.

1.4.2 Records. The records of inspections must be kept and made available to the contracting officer, when requested, throughout the contract performance period and for the period after contract completion until final settlement of any claims under this contract.

1.5 Quality Assurance

According to the Inspection of Services clause located in the contract additional terms and conditions addendum, the government will evaluate the contractor's performance under this contract. For those tasks listed on the PRS (Technical Exhibit 1), the contracting officer's representative (COR) will follow the methods of surveillance specified in Quality Assurance Surveillance Plan (QASP). Government personnel will record all surveillance observations. When an observation indicates defective performance, the COR will require the project manager or representative at the site to initial the observation. The initialing of the observation does not necessarily constitute concurrence with the observation, only acknowledgment that he or she has been made aware of the defective performance. Government surveillance of tasks not listed in the PRS or by methods other than those listed in the PRS (such as provided for by the Inspection of Services clause) may occur during the performance period of this contract. Such surveillance will be done according to standard inspection procedures or other contract provisions. Any action taken by the contracting officer as a result of surveillance will be in accordance with the terms of this contract.

1.5.1 Contract Performance Working Group (CPWG) Meetings. The contractor and government will convene quarterly CPWS meetings to review contract performance. The members of the CPWG will include, as a minimum, the contractor project manager, the government contracting officer, the COR, and additional members as determined by the CPWG. The CPWG will discuss such issues as the contractor's performance against the PRS standards and whether they are meeting or exceeding acceptable quality levels, whether performance standards are measuring and incentivizing the right performance outcomes, any changes that need to be made to performance standards or acceptable quality levels, any problems affecting contract/mission performance and steps that can be taken to mitigate risk, other topics as determined by CPWG members. Written minutes of each CPWG meeting must be recorded and signed by the project manager and the contracting officer or contract administrator. If the contractor does not concur with any portion of the minutes, such nonconcurrence must be provided in writing to the contracting officer within five calendar days following receipt of the minutes.

1.6 Physical Security

The contractor must be responsible for safeguarding all government property provided for contractor use. At the end of each work period, all government property, equipment and materials must be secured.

1.6.1 Key Control. The contractor must establish and implement methods of making sure all keys issued to the contractor by the government are not lost or misplaced and are not used by unauthorized persons. The contractor must not duplicate any keys issued by the government.

1.6.1.1 The contractor must immediately report to the COR or contracting officer any occurrences of lost or duplicated keys.

1.6.1.2 In the event that keys, other than master keys, are lost or duplicated, the contractor may be required, upon written direction of the contracting officer, to rekey or replace the affected lock or locks without cost to the government. The government may, however, at its option, replace the affected lock or locks or perform rekeying and deduct the cost of such from the monthly payment due the contractor. If a master key is lost or duplicated, all locks and keys for that system must be replaced by the government and the total cost deducted from the monthly payment due the contractor.

1.6.1.3 The contractor must prohibit the use of keys issued by the government by any persons other than the contractor's employees. Opening of locked areas by contractor employees to permit entrance of persons other than contractor employees engaged in performance of contract work requirements in those areas is prohibited.

1.7 Hours of Operation

1.7.1 Normal Hours of Operation. The contractor must perform the services required under this contract Monday through Friday from 6:00 AM Eastern Time to 10:00 PM Eastern Time. The contractor must provide services regardless of inclement weather or office closings and early dismissals, unless otherwise approved by the COR.

1.7.2 Federal Holidays. Contractor services will not be required on the following federal holidays: New Year's Day, Martin Luther King's Birthday, President's Day, Memorial Day, Independence Day, Labor Day, Columbus Day, Veterans' Day, Thanksgiving, and Christmas Day.

1.8 Records

The contractor must be responsible for creating, maintaining, and disposing of only those government required records that are specifically cited in this PWS or required by the provisions of a mandatory directive listed in section 6, Applicable Publications and Forms. If requested by the government, the contractor must provide the original record or a reproducible copy of any such record within five working days of receipt of the request.

Section 2 Definitions and Acronyms

2.1 Definitions

2.1.1 Contractor. A supplier or vendor having a contract to provide specific supplies or service to the government. The term used in this document refers to the prime.

2.1.2 Contracting Officer. A person with authority to enter into, administer, and/or terminate contracts, and make related determinations and findings on behalf of the government. The only individual who can legally bind the government.

2.1.3 Contracting Officer's Representative. An employee of the U.S. Government appointed by the contracting officer to administer the contract. Such appointment must be in writing and must state the scope of authority and limitations. This individual has authority to provide technical direction to the Contractor as long as that direction is within the scope of the contract, does not constitute a change, and has no funding implications. This individual does NOT have authority to change the terms and conditions of the contract.

2.1.4 Defective Performance. A service output that does not meet the standard of performance associated with the Performance Work Statement.

2.1.5 Deliverable. Anything that can be physically delivered but may include non-physical things such as meeting minutes.

2.1.6 Physical Security. Actions that prevent the loss or damage of Government property.

2.1.7 Quality Assurance. The government procedures to verify that services being performed by the Contractor are performed according to acceptable standards.

2.1.8 Quality Assurance Surveillance Plan. An organized written document specifying the surveillance methodology to be used for surveillance of contractor performance.

2.1.9 Quality Control. All necessary measures taken by the Contractor to assure that the quality of an end product or service must meet contract requirements.

2.2 Acronyms

BBIA	Bureau of Banking Inspection and Audit
BD	Business Days
COR	Contracting Officer's Representative
COTS	Commercial Off-The-Shelf
CO	Contracting Officer
IAVA	Information Assurance Vulnerability Assessment
IAVB	Information Assurance Vulnerability Bulletin
IT	Information Technology
NAS	Network-Attached Storage
OSHA	Occupational Safety and Health Act
PC	Personal Computer
PRS	Performance Requirements Summary
PWS	Performance Work Statement
QASP	Quality Assurance Surveillance Plan

Section 3 Government-Furnished Property and Services

3.1 Government-Furnished Property

3.1.1 Government-Furnished Real Property. Government property has been inspected for compliance with the Occupational Safety and Health Act (OSHA). No hazards have been identified for which work-arounds have been established. Should a hazard be subsequently identified, the government will correct OSHA hazards according to government developed and approved plans of abatement taking into account safety and health priorities. A higher priority for correction will not be assigned to the property provided hereunder merely because of this contracting initiative. The fact that no such conditions have been identified does not warrant or guarantee that no possible hazard exists, or that work-around procedures will not be necessary or that the property as furnished will be adequate to meet the responsibilities of the contractor. Compliance with the OSHA and other applicable laws and regulations for the protection of employees is exclusively the obligation of the contractor. Further, the government will assume no liability or responsibility for the contractor's compliance or noncompliance with such requirements, with the

exception of the aforementioned requirement to make corrections according to approved plans of abatement subject to base-wide priorities. Before any modification of the property performed by the contractor at his or her expense, the contractor must furnish the contracting officer documentation describing, in detail, the modification requested. No alterations to the property must be made without specific written permission from the contracting officer. In the case of alterations necessary for compliance with the OSHA, such permission must not be unreasonably withheld. The contractor must return the property to the government in the same condition as received, fair wear and tear and approved modifications excepted. The property must only be used in performance of this contract. Contractor assigned work areas include:

Helpdesk and management office - approximately 3,000 square feet.

Work Area - approximately 1,200 square feet

Server Room – approximately 1,500 square feet

3.1.2 Government-Furnished Materials. All equipment and software under this contract will be provided by the government. BBIA will provide the contractor the spare parts inventory and the existing maintenance tools and diagnostics tools for hardware repair. Contractor will be responsible for replacing existing stock. BBIA will also provide specific training on all BBIA specific software products not available commercially.

3.2 Government-Furnished Services

3.2.1 Government-Furnished Utilities. BBIA will furnish all necessary utility services used at BBIA. The contractor must ensure all employees use methods to conserve utilities.

3.2.1.1 Lights must be used only in areas where work is actually being performed.

3.2.1.2 Employees must not adjust mechanical equipment controls for heating, ventilation, and air conditioning systems.

3.2.1.3 Water faucets or valves must be turned off when not in use.

3.2.2 Telephone Services. BBIA will provide telephone service for contractor use at no cost to the contractor. Use of telephones is authorized only for official business. Contractor personnel must not relocate government-furnished telephone equipment or tamper, in any way, with the telephone distribution system. The contractor must notify the COR when maintenance, repair, or change in service of telephone equipment is required. The contractor must be responsible for all costs associated with contractor initiated upgrades or changes in service.

3.2.3 Custodial Service. BBIA will provide custodial services for office/work spaces, restrooms, and break areas. Services include emptying waste and recycle receptacles, sweeping, mopping, and vacuuming floors, dusting, cleaning sinks and water fountains, and supplying paper towels and soap.

Section 4 Contractor-Furnished Items and Services

4.1 General Information

Except for those items or services specifically stated in section 3 as government furnished, the contractor must furnish everything needed to perform this contract according to all its terms.

Section 5 Specific Tasks

5.1 General Information

The contractor must provide all management, labor, and supervision necessary to provide information technology operations and maintenance support. In executing the requirements of this PWS, the

Contractor must satisfy the performance requirements included in this PWS and the requirements set forth in the Performance Requirements Summary (PRS) at Attachment 1.

5.1.1 Monthly Status Report. The contractor's Project Manager must provide a written Monthly Status Report to the COR by the fifth day of each month. The monthly report for transition and first month of services may be combined. Any format is acceptable, however, the report must address, as a minimum, the following: (1) status of work performed in the previous time period; (2) tasks completed during the reporting period; (3) equipment and software installed by location; (4) problems or constraints encountered while performing this work; (5) suggested solutions to problems or constraints encountered; (6) proposed initiatives or waivers requiring Government action; (7) trends or information that may indicate need for user training; and (8) status of open items from previous report.

5.2 Help Desk Support

The contractor must provide, implement, operate, and maintain a fully functional helpdesk for recording, triaging, troubleshooting, and resolving customer support requirements and ensuring minimum down time. The contractor must utilize an automated helpdesk tracking system. The contractor must ensure the software application supporting the helpdesk is industry-proven, open, non-proprietary, and COTS-based. Specifically, the contractor must:

- 5.2.1** Manage accounts, network rights, and access to network systems and equipment.
- 5.2.2** Promptly respond to and process requests for assistance.
- 5.2.3** Provide network account administration for all users.
- 5.2.4** Diagnose and resolve trouble calls.
- 5.2.5** Set and reset passwords for network accounts and functional applications user ids after appropriate identification has been validated.
- 5.2.6** Operate and maintain a trouble-ticketing system to track the status and means of resolution of reported.
- 5.2.7** Verify and document resolution of the problem with the customer prior to placing the ticket in a closed status.
- 5.2.8** Ensure tickets are set to "fixed" at problem resolution, quality checked, then set to "closed" within two business days (BD) of problem resolution.
- 5.2.9** Maintain a central repository for technical advice and solutions for network systems, software applications, automatic data processing support, hardware exchange and repair service support. This information will be provided to the COR upon request.

5.3 Systems Administration

The Contractor must provide support services to ensure BBIA computer systems and network have continuous operational capabilities. The contractor must provide the customer with technical advice or solutions when needed including the research of technical solutions to meet customer requirements or improve customer operations and provide technical support to customers. The contractor must utilize an automated network monitoring system to monitor and track network health and identify issues. The contractor must ensure the software application used to monitor the network is industry-proven, open, non-proprietary, and COTS-based. The contractor must:

- 5.3.1** Proactively monitor local and remote networks to ensure responsible and reliable system performance and availability.
- 5.3.2** Install and configure all network equipment to include servers, routers, and switches.
- 5.3.3** Install and properly configure all network software.
- 5.3.4** Identify potential or actual local and remote network system failures and prevent or quickly provide a remedy to ensure systems remain or are quickly made operational.
- 5.3.5** Perform preventative maintenance on all network hardware and software to ensure optimal performance.
- 5.3.6** Monitor computer and server logs to track system performance trends.
- 5.3.7** Create, modify, and delete user active directory/email.
- 5.3.8** Develop and maintain the local intranet and internet pages.
- 5.3.9** Develop and maintain databases

5.4 Deskside Support

The contractor must provide hardware and software support for all government IT equipment and the software applications listed in Exhibit 3. The contractor must:

- 5.4.1** Provide hardware configuration, troubleshooting, and repair.
- 5.4.2** Provide support for all IT equipment to include personal computers, portable computers, printers, polycom units and any miscellaneous IT equipment.
- 5.4.3** Perform equipment relocation, installation, expansion, connection/disconnection, support/maintenance, and preventative maintenance of computer systems, hardware, documentation, and peripheral devices. The contractor must survey new installations and move IT equipment as requested by users.
- 5.4.4** Perform cable installation and maintenance.
 - 5.4.4.1 Provide installation of network cabling (fiber or copper) in buildings or office areas using appropriate cable routing methods, i.e., cable channel and connector boxes such as Panduit or cable tray for larger size installations.
 - 5.4.4.2 Ensure cable installation, repair, and maintenance are Building Industry Consulting Service International (BICSI) compliant.
- 5.4.5** Perform printer maintenance.
 - 5.4.5.1 Install and maintain all network and personal computer attached printers (bar code and laser).
 - 5.4.5.2 Install and configure network print servers.
 - 5.4.5.3 Troubleshoot and resolve printer server problems.
- 5.4.6** Provide software support including but not limited to the software applications listed in Exhibit 3.
- 5.4.7** Install and configure software and applications.
- 5.4.8** Troubleshoot and resolve software performance issues.
- 5.4.9** Develop and conduct user training for software applications in order to ensure users are competent and successful in using the applications. Includes deskside and, as necessary, small-group training for new users and after upgrades.

5.5 Information Security

Contractor must ensure the confidentiality, integrity, availability, authenticity, and non-repudiation of the BBIA network and equipment, and software. The contractor must protect all networks, equipment, and software from unauthorized access, use, disclosure, disruption, modification, and destruction. The contractor must ensure any software applications used to provide information security are industry-proven, open, non-proprietary, and COTS-based.

- 5.5.1** Take proactive measures to prevent network security breaches, viruses, malicious software, and security violations.
- 5.5.2** Provide firewall/intrusion detection system support and maintenance
- 5.5.3** Perform system audits to assess security related factors within the network environment.
- 5.5.4** Examine potential security violations to determine if the network environment has been breached, assess the impact and preserve the evidence. Document breaches and intrusions.
- 5.5.5** Implement available patches including Information Assurance Vulnerability Assessments (IAVAs), Information Assurance Vulnerability Bulletins (IAVBS), and Taskings for the network.
- 5.5.6** Scan computers monthly including portable computer issued out or stored for issue and use to BBIA personnel. Perform monthly IAVA Audit scan of BBIA network IP address ranges and ensure all IP-based assets are detected and scanned. Search computer and network logs for unauthorized entry attempts. Submit results to the COR.
- 5.5.7** Contractor must submit a weekly Network Security Report to the COR. Any format is acceptable; however, the report must address, as a minimum, the following: (1) network security incidents or intrusion incidents; (2) the contractor's response to these incidents; and (3) any preventative steps taken by the contractor as a result of the incident.
- 5.5.8** Perform and document weekly backups for all critical systems. Maintain the data storage solution in order to ensure efficient use, availability of resources, and survivability of data
- 5.5.9** Provide comprehensive disaster recovery planning to ensure data protection and coordinated and responsive restoration of operations in the event of an emergency.

5.6 Asset Management

The contractor must implement and maintain an inventory management solution for hardware and software that ensures accurate and efficient asset accountability across the organization. The contractor must utilize an automated asset management system. The contractor must ensure the software application supporting the solution is industry-proven, open, non-proprietary, and COTS-based. Provide the government with an initial property inventory baseline no later than 30 days after the start of this contract and monthly updates reflecting any baseline changes. The contractor must:

- 5.6.1** Maintain warranty information and coordinate warranty repairs.
- 5.6.2** Manage IT Inventory
 - 5.6.2.1 Maintain Asset Management System
 - 5.6.2.2 Perform an annual physical inventory of all IT equipment
 - 5.6.2.3 Update all inventory changes in the Asset Management system
 - 5.6.2.4 Affix appropriate property tags to all IT equipment purchased and enter the equipment information into the Asset Management system
- 5.6.3** Process Excess IT equipment and software
 - 5.6.3.1 Deliver unserviceable or excess IT equipment and software to staging area for disposal
 - 5.6.3.2 Destroy hard drives in accordance with IAW BBIA Manual 60-1, Information Technology Systems, and provide records to COR.
 - 5.6.3.3 Adjust IT inventory for any relocation or disposal of IT equipment.
- 5.6.4** Submit a Monthly Property Report to the COR. Any format is acceptable; however, the report must address, as a minimum, the following: (1) changes to the inventory baseline; (2) hard drive destruction and disposal; and (3) IT and software disposal.

5.7 Initial Transition Planning

The contractor must ensure all existing and applicable services and support are successfully transitioned from the existing support contractor within 30 days after the start of the contract in accordance with the contractor's Initial Transition Plan.

Section 6 Applicable Publications

The applicable documents for this PWS are listed below. The contractor is expected to comply with all documents. The contractor must use the latest version of the applicable document. BBIA documents will be provided to the contractor upon request but no later than the before the commencement of services.

Publication	Title	Applicable Portion
BBIAM 60-1	Information Technology	All
BBIAM 60-2	Electronic Messaging Systems	All
PL 104-106	Clinger-Cohen Act of 1996	All
PL 100-235	The Computer Security Act of 1987	All
PL 104-231	Electronic Freedom of Information Act of 1996	All
PL 105-277	Government Paperwork Elimination Act	All
44 USC 3101	Federal Records Act	All
OMB Circular A-130	Management of Federal Information Resources	All

Technical Exhibit 1 — Performance Requirements Summary

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Manage accounts, network rights, access to network systems and equipment (5.2)	Requests for account creation are promptly completed Requests for account deletion are promptly completed	Complete account creation within 2 business days of receipt Complete account deletion request within 4 business days of receipt	90%	Review of help desk tracking system	
Promptly resolve customer requirements (5.2)	Resolve customer requirements during the first call	Customer requirements resolved to customer satisfaction during the first call	80%	Review of help desk tracking system	
LAN Availability (5.3)	LAN available during business hours	LAN fully operational during business hours	95%	Review of network monitoring system	
Remote access network connectivity (5.3)	Remote access network available during business hours	Remote access network fully operational during business hours	90%	Review of network monitoring system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Network protected from unauthorized intrusion (5.5)	Protection from network intrusion Prompt response to unauthorized intrusion to network	No unauthorized network intrusion Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	100 %	Review of weekly contractor Network Security Report	
Network and IT equipment free of malicious programs (5.5)	Protection of network and IT equipment from virus, malware, adware, spyware, and other malicious programs	Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	95%	Review of weekly contractor Network Security Report	
Data assurance (5.5)	Back up all servers daily Restore data using back-up tapes	All servers must be backed up on a daily basis Perform restore using back-up tapes	100 %	Monthly contractor backup documentation review Observation of performance. Contractor will demonstrate restoration of data using a tape randomly selected by the COR.	
IT equipment and software operational when needed (5.3/5.4)	Timely repair/replacement of equipment and software	Repair or replacement is provided within 24 hours request for service	90%	Review of help desk tracking system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Ensure accurate and efficient asset accountability across the organization (5.6)	Provide accurate inventory of all IT assets	Physical inventory quantities match quantities tracked in asset management system	95%	Joint annual physical equipment inventory	
Ensure accurate and efficient asset accountability across the organization (5.6)	Ensure hardware, software, data, and facility resources are achieved and sanitized, prior to disposal	No sensitive data compromised as a result of failure to follow disposition policy	100 %	Inspection of Monthly Property Report	

The factors included in this PRS are considered by the government to be key performance factors for the requirement.

Technical Exhibit 2 — Required Reports

Deliverable Item	PWS Ref.	Due Date
Quality Control Plan	1.4.1	NLT 14 calendar days after contract award
Monthly Status Report	5.1.1	Monthly, by the 5th working day of each month covering the preceding month. The monthly report for transition and first month of services may be combined.
Weekly Network Security Report	5.5.7	First Monday following the completion of the work
Initial Property Inventory	5.6	NLT 30 days after the start of this contract
Monthly Property Report	5.6.4	Monthly, by the 5th working day of each month covering the preceding month

Technical Exhibit 3 — BBIA Software/Applications

- Windows Server 2016
- Microsoft Windows 10
- Microsoft Windows Outlook 2016
- Microsoft Windows Active Directory (AD)
- SQL Server

- Microsoft Internet Information Services
- NetBackup
- Short Message Service (SMS)
- GR-AWARE
- ForcePoint Web Security
- Symantec's Norton Antivirus Corporate Edition (to include any subsequent patches/updates)
- Exchange ActiveSync

Technical Exhibit 4 — Workload Estimates

PWS Title	Workload description	FY'0	FY'+1	FY'+2	FY'+3	FY'+4	FY'+5	FY'+6	FY'+7
Help Desk Service	Support (hours)	17,280	17,280	17,280	17,280	17,280	17,280	17,280	17,280
Help Desk Service	Number of help desk tickets opened	37,810	41,591	43,670	45,854	48,147	50,554	53,082	55,736
Hardware and Software Support	Support (hours)	14,520	14,520	14,520	14,520	14,520	14,520	14,520	14,520
Hardware and Software Support	Number trouble tickets processed for hardware and software maintenance	2,400	2,640	2,667	2,400	2,934	3,227	3,550	3,905
Systems Administration	Support (hours)	15,200	15,200	15,200	15,200	15,200	15,200	15,200	15,200
Systems Administration	Number of trouble tickets processed systems administrators	4,814	4,954	4,102	4,257	4,420	4,591	4,771	4,960

NOTE: The hour projections above are just estimates and are not intended to dictate the level of staffing. It is up to the contractor to include in its proposal the staffing level and clearly demonstrate that the staffing will result in quality performance.

Attachment 2: Quality Assurance Surveillance Plan: Information Technology Operations and Maintenance Services

1.0 Introduction

This Quality Assurance Plan (QASP) is written pursuant to the requirements listed in the Performance Work Statement (PWS) entitled "IT Operations and Maintenance Services." This QASP sets forth the procedures and guidelines the BBIA will use in evaluating the technical performance of the Operations and Maintenance service contractor.

1.1 Purpose

The purpose of this QASP is to describe the systematic methods used to measure performance and to identify the reports required and the resources to be employed. The QASP provides a means for evaluating whether the contractor is meeting performance standards identified in the PWS. This QASP is designed to define roles and responsibilities, identify the performance objectives, define the methodologies used to monitor and evaluate the contractor's performance, describe quality assurance reporting, and describe the analysis of quality assurance monitoring results.

1.2 Performance Management Strategy

1.2.1 The contractor's Quality Control Plan (QCP) will set forth the staffing and procedures for self-inspecting the quality, timeliness, responsiveness, and other performance requirements in the PWS. The contractor must develop and implement a performance management system with processes to assess and report their performance to the COR.

1.2.2 The COR will monitor performance and determine how the contractor is performing against the performance objective stated in Technical Exhibit 1, Performance Requirement Summary, of the PWS. The government will make decisions based on performance data and notify the contractor of those decisions. The contractor will be responsible for making the required changes in their processes and practices to ensure performance is effectively managed.

2.0 Government Roles and Responsibilities

The following personnel must oversee and coordinate surveillance activities.

2.1 Contracting Officer

The CO must ensure performance of all necessary actions for effective contracting, ensure compliance with the contract terms, and must safeguard the interests of the United States in the contractual relationship. The CO must also assure that the contractor receives impartial, fair, and equitable treatment under this contract. The CO is ultimately responsible for the final determination of the adequacy of the contractor's performance.

2.2 Contracting Officer's Representative (COR)

The COR is responsible for technical administration of the contract and must ensure proper government surveillance of the contractor's performance. The COR must keep a quality assurance file. The COR is not empowered to make any contractual commitments or to authorize any contractual changes on the Government's behalf.

3.0 Methods of Surveillance

The below listed methods of surveillance must be used in the administration of this QASP. In addition to specific instructions that may be mentioned, the appropriate and standardized form that is to be used for documentation for QA surveillance is the surveillance activity checklist.

3.1 Review of Help Desk Tracking System

This level of inspection must be accomplished by automated monitoring and documentation features built

into the contractor's help desk software package. Each month, the COR will review the generated documentation and enter summary results into the surveillance activity checklist.

3.2 Review of Network Monitoring System

This level of inspection must be accomplished by automated monitoring and documentation features built into the contractor's network monitoring software package. Each month, the COR will review the generated documentation and enter summary results into the surveillance activity checklist.

3.3 Review of Contractor Documentation and Reports

The COR will review the contractor's system backup documentation, network security report, and property disposal records to ensure actions have been completed as specified in the PWS.

3.4 Observations of Performance

During each month, the COR will randomly observe help desk operations to measure how promptly the contractor handles customer calls. During each month the COR will observe contractor restoration of data using a system back-up tape randomly selected by the COR.

3.5 Annual Joint Equipment Inventory

The contractor and COR will jointly conduct an annual physical inventory of all BBIA IT assets and compare the physical inventory quantities with those in the contractor's asset management system.

4.0 Performance Standards

The Performance Requirements Summary, Technical Exhibit 1 of the Performance Work Statement (PWS), and Attachment 1 to this QASP includes performance standards. The Government must use these standards to determine contractor performance and must compare contractor performance to the Acceptable Quality Level (AQL).

5.0 Documentation

The COR will, in addition to providing documentation to the contracting officer, maintain a complete quality assurance file. The file will contain copies of all reports, evaluations, recommendations, and any actions related to the government's performance of the quality assurance function, including the originals of all surveillance activity checklists. All such records will be retained for the life of this contract. The COR must forward these records to the contracting officer at termination or completion of the contract.

Attachment 1 — Performance Requirements Summary

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Manage accounts, network rights, access to network systems and equipment (5.2)	Requests for account creation are promptly completed Requests for account deletion are promptly completed	Complete account creation within 2 business days of receipt Complete account deletion request within 4 business days of receipt	90%	Review of help desk tracking system	
Promptly resolve customer requirements (5.2)	Resolve customer requirements during the first call	Customer requirements resolved to customer satisfaction during the first call	80%	Review of help desk tracking system	
LAN Availability (5.3)	LAN available during business hours	LAN fully operational during business hours	95%	Review of network monitoring system	
Remote access network connectivity (5.3)	Remote access network available during business hours	Remote access network fully operational during business hours	90%	Review of network monitoring system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Network protected from unauthorized intrusion (5.5)	Protection from network intrusion Prompt response to unauthorized intrusion to network	No unauthorized network intrusion Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	100 %	Review of weekly contractor Network Security Report	
Network and IT equipment free of malicious programs (5.5)	Protection of network and IT equipment from virus, malware, adware, spyware, and other malicious programs	Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	95%	Review of weekly contractor Network Security Report	
Data assurance (5.5)	Back up all servers daily Restore data using back-up tapes	All servers must be backed up on a daily basis Perform restore using back-up tapes	100 %	Monthly contractor backup documentation review Observation of performance. Contractor will demonstrate restoration of data using a tape randomly selected by the COR.	
IT equipment and software operational when needed (5.4)	Timely repair/replacement of equipment and software	Repair or replacement is provided within 24 hours request for service	90%	Review of help desk tracking system	

Desired Outcome	Performance Indicator	Performance Standard	AQL	Surveillance Method	Monthly Deduction if AQL is not met
Ensure accurate and efficient asset accountability across the organization (5.6)	Provide accurate inventory of all IT assets	Physical inventory quantities match quantities tracked in asset management system	95%	Joint annual physical equipment inventory	
Ensure accurate and efficient asset accountability across the organization (5.6)	Ensure hardware, software, data, and facility resources are achieved and sanitized, prior to disposal	No sensitive data compromised as a result of failure to follow disposition policy	100 %	Inspection of Monthly Property Reports	

The factors included in this PRS are considered by the government to be key performance factors for the requirement.

Contract Number: _____

Attachment 2 — Surveillance Activity Checklist

Performance Requirement	Performance Standard	Surveillance Method	AQL	Contractor's Performance Metrics	Compliance (Exceeded, Met, Not Met, or Partially Met)

Surveillance Activity Checklist (to be performed (Daily) (Monthly) (Weekly). etc.)

Attachment 3 — Contract Discrepancy Report

1. Contract Number		2. Report Number for this Discrepancy	
3. To: <i>(Contractor and Manager's Name)</i>		4. From: (Name of QAE)	
5. Dates			
Prepared:	Returned by Contractor:	Action Completed:	
6. Discrepancy or Problem: (Describe in detail; include reference to PWS Directive; attach continuation sheet if necessary.)			
7. Signature of Contracting Officer			
8. To: <i>(Contracting Officer)</i>		From: <i>(Contractor)</i>	
9. Contractor Response as to Cause, Corrective Action and Actions to Prevent Recurrence; Attach continuation sheet if necessary. (Cite applicable QC program procedures or new QC procedures)			
10. Signature of Contractor Representative		Date	
11. Government Evaluation <i>(Acceptance, partial acceptance, rejection; attach continuation sheet if necessary)</i>			

12. Government Actions (*Reduced payment, cure notice, show cause, other*)

Closeout

	Name–Title	Signature	Date
Contractor Notified			
QAE			
ACO			

SA 3-3: COR Workplan

Name _____

This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. This is an **individual assignment**. Do not work in your teams.

Objective

Prepare a COR workplan that contains all applicable elements.

Instructions

You have read the new contract and understand the requirements and responsibilities of the parties.

The next step is to develop a COR Workplan that will address the strategies and monitoring techniques to be used to manage the contractor's performance. Using your contract documents, complete the template provided with this handout.

Be prepared to discuss your responses.

COR Workplan

1. Administrative Information
 - a. Contract:
 - b. Contract Value:
 - c. Contractor:
 - d. Place of Performance:

e. Location of Contract Files:

f. Key Government Personnel

Name	Title	Phone Number
	Contracting Officer	
	Contract Specialist	
	COR	

g. Key Contractor Personnel

Name	Title	Phone Number

2. COR Assigned Tasks: *(list the tasks have been delegated by the contracting officer. There is no reason to write out all of the duties of the COR)*

3. Contractor's Scope of Work: *(provide a narrative of the work to be done by the contractor)*

4. Government Obligations: *(list the government obligations under the contract)*
5. Contract Milestones: *(list the significant contract milestones and when they must be accomplished)*
6. Status Reporting: *(explain how you will receive status updates from the contractor and what they will include)*
7. Review and approval process for required reports: *(explain how the review and approval process for contractor reports will work)*

8. Invoice processing procedures: *(explain how the invoice processing procedure will work. There is no reason to write out all the procedures of processing an invoice.)*
9. Historical Factors to Consider: *(identify and discuss the historical factors that will have an impact on how the COR monitors performance)*
10. Performance Monitoring Techniques: *(explain how you will monitor contractor performance IAW QASP)*

11. Documentation: *(list the documents that will be included in your COR file)*

COR Signature: _____

Date: _____

SA 4-1: Postaward Orientation Conference Planning

Objective

Assist the Contracting Officer in planning the postaward orientation conference.

Instructions

Read the following memo and answer the questions that follow.

Memorandum

TO: COR

FROM: Ino Farr, Contracting Officer

SUBJECT: Preliminary Meeting

Since this is the first government prime contract with Sharkey IT Solutions, I have decided to conduct a postaward conference. Prior to this conference, I want to conduct a preliminary meeting with any government representatives who will interact with them during performance.

My goal is to make sure everyone on the government team fully understands the contract requirements and their responsibilities in administering the contract and any issues or concerns are discussed and resolved. It's important that we make a coordinated and cohesive presentation to address all issues that may arise during the conference.

As COR, I'm tasking you to identify any issues that might negatively impact performance. You should come up with recommendations on how we can mitigate or resolve these issues. Your recommendations should include any resources that will be needed to resolve the issue and what you think the contractor's reaction to the issues may be. This information is critical so the government team can decide how to address them with the contractor.

I'll convene the meeting early next week.

1. What performance issues, in order of priority, pose the greatest risk to successful contract completion?

2. What is your recommendation for eliminating or mitigating the risks posed by each performance issue?

SA 4-2: Inspection and Acceptance

Objective

Inspect deliverables and monitor services for conformance with contract terms and conditions and accept or reject them.

Instructions

The second month of the new contract has been completed. It's February 5th and the contractor has submitted its monthly status report for December and January as required by the contract.

In your teams, review the attached contractor's monthly status report. Answer the following questions and be prepared to discuss your responses.

1. What are the contractor requirements for monthly status reports?
2. Does the report meet these contract requirements? If not, what requirements does it fail to meet?
3. Should the report be accepted by the government? Why or why not?

4. If the report is not accepted, what should the government do? Explain your answer.

5. What must the contractor do to make the report acceptable?

Sharkey IT Solutions



December 2XXX and January 2XX1 Monthly Status Report Contract BBIA-XX-C-1234 Submitted February 5, 2XX1

Executive Summary

The Sharkey IT Solutions completed a challenging first two months of the contract. As expected the main focus of our activities this month was to complete our transition plan and take over all BBIA information technology operations and maintenance support service. The transition was not as smooth as we would have liked but we were able to complete our transition with the previous contractor and we have taken over all BBIA information technology operations and maintenance functions.

We experienced some delays in getting our employees cleared to enter the facility and obtain access to the BBIA information technology network. Specifically, the government was not able to provide

clearances for two of our employees to gain access into the facility. Since we could not access online security awareness training, the government had to set up a class for all employees. Despite these setbacks we are 100% staffed.

The government furnished facilities are adequate but we do note some safety issues regarding the server room electrical system. Also, some of the office equipment in our work space was damaged by the previous contractor. We will send a separate report detailing the damage so that we will not be held liable in the future.

We have submitted our Quality Control Plan and Initial Property Inventory to the COR. We have not yet received any feedback regarding the adequacy of these documents.

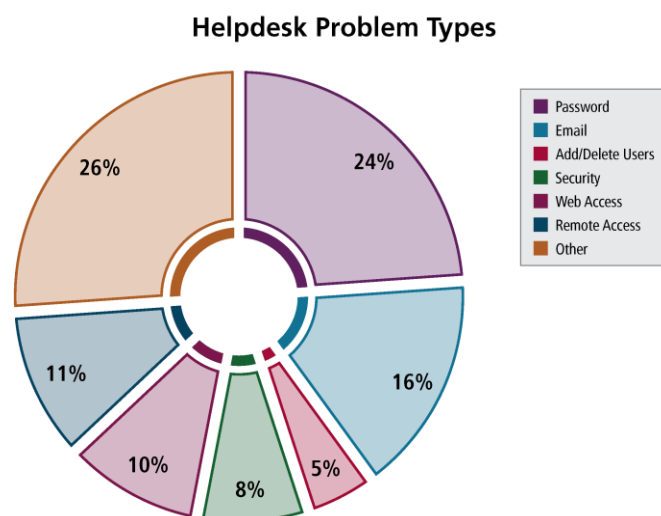
The main focus of the helpdesk was to implement the helpdesk tracking system and begin operations. We implemented the new helpdesk tracking system and provided training to all BBIA users instructing them on how to submit helpdesk tickets via the web based system. There are a few glitches that need to be worked out but the system is working well.

The systems administration team has had to deal with several major power outages and the failure of uninterruptible power systems to automatically start and carry the load required to maintain network operations. After the last power outage, the remote network began running slow and numerous users reported problems with being dropped from the network. We have not been able to determine the cause of this issue. The uninterruptible power system problem will need to be addressed soon before there is a catastrophic loss of equipment.

The asset management team completed the initial inventory of a hardware and software. As documented in our initial inventory report, we could not locate some of the equipment that was listed on the previous inventory. Also during our initial inventory we identified excess hardware and software. This excess hardware and software was processed for disposal. All BBIA hardware and software has been loaded into the helpdesk tracking system.

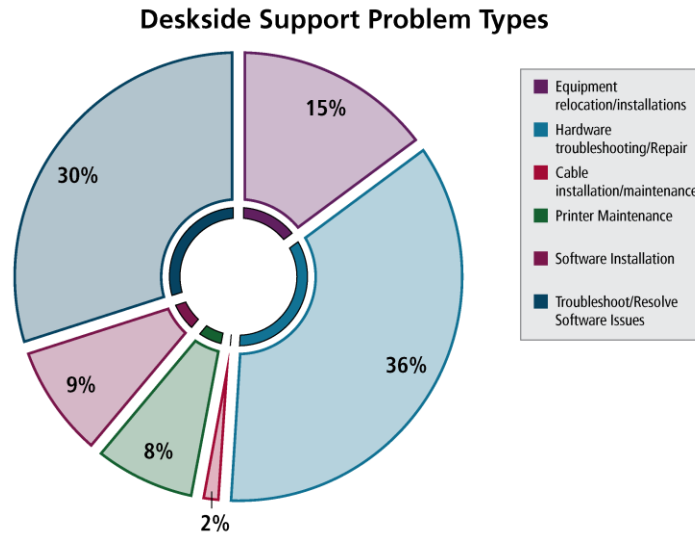
Helpdesk

The helpdesk processed 3,000 trouble tickets during the month of January. Figure 1 provides a breakdown of the most common problems for which customers requested helpdesk support. Since this is the first reporting month, there is no trend data to report.



Deskside Support

There were 266 trouble tickets during the month of January. Figure 2 provides a break-down of the most common problems for which customers requested deskside support.



Systems Administration

The systems administration team accomplished several major tasks during the month of January. The most notable was a response to several storm-caused power outages that brought all systems down. In each instance, the uninterruptible power supply (UPS) system for the server room failed to automatically start. Once it did start, it did not supply continuous power for the duration of the power outage. This is something the government needs to fix in order to prevent service interruptions and hardware damage. The team was able to bring all systems back on-line after power was restored and get damaged components repaired quickly. However, as a result of the last power outage, the remote network is experiencing problems with the slow speed and dropped connections. The network tracking monitoring system has been installed and is providing continuous status of the network. The chart below shows the availability of network servers.

Server	Uptime %	Error %	Last
Domain Controller	95.5%	4.5%	Good
Mail Servers	95%	5%	Good
Mobile Service Servers	95%	5%	Good
Database Servers	96%	4%	Good
Network Servers	95%	5%	Good
Printer Servers	94%	6%	Good
Applications Servers	95%	5%	Good
Backup Servers	99%	1%	Good

Information Security

The information security team completed an assessment of the BBIA current network security infrastructure and policies and procedure. We have identified several vulnerabilities and took proactive measures to eliminate them. There were no network intrusions this month and scans of equipment and software did not reveal any virus or malicious code.

Asset Management

We completed the initial inventory of all information technology assets as required by the contract. As we noted on our previously submitted Initial Physical Inventory report, there were several equipment items listed on the previous inventory that we could not locate. We will continue to search for this equipment and update the inventory list if it is found. Also, during our inventory, we identified over 100 items of excess hardware and software and processed them for disposal. We have entered all equipment we could account for into our automated helpdesk management system. This software has an asset management function that will help us track the history of an item from receipt to disposal including warranty information and repair history. We feel this is far superior to a separate asset management system. We processed warranty repairs for five printers. These printers were returned to the vendor for repairs and should be returned no later than March 15, 2011.

Issues and Concerns

As noted above, there are several issues and concerns that need to be resolved:

- Uninterruptible power supply does not automatically start during power outages and cannot carry the load.
- The remote network is experiencing problems with the slow speed and dropped connections.

SA 4-3: Contractor Invoice Review

Objective

Review and approve a contractor's request for payment.

Instructions

Sharkey has submitted an invoice for the second month of services provided under the contract.

In your teams, review the attached invoice to determine if it is acceptable. Refer to the contract for the requirements for invoices.

Document any problems in the space below and decide what action needs to be taken. Be prepared to discuss your responses.

Invoice Problems

What should you do with the invoice?

Sharkey IT Solutions Inc.

Otto Sharkey, President
2111 Smithwick Pike
Arlington, VA 22201
Phone: (703) 111-9999

INVOICE

INVOICE #BBIA0001
DATE: FEBRUARY 1, 2XX1

To:

Bureau of Banking Inspection and Audit
Acquisition Management Division

For:

IT O&M Services for BBIA
Monthly Invoice for January 2XX1

DESCRIPTION	AMOUNT
On-site Information Technology Operations and Maintenance IAW PWS	\$431,250.00
TOTAL	\$431,250.00

Make all checks payable to **Sharkey IT Solutions Inc.**
Payment is due within 30 days.

Thank you for your business!

SA 4-4: Performance Management

Team Name _____

Team Members (First and Last Names)

_____	_____
_____	_____
_____	_____

This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. All team members will receive the same grade.

Objective

Recognize contractor technical compliance issues and recommend course of action to the contracting officer.

Instructions

Read the scenario below and answer the questions that follow.

Scenario

The customer isn't satisfied! Four months into the contract, the off-site auditors are still having problems being disconnected from the remote network in the middle of their work.

Sharkey has been doing everything it can to keep the server up and running. However, the server isn't running any better than the previous contract, and it's taking more and more time and resources just to keep it at that level.

As early as six weeks into the contract, Sharkey informed you of their concerns about keeping the existing server going. They suggested that certain patches and "fixes" done by the previous contractor degraded the server's performance. Sharkey recommended that the server be replaced immediately and noted that the same server was currently available from several sources with free overnight delivery.

During this time, an audit supervisor got wind of this situation and sent the following email:

From: Valerie Wilson

Sent: March 12, 2XX1 10:40 AM

To: Paul Price, ITD Chief; You (COR)

Subject: Remote network server

Folks,

I've heard rumors that we're finally talk about replacing the remote network server. I really thought the new contractor would've taken care of this by now. My auditors can't afford to keep getting bumped off the network in the middle of their work.

One thing they brought up to me is whether the new server is going to be better than the one we've got. I'm not an IT person, but I imagine that there are faster and better servers out there that can handle our demands with no problems at all. It would be a waste of all of our time and money to get the same server with the same (inadequate) capability.

Hopefully your team isn't considering getting the exact same server. I hope you will look into getting one that has improved capability-not just to handle the current demand, but also future demand as our audit workload keeps increasing. I don't know what this would do to the contract, but it would be worth it since we're the customers and you need to support us in achieving our missing.

Regards,
Val

Then you send this reply:

From: You (COR)

Sent: March 13, 2XX1 9:13 AM

To: Ino Farr; J.R. Farmeister

Cc: Valerie Wilson; Paul Price

Subject: FW: Remote network server

All,

Let's discuss. I think it's a good idea-too bad I didn't think of it.

Sharkey's been keeping the old server going and if we replaced it with one just like it, we'd be OK for the time being. But we probably do need to upgrade to handle future demand. Besides, do we really want t pay for one server now and next year have to buy another one with greater capacity?

So the five of you (Ino, J.R., Paul, Val, and you) scheduled a meeting for April 1 (the first time everyone was available) to determine whether to simply replace the server or upgrade it. As a group, you decided that it would be better in the long run to upgrade to a better server. Everyone agreed that additional research was needed to select the right server.

Meanwhile, Sharkey kept the existing server running as well as could be expected. Data from the network monitoring system showed that the remote server was available 90% of the time, in compliance with the contract performance standard. You told Sharkey's project manager, "Do whatever it takes, just keep the old server going while we figure out what to do." The project manager said, "We're trying, but we're running out of options."

On May 13, before your team finished its research, the existing server suffered a major crash. The remote network was down for four days (Thursday to Sunday) before Sharkey's lead systems administrator finally got it working again late Sunday night.

Unfortunately, that meant that Sharkey didn't meet the 90% standard for remote net-work availability for May (see attached Surveillance Activity Checklist). It also meant that approximately 720 auditors in travel status couldn't do the majority of their work for two days.

Questions

1. According to the contract, who is responsible for ensuring that the server is adequate to support the remote network?
2. What factors, if any, may have interfered with Sharkey's ability to keep the remote network operating effectively?
3. Whose fault is it that Sharkey didn't meet the 90% standard for remote network availability in May? Explain your answer. Identify the contract provisions that support your answer. If you think both parties are at fault, be sure to explain the part each party played.
4. A couple days later, you get an email from Val. She's still furious about Sharkey's performance. She writes, "Why do we keep wasting our time with this contractor!? Clearly, they can't do the job. Let's terminate them and get someone else who is actually qualified for this work." Is termination an acceptable remedy? Why or why not? Write a response to Val, describing your conclusions and rationale, including appropriate remedies.

5. At the end of May, Sharkey submitted an invoice of \$416,667.00. Would you recommend that a deduction be taken based on Sharkey's failure to meet the performance standard for remote network availability? Explain your rationale. If you recommend a deduction, use a deduction rate of 15%. How would you calculate the deduction and how much would you deduct?

Contract Number: BIA-XX-C-1234

Surveillance Activity Checklist (May)

Performance Requirement	Performance Standard	Surveillance Method	AQL	Contractor's Performance Metrics	Compliance (Exceeded, Met, Not Met or Partially Met)
Requests for account creation are promptly completed	Complete account creation within 2 business days of receipt	Reviewed help desk tracking system	90%	92%	Exceeded
Requests for account deletion are promptly completed	Complete account deletion request within 4 business days of receipt	Reviewed help desk tracking system	90%	91%	Exceeded
Resolve customer requirements during the first call	Customer requirements resolved to customer satisfaction during the first call	Review help desk tracking system	80%	85%	Exceeded
LAN available during business hours	LAN fully operational during business hours	Reviewed network monitoring system	95%	96%	Exceeded
Remote access network available during business hours	Remote access network fully operational during business hours	Reviewed network monitoring system	90%	87%	Did not meet
Protection from network intrusion	No unauthorized network intrusion	Reviewed weekly contractor Network Security Report	100%	100%	Met
Prompt response to unauthorized intrusion to network	Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	Reviewed weekly contractor Network Security Report	100%	100%	Met

Performance Requirement	Performance Standard	Surveillance Method	AQL	Contractor's Performance Metrics	Compliance (Exceeded, Met, Not Met or Partially Met)
Protection of network and IT equipment from virus, malware, adware, spyware, and other malicious programs	Respond to/correct within 8 hours of occurrence and investigate/report within 5 days of occurrence	Reviewed weekly contractor Network Security Report	95%	100%	Exceeded
Back up all servers daily	All servers shall be backed up on a daily basis	Reviewed monthly contractor backup documentation	100%	100%	Met
Restore data using back-up tapes	Perform restore using back-up tapes	Observed contractor data restoration of randomly selected back-up tape	100%	100%	Met
Timely repair/replacement of equipment and software	Repair or replacement is provided within 24 hours request for service	Reviewed help desk tracking system	90%	85%	Did not meet
Ensure hardware, software, data, and facility resources are achieved and sanitized, prior to disposal	No sensitive data compromised as a result of failure to follow disposition policy	Inspected Monthly Property Reports	100%	100%	Met

SA 5-1: Contract Modification

Team Name _____

Team Members (First and Last Names)

_____	_____
_____	_____
_____	_____

This assignment will be graded using the Questionnaire Rubric and is worth up to 20 points. All team members will receive the same grade.

Objectives

- Recognize a change to the contract's technical requirements.
- Justify the need for a contract modification as a result of a change to the contract's technical requirements.
- Determine changes to the Performance Work Statement.

Instructions

Read the scenario below and answer the questions that follow.

Scenario

Finally some good news! After multiple surveys, market research, and discussions with remote users, the government purchases an upgraded server. It's based on cutting-edge technology that will be able to handle all of the expected future demand and then some.

When the new server arrives, everyone is thrilled.

Sharkey's project manager immediately calls you. "What's going on? Nobody told us that we'd be getting *this* type of server! It's brand-new technology."

You respond, "I know! It's really going to improve our remote network availability. I bet you're glad you won't be dealing with that headache anymore."

The project manager replies, "Not exactly. This isn't in our contract. If you want this installed, it's a change to the contract."

You thought Sharkey would be relieved about the new server — it's going to make their job a lot easier. "I'm not sure what you mean. The PWS says you have to install it."

Sharkey's project manager explains. "Look, we'll install a server similar to the one you've got now, but this is a totally different technology. It isn't a simple installation either. Besides, take a look at the PRS. It limits our installation responsibility to repair or replacement. What you're asking for is definitely not a replacement. It's an upgrade and that's not in the contract."

You reply, “You know how quickly technology changes. You can’t even get the exact server anymore. So an upgrade is exactly what replacement means and the PWS says you have to install it.”

“Well, if you want it installed, it’s a change, so we’ll need to modify the contract. And I don’t have the expertise in-house to do it. I’m going to need to hire an outside contractor and, with overtime, that’s going to run around \$10,000.”

This is not the reaction you had expected. Now what?

Questions

1. What, if anything, does the contract say about equipment upgrades?
2. What parts of the contract support the government’s position?
3. What parts of the contract support Sharkey’s position?
4. What are your options to resolve this situation?

5. What will you recommend to the contracting officer? Make sure to explain your thought process and rationale for your recommendation.

6. If your recommendation will result in a contract modification, will this modification be “in scope” or “out of scope” of the contract? Explain your rationale.

7. If your recommendation will result in a modification to the PWS, what specific portion(s) will need to be modified? Provide a draft of the changed portions.

8. Two weeks later, you get a request for equitable adjustment from Sharkey for \$20,625.00 — \$8,575 for the cost of repairing the old server after it crashed and \$12,050 for the cost of installing the upgraded server. The request states, in part:

Sharkey is entitled to this additional compensation because the contract does not require us to upgrade the technology of the BBIA's network equipment. The additional requirement to upgrade the equipment will result in our having to add additional manpower at a higher skill level and rate. These additional costs were not originally contemplated and were not part of our contract price. Additionally, the COR changed the contract by directing Sharkey to "do what ever it takes" to keep the old remote server in operation. We based our contract price on the government's workload estimates in solicitation. This additional work required us to expend more hours than we anticipated, and we were forced to pay our systems administrators overtime. Being a small business, we cannot afford to incur these additional costs. We would like to discuss a contract modification for these changes as soon as possible.

- a) Is Sharkey entitled to an equitable adjustment for the cost of repairing the old server after it crashed? Why or why not?

- b) Is Sharkey entitled to an equitable adjustment for the cost of installing the upgraded server? Why or why not?
- c) What information would you need to determine if the dollar amounts are fair and reasonable?

SA 5-2: Contractor Performance Evaluation

Objective

Document and report contractor's actual performance under the contract.

Instructions

Since the first year of contract performance has ended, it is time to do an interim evaluation of the contractor's performance under the contract. The contracting officer has asked you to evaluate the contractor's quality of services, timeliness of performance, and business relations.

Based on the following input and the attached Contractor Technical Performance Summary, assess the contractor's performance under this contract and document it on the attached form.

1. This contract was the first major government contract as a prime contractor for Sharkey IT Solutions, a service-disabled veteran-owned small business.
2. The contractor's required reports were not always acceptable but the contractor made the required corrections and subsequent submittals were accepted.
3. You believe the contractor's project manager and alternate are very professional and responsive to government requests. They are personally well liked by everyone. The project manager has stated on several occasions that "my job is tied to our performance ratings. One bad rating and I'm gone!"
4. The contractor had problems maintaining the remote server early in the contract. Customers complained about server speed and dropped connections. However, remote server performance improved after a new server was installed.
5. A BBIA employee claimed to have been sexually harassed by a contractor employee. The contractor quickly removed the employee from the facility, investigated the claim, and resolved the issue in accordance with their HR policy.
6. You have received numerous customer complaints that the contractor is difficult to deal with. One customer stated "every time I asked the contractor to do the slightest little thing for me I am referred back to the COR. I am the customer and the contractor should be providing me the support I need without all this bureaucracy."
7. There were two unauthorized network intrusions. The contractor moved quickly to prevent damage to the network and systems and completed the investigations and reports in the required time. They made changes to the network firewall to help prevent future intrusions.

Contractor Performance Assessment Report

Evaluation Type (check one): ☐ Interim ☐ Final		
Evaluating Organization:		Reporting Period: From To
Contracting Office:	Contract Number:	Order Number:
Contractor Name:		Contractor Address:
DUNS:	City:	State:
Additional or Alternate Contractor Name:	Zip/Postal Code:	Country:

TIN:	Industrial Code (NAICS):	Commodity Code:	Contract Type:
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Contract Award Date:	Contract Expiration Date:	Contract Value:
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Requirement Description (provide a clear non-technical description of the principal purpose of the contract or order):

Ratings

Summarize contractor performance and check the rating that reflects how the contractor performed for each rating area. Narratives must support the rating given (see *attached Evaluation Rating Definitions*).

1 = Unsatisfactory; 2 = Marginal; 3 = Satisfactory; 4 = Very Good; 5 = Exceptional

	Unsatisfactory	Marginal	Satisfactory	Very Good	Exceptional
Quality	①	②	③	④	⑤
Cost Control ¹	①	②	③	④	⑤
Schedule	①	②	③	④	⑤
Business Relations	①	②	③	④	⑤

(Editor's Note: All other sections have been removed since they do not apply to this assignment.)

Assessing Official's Narrative on Ratings:

¹ Rating and comments for Cost Control are not required if contract type is Firm-Fixed-Price or Fixed-Price with Economic Price Adjustment

Evaluation Ratings Definitions

Rating	Definition	Note
Exceptional	Performance meets contractual requirements and exceeds many to the Government's benefit. The contractual performance of the element or sub-element being evaluated was accomplished with few minor problems for which corrective actions taken by the contractor were highly effective.	To justify an Exceptional rating, identify multiple significant events and state how they were of benefit to the Government. A singular benefit, however, could be of such magnitude that it alone constitutes an Exceptional rating. Also, there should have been NO significant weaknesses identified.
Very Good	Performance meets contractual requirements and exceeds some to the Government's benefit. The contractual performance of the element or sub-element being evaluated was accomplished with some minor problems for which corrective actions taken by the contractor were effective.	To justify a Very Good rating, identify a significant event and state how it was a benefit to the Government. There should have been no significant weaknesses identified.
Satisfactory	Performance meets contractual requirements. The contractual performance of the element or sub-element contains some minor problems for which corrective actions taken by the contractor appear or were satisfactory.	To justify a Satisfactory rating, there should have been only minor problems, or major problems the contractor recovered from without impact to the contract/ order. There should have been NO significant weaknesses identified. A fundamental principle of assigning ratings is that contractors will not be evaluated with a rating lower than Satisfactory solely for not performing beyond the requirements of the contract/order.
Marginal	Performance does not meet some contractual requirements. The contractual performance of the element or sub-element being evaluated reflects a serious problem for which the contractor has not yet identified corrective actions. The contractor's proposed actions appear only marginally effective or were not fully implemented.	To justify Marginal performance, identify a significant event in each category that the contractor had trouble overcoming and state how it impacted the Government. A Marginal rating should be supported by referencing the management tool that notified the contractor of the contractual deficiency (e.g., management, quality, safety, or environmental deficiency report or letter).

Rating	Definition	Note
Unsatisfactory	Performance does not meet most contractual requirements and recovery is not likely in a timely manner. The contractual performance of the element or sub-element contains a serious problem(s) for which the contractor's corrective actions appear or were ineffective.	To justify an Unsatisfactory rating, identify multiple significant events in each category that the contractor had trouble overcoming and state how it impacted the Government. A singular problem, however, could be of such serious magnitude that it alone constitutes an unsatisfactory rating. An Unsatisfactory rating should be supported by referencing the management tools used to notify the contractor of the contractual deficiencies (e.g., management, quality, safety, or environmental deficiency reports, or letters).

Note 1: Plus or minus signs may be used to indicate an improving (+) or worsening (–) trend insufficient to change the evaluation status.

Note 2: N/A (not applicable) should be used if the ratings are not going to be applied to a particular area for evaluation.

CONTRACTOR TECHNICAL PERFORMANCE SUMMARY — YEAR ONE METRICS

Performance Standard	AQL	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov
Complete account creation within 2 business days of receipt	90 %	N/A	92 %	92 %	94 %	92 %	92 %	94 %	95 %	93 %	94 %	93 %	95 %
Complete account deletion request within 4 business days of receipt	90 %	N/A	93 %	92 %	93 %	91 %	91 %	95 %	94 %	95 %	93 %	95 %	97 %
Customer requirements resolved to customer satisfaction during the first call	80 %	N/A	83 %	83 %	84 %	85 %	85 %	87 %	87 %	88 %	87 %	88 %	89 %
LAN fully operational during business hours	95 %	N/A	97 %	97 %	97 %	96 %	96 %	98 %	100 %	100 %	100 %	100 %	100 %
Remote access network fully operational during business hours	90 %	N/A	90 %	90 %	90 %	90 %	87 %	98 %	100 %	100 %	99 %	100 %	100 %
No unauthorized network intrusion	100 %	N/A	100 %	100 %	98 %	100 %	100 %	98 %	100 %	100 %	100 %	100 %	100 %

Performance Standard	AQL	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov
Respond to/correct network intrusion within 8 hours of occurrence and investigate/report within 5 days of occurrence	100 %	N/A	N/A	N/A	100 %	N/A	NA %	100 %	N/A	N/A	N/A	N/A	N/A
Respond to/correct virus, malware, adware, spyware, and other malicious programs within 8 hours of occurrence and investigate/report within 5 days of occurrence	95 %	N/A	100 %	100 %	100 %	100 %	100 %	100 %	99 %	100 %	100 %	100 %	100 %
All servers must be backed up on a daily basis	100 %	N/A	100 %	100 %	100 %	100 %	100 %	100 %	100 %	100 %	100 %	100 %	100 %
Perform restore using back-up tapes	100 %	N/A	100 %	100 %	100 %	100 %	100 %	100 %	100 %	100 %	90 %	100 %	100 %
Repair or replacement is provided within 24 hours of request for service	90 %	N/A	90 %	90 %	90 %	91 %	85 %	93 %	95 %	96 %	97 %	97 %	97 %

[illegible]

Advanced COR Workshop—Sample Prompts

Prompt Writing Framework

In today's federal environment, artificial intelligence (AI) offers powerful opportunities to accelerate routine tasks, generate new ideas, and strengthen deliverables.

Whether you're new to AI or have prior experience, this resource equips you to create clear, actionable prompts that align with the skills and deliverables used in your day-to-day work.

When using any AI tool, keep in mind:

Be specific

The more detailed your input, the better the AI's output.

Expect iteration

AI responses often need refinement. You can easily adjust an output by asking follow-ups like "Make it more concise," "Use a more formal tone," or "Focus on risks."

Validate outputs

Always double-check AI-generated information, particularly any data, citations, or technical details. AI tools may fabricate content even when outputs appear polished. AI requires scrutinizing the responses using your expert judgement. Continuing to develop your knowledge of the topic is key to using AI effectively.

Adapt for tool variations

While this framework is AI tool-agnostic, platforms (e.g., ChatGPT, Copilot, Gemini) may behave differently. Adapt your prompts as needed, and be mindful that not all tools support tone adjustments or iterative refinements equally.

Follow guidelines

Always follow your agency's policies for secure and ethical AI use.

Prompt Writing Framework

The Management Concepts Prompt Writing Framework organizes prompts into seven types of tasks to match real-world activities you may encounter. Use this framework flexibly, adapt it to your context, and treat AI as a partner in your success.

Fill in the bracketed information to create a prompt specific to your needs. In the pages that follow, you will see examples of how to take prompt formulas and customize them to common work-related tasks.

Task	Prompt Formula
 Following a Process Break down how to perform a task, apply a process, or follow a method	Act as a [persona] *. Walk me through how to [task] in the context of [subject] . Present it in [format] using a [tone] tone. My audience is [intended audience] .
 Generating Ideas Generate options, approaches, or ideas	Act as a [persona] . I'm working on [context] . Help me brainstorm [number] ideas for [task or subject] . Use [format] and a [tone] tone.
 Creating Deliverables Create specific deliverable or draft content	Act as a [persona] . I need help to [task] a [deliverable] about [subject] for [intended audience] . Use [format] and a [tone] tone. Follow these constraints: [requirements] .
 Comparing Options Evaluate options, compare strategies, or assess trade-offs	Given [context] , help me compare [option A] and [option B] as a [persona] . Present pros and cons or a recommendation in [format] with a [tone] tone.
 Summarizing Content Consolidate complex or multi-source input into a clear summary	Act as a [persona] . Summarize the following information into a [format] for [intended audience] . Use a [tone] tone. Highlight key takeaways and themes.
 Reframing Content Rewrite or adapt content for a different audience, tone, or format	Act as a [persona] . Reframe this [type of content] for [new audience] using a [tone] tone and [format] . Focus on [key objective or perspective] .
 Validating Quality Confirm quality, completeness, or readiness of a deliverable	Act as a [persona] . Based on [context] , generate a checklist to help me review or validate my [deliverable] before submission. Use [format] and a [tone] tone.

*A persona is a specific perspective or role that an AI is instructed to adopt in its responses, shaping its tone, style, and behavior to match that identity.

Drafting or Reviewing a Market Research Report

To support effective acquisition planning, contracting professionals must conduct and document market research that identifies potential sources, evaluates commercial availability, and informs decisions about competition, contract type, and small business participation. AI can assist in drafting or reviewing market research reports by helping structure findings, apply FAR-compliant language, and ensure all key elements required under FAR Part 10 are clearly addressed.

TABLE: DRAFTING OR REVIEWING A MARKET RESEARCH REPORT SAMPLE PROMPTS

Task	Example Prompt
 Following a process	Act as a federal contracting officer. I need to develop a market research report for a service requirement involving IT help desk and maintenance support. Walk me through the full process for drafting the report, starting from how to define the research objectives and select research methods, through documenting sources, commercial availability, contract type considerations, and small business participation. Present the steps clearly and in order, aligned with FAR 10.001 and suitable for inclusion in an internal contract resource.
 Generating ideas	Act as a federal contract analyst. I'm preparing to lead a working session with the acquisition team to shape our early market research strategy. Suggest five open-ended questions I can use to help the team think critically about what we need to learn from industry—such as how providers deliver similar services commercially, what innovations exist, or how to gauge market capacity. The questions should be phrased to generate insight rather than confirm assumptions.
 Creating deliverables	Act as a federal contract specialist. I've uploaded preliminary market research for a cloud-based records management requirement and now need to write the "Findings and Analysis" section of the market research report. Draft one paragraph that summarizes what the research revealed about commercial availability, recommended contract type, and small business considerations. Use concise, professional language suitable for the contract file and in alignment with FAR Part 10.
 Comparing options	Act as a federal contract specialist. I've been asked to recommend whether to fulfill an upcoming requirement for system administration support through an existing GSA schedule or a new stand-alone solicitation. Using the results of market research I provide, write a brief comparison of these two approaches based on competition, administrative efficiency, pricing, and timeline. Conclude with a defensible recommendation for acquisition strategy documentation.
 Summarizing content	Act as a federal contracting officer. I've uploaded my draft of the acquisition plan and need a concise summary of how our market research supports the recommended acquisition approach. Write one paragraph that explains the role of market research in shaping the solicitation strategy, identifying potential sources, and selecting the contract type. Make sure the paragraph reflects FAR 10.001 and is appropriate for inclusion in the acquisition plan.
 Reframing content	Act as a federal contracting officer. I received a draft market research report that states, "We looked at three vendors and found one we liked best who can meet the need." Given the market research information I provide, rewrite this into a professional summary that removes subjective language, documents the extent of the research, addresses commercial availability, and complies with FAR 10.001W. The revised version should be appropriate for an official acquisition record.

Task	Example Prompt
 Validating quality	Act as a federal contracting officer. I've uploaded a draft market research report from a new contract specialist and need to assess whether it meets FAR Part 10 requirements. Create a bullet-point checklist I can use to evaluate whether the report includes a clear purpose, sufficient research methods, documented sources, analysis of commercial availability, recommendation of contract type, and consideration of small business participation. Phrase the checklist for internal review and coaching.

Converting Job Analysis into a Performance-Based Work Statement (PWS)

To develop a performance-based work statement (PWS), contracting professionals must translate the results of job analysis into clear, outcome-oriented contract language. AI can assist in drafting measurable tasks, identifying appropriate performance standards, and structuring content to align with FAR 37.602 and agency expectations.

TABLE: CONVERTING JOB ANALYSIS INTO A PWS SAMPLE PROMPTS

Task	Example Prompt
 Following a process	Act as a federal contract specialist. I've just facilitated a job analysis session with the program office, and now I need to convert our activity and performance analysis into the structure of the specific task section of the PWS. Describe the process I should follow to turn my uploaded outputs—like help desk response standards and asset management tasks—into formal language suitable for the solicitation. Your process should show how to decide what to include, how to group and phrase tasks, and how to cross-check for performance-based structure. Use a step-by-step format appropriate for someone preparing to do the work.
 Generating ideas	Act as a federal procurement analyst supporting a team drafting a new PWS for IT support services. The uploaded job analysis has produced a long list of recurring tasks, but the team is struggling to identify which outputs actually require performance standards. Help me generate ideas by providing five questions I can ask the team to help them think through which tasks need measurement, which are mission-critical, and which might be left to the contractor's discretion. Frame your response to support collaborative work during a live drafting session.
 Creating deliverables	Act as a federal contract specialist. I've uploaded my completed job analysis for a recurring telecommunications support function and now need to write one of the tasks into a performance-based format. Take the task "conduct weekly inventory checks on telecom equipment and submit status updates" and rewrite it into PWS-ready language, including expected outcomes and performance thresholds and use appropriate performance-based phrasing for a fixed-price services contract.
 Comparing options	Act as a federal contract specialist advising a team that is debating two approaches to structuring the specific task section of the uploaded PWS: one groups tasks by functional area (e.g., help desk, systems admin), and one organizes them by lifecycle phase (e.g., onboarding, ongoing support, closeout). Provide a short analysis comparing these two options in terms of clarity, surveillance feasibility, and alignment with contractor flexibility. Use a concise comparison table or short narrative to support a recommendation.
 Summarizing content	Act as a federal contracting officer. I'm preparing to brief a new project manager on how their team's job analysis will translate into the PWS. I've uploaded the job analysis. Write a short summary that explains the role of the tree diagram, activity analysis, and performance indicators, and how each contributes to the structure and language of the PWS. The summary should clarify how these tools ensure the requirement is framed around what needs to be delivered—not how to deliver it.

Task	Example Prompt
 Reframing content	Act as a federal contract specialist. I've uploaded a draft PWS section from a program analyst that includes the line: "Contractor will check the email queue every two hours and follow standard troubleshooting procedures." Rewrite this as a performance-based task suitable for PWS specific task section, using clear, measurable outcomes and avoiding process instructions. Assume the rest of the section already establishes context for help desk operations.
 Validating quality	Act as a federal contracting officer reviewing the specific task section of a draft PWS prepared by a new program analyst. Provide a checklist I can use to confirm whether each task is written in performance-based language, tied to measurable outcomes, and consistent with the earlier job analysis. The checklist should also include criteria for catching vague verbs, redundant details, or language that instructs the contractor how to do the work. Phrase the list for someone preparing formal written feedback.

Drafting Evaluation Factors and Subfactors for a Tradeoff Source Selection

To support a tradeoff source selection, contracting professionals must develop evaluation factors and subfactors that clearly reflect technical priorities, address areas of performance risk, and enable meaningful distinctions between proposals. AI can assist by helping structure evaluation criteria, ensure alignment with FAR 15.104, and rewrite vague or redundant factors into language suitable for formal evaluation.

TABLE: DRAFTING EVALUATION FACTORS AND SUBFACTORS FOR A TRADEOFF SOURCE SELECTION SAMPLE PROMPTS

Task	Example Prompt
 Following a process	Act as a federal contract specialist. I've been tasked with drafting evaluation factors for a tradeoff source selection, but the technical requirement is complex and covers multiple functions—help desk, cybersecurity, and asset management. Using the uploaded PWS and the requirements in FAR part 15, walk me through the process for developing evaluation factors and subfactors that can fairly and effectively evaluate offers. Include how I should determine which areas need separate subfactors, how to reflect risk and performance priorities, and how to assign relative importance across technical and price factors. Present this as a practical checklist for shaping the solicitation.
 Generating ideas	Act as a federal procurement analyst. I'm facilitating a working session with the program office to define evaluation factors for a new acquisition. The uploaded PWS is solid, but the team is struggling to move from general concerns—for example, "We want someone who's reliable"—to actual assessable factors. Suggest five open-ended prompts I can use to help the team surface specific attributes of an offeror's approach or experience that would meaningfully distinguish one proposal from another in a tradeoff scenario. These should help unlock better discussion around risk, capability, and value.
 Creating deliverables	Act as a federal contract specialist. I need to write a technical evaluation factor for an upcoming solicitation that will evaluate each offeror's approach to working with the current contractor to transition contract responsibility in order to ensure continuity in contract services. I've uploaded a copy of my draft. Write one sentence that defines the factor in outcome-oriented language and then write one sentence explaining why it's a meaningful discriminator in a tradeoff source selection. Use precise, formal language that can be inserted directly into the solicitation.
 Comparing options	Act as a federal contract specialist. I've uploaded two draft evaluation schemes for a tradeoff source selection—one uses broader factors with no subfactors, while the other uses detailed subfactors for technical approach, staffing, and risk mitigation. I need to recommend one approach to the contracting officer. Write a short comparative analysis that weighs clarity for evaluators, flexibility during discussions, and the risk of diluting meaningful distinctions between offerors. The tone should be neutral and analytical, suitable for internal documentation.
 Summarizing content	Act as a federal contracting officer. I'm documenting the rationale behind the evaluation structure for an IT services solicitation using tradeoff source selection. Given the structure I upload and FAR 15.1, write a short paragraph that explains how the chosen evaluation factors reflect the agency's risk posture, how the subfactors support technical discriminators, and how the overall structure allows for a balanced assessment of value beyond price. This summary will be used in the acquisition plan and shared with the technical evaluation team.

Task	Example Prompt
 Reframing content	Act as a federal contracting officer. I've uploaded evaluation factor language from the program office that says, "Offerors must show they have handled similar projects and that they're qualified to lead the work." Rewrite this into a clearly worded evaluation factor and subfactor structure that could be used in a tradeoff solicitation, making sure it supports comparative assessment and links to demonstrated performance and staffing qualifications. Use solicitation-ready formatting and formal tone.
 Validating quality	Act as a federal contracting officer reviewing a draft set of evaluation factors written by a project manager new to source selection. Using my uploaded documents, create a checklist I can use to assess whether the factors: (1) clearly link to the PWS, (2) allow meaningful discrimination, (3) avoid overlap or redundancy, (4) are written in measurable and non-subjective terms, and (5) reflect the tradeoff method appropriately. Use a formal tone and structure the list to support written coaching and review comments.

Writing Surveillance Language for the QASP

To ensure that contractor performance meets the expectations set in the contract, contracting professionals must develop a Quality Assurance Surveillance Plan (QASP) that defines how and when the government will assess performance. AI can assist in drafting surveillance language that aligns with performance standards, selects appropriate surveillance methods based on task risk, and translates technical monitoring strategies into clear, measurable terms.

TABLE: WRITING SURVEILLANCE LANGUAGE FOR THE QASP SAMPLE PROMPTS

Task		Example Prompt
 Following a process		Act as a federal contract specialist. I've uploaded a draft performance work statement (PWS), which includes the performance requirement summary, for a multi-function support services contract and now need to build the corresponding QASP. Walk me through the process of developing surveillance language, starting with identifying which tasks require monitoring, and ending with selecting appropriate surveillance methods and documentation strategies. Be sure to explain how to link each surveillance method to the associated performance standard. Present this as a step-by-step plan for building the surveillance section from scratch.
 Generating ideas		Act as a federal procurement analyst. I'm advising a team that is trying to tailor surveillance methods to a variety of contract tasks, but they're defaulting to 100% inspection for everything. I've uploaded their draft documents. Suggest five coaching questions I can use to help the team think more creatively about matching the level of oversight to the importance, frequency, and risk of each task. These questions should help shift their thinking toward right-sizing surveillance and avoiding unnecessary administrative burden.
 Creating deliverables		Act as a federal contract specialist. I'm drafting QASP surveillance language for a task in the PWS that requires the contractor to provide IT help desk support 24/7 with a 2-hour average resolution time. I've uploaded what I have so far. Write one paragraph that describes how the government will monitor this service, including the surveillance method, frequency, data source, and what standard will be used to determine acceptability. The language should be clear, specific, and formatted for direct use in the QASP.
 Comparing options		Act as a federal contract specialist. I'm reviewing options for how to monitor contractor performance on monthly asset tracking reports. I've uploaded a sample of my reports. I've narrowed it down to two surveillance methods: periodic spot checks by the COR or requiring the contractor to submit self-reported performance metrics. Write a short comparison of the two approaches, evaluating administrative burden, reliability of data, and ability to detect noncompliance. Conclude with a recommendation appropriate for a low-risk deliverable.
 Summarizing content		Act as a federal contracting officer. I need to summarize our surveillance approach for the QASP for new contract. Write one paragraph that explains how the government will tailor oversight based on task risk, how performance standards are linked to surveillance methods, and how the QASP will support both quality assurance and contractor accountability. I've included my draft. Use professional language appropriate for internal coordination and documentation.

Task	Example Prompt
 Reframing content	Act as a federal contracting officer. I've uploaded draft surveillance language from the program office that reads: "The COR will keep an eye on contractor responsiveness and raise issues as needed." Rewrite this into formal QASP language that clearly identifies what will be monitored, how often, and how results will be evaluated. Make sure the revised version reflects standard surveillance practices and can be used in a service contract QASP.
 Validating quality	Act as a federal contracting officer. I'm reviewing a draft of surveillance language submitted by a junior contract specialist for a QASP. I've uploaded it here. Create a checklist I can use to validate the surveillance entries, focusing on whether each one identifies a specific task or output, includes a clear surveillance method and frequency, links to a measurable standard, and avoids vague or generic statements. Write the checklist in a formal tone for use during internal review.

Drafting a Contractor Performance Narrative for Upload into CPARS

To document contractor performance for use in future acquisitions, contracting professionals must complete accurate and objective narratives in the Contractor Performance Assessment Reporting System (CPARS). AI can assist by helping draft clear past-tense descriptions, align narrative content with assigned ratings, and ensure each required performance area is addressed using specific, supportable examples.

**TABLE: DRAFTING A CONTRACTOR PERFORMANCE NARRATIVE FOR UPLOAD INTO CPARS
SAMPLE PROMPTS**

Task	Example Prompt
 Following a process	Act as a federal contract specialist. I'm preparing to write a contractor performance narrative to upload into CPARS for a service contract I administered, but I want to make sure I follow a structured approach so the narrative aligns with the assigned rating and is defensible in future source selections. Walk me through the process I should follow to draft a contractor performance narrative that covers the required areas—quality, schedule, management, cost control, and utilization of small business—and that avoids vague or unsupported statements. Present the steps in a logical sequence I can follow each time I complete a CPARS entry.
 Generating ideas	Act as a federal procurement analyst. I'm helping a COR who needs to draft their first contractor performance evaluation and isn't sure how to describe contractor performance beyond "they did a good job." Using the requirements in FAR 42.11 provide five coaching questions I can use to help them reflect on observable contractor behavior, such as how issues were resolved, how well they communicated, and what made their work successful or challenging. The goal is to generate specific examples that can be turned into objective, useful narrative content.
 Creating deliverables	Act as a federal contract specialist. I need to draft the narrative for the Management section of a contractor performance report for a contractor who performed consistently well but required regular prompting to submit progress reports. Using the uploaded contractor surveillance notes and my communications with the contractor that I will provide, write one paragraph in past tense, using objective language that matches a "Satisfactory" rating. The narrative should describe specific contractor behaviors, mention any oversight required by the government, and be suitable for entry in the official CPARS system.
 Comparing options	Act as a federal contracting officer. I've uploaded two draft contractor performance narratives for the same contract—one written by the COR and one by the program manager. I need to compare them and determine which version provides stronger support for the proposed rating and best complies with the requirements in FAR 42.11. Write a short analysis that compares the two narratives in terms of specificity, neutrality, and alignment with the assigned performance area. Conclude with a recommendation for which narrative should be used or whether they should be merged.
 Summarizing content	Act as a federal contracting officer. I need to prepare a short summary of overall contractor performance for the CPARS report cover page. Using the requirement in FAR 42.11 and relevant COR files I provide, write one paragraph that captures high-level observations across all categories—quality, schedule, management, and cost control—using objective, factual language. The summary should reflect a consistent "Very Good" rating and be appropriate for leadership review and archival in the contract file.

Task	Example Prompt
 Reframing content	Act as a federal contracting officer. I uploaded a draft contractor performance narrative from the COR that says, “The contractor was great, and we had no issues—they always did what we asked.” Using the COR file documents I provide, rewrite this into a formal, objective CPARS narrative that meets the requirements of FAR 42.11 and justifies a “Very Good” rating under the Quality category. Include detail that reflect the contractor’s technical performance and avoid subjective or vague language. Use appropriate formatting and tone for a federal performance record.
 Validating quality	Act as a federal contracting officer. I’ve uploaded a draft contractor performance report from a COR and need to validate whether the narrative is appropriate. Using the requirements in FAR 42.11, create a checklist I can use to assess whether the narrative: (1) supports the assigned rating, (2) uses specific examples, (3) avoids emotional or vague language, (4) addresses all required performance categories, and (5) provides useful information for future source selection officials. Phrase the checklist for internal quality assurance purposes.

Blackstone vs. GSA



UNITED STATES
CIVILIAN BOARD OF CONTRACT APPEALS

DENIED: March 20, 2009

CBCA 718

BLACKSTONE CONSULTING, INC.,

Appellant,

v.

GENERAL SERVICES ADMINISTRATION,

Respondent.

Cynthia Malyszek of Malyszek & Malyszek, Los Angeles, CA, appearing for Appellant.

Mel Myers, Office of General Counsel, General Services Administration, Washington, DC, counsel for Respondent.

Before Board Judges **GILMORE**, **BORWICK**, and **VERGILIO**.

BORWICK, Board Judge.

Blackstone Consulting, Inc. (BCI or appellant) submitted claims for improper deductions from amounts due under a janitorial services contract with the General Services Administration (GSA or respondent) and for lost profits on unexercised option years on that contract. BCI alleged that respondent's deductions and its failure to exercise contract options were bad faith retaliation for BCI's submission of a sexual harassment complaint concerning the husband of one of respondent's officials. The contracting officer (CO) of GSA denied the claims, resulting in this appeal. We tried entitlement only in a three-day hearing. We conclude that respondent's officials did not retaliate against BCI for submission of the sexual harassment complaint, and that the contract deductions were in accordance with the contract's terms and were proper and reasonable. We conclude that BCI has not established that its abandonment of the contract under the Mutual Cancellation clause of the contract was a product of government duress. We conclude that BCI is not entitled to relief, beyond

payment for unpaid invoices that the contracting officer had already granted. The appeal is thus denied.

Findings of Fact

Contract term and standard clauses

1. On or about December 29, 2003, respondent awarded contract GS05P04GAC0043 to BCI for janitorial services for the John C. Kluczynski (JCK) Federal Building and the United States Post Office (USPO) Loop Station, Chicago, Illinois. Request for Equitable Adjustment (REA) ¶ II; Appeal File, Exhibit 1 at 18¹. The contract had an effective date of February 19, 2004, and incorporated the terms of Request for Proposals GS05P03GAC0007. *Id.*

2. The base period of BCI's contract ran from February 19, 2004, through July 31, 2004. Appeal File, Exhibit 1 at 18. The base period was shorter than one year because BCI had taken over the contract from another contractor which had unilaterally terminated its performance. Transcript at 615-18.

3. The contract had four one-year options exercisable unilaterally by the Government. Appeal File, Exhibit 1 at 92 (§ F, ¶¶ B, C). Under the standard Federal Acquisition Regulation (FAR) clause incorporated into the contract, the Government could exercise the option upon thirty days' written notice to the contractor, provided the Government gave a preliminary written notice of its intent to extend at least sixty days before the contract expired. *Id.* at 156 (¶ 83, FAR 52.217-9--Option to Extend the Term of the Contract (Mar. 2000)). On July 30, 2004, respondent exercised the first option year, extending the contract term through July 31, 2005. *Id.* at 10. On July 29, 2005, respondent exercised the second option year, extending the contract term through July 31, 2006. *Id.* at 2.

4. BCI's unit price for the base period was as follows. The prices shown are monthly prices (except for the pro-rated partial months).

JCK Building	\$29,272.67	Pro-Rated Feb.19-29
	\$121,272.65	March 1-April 30
	\$120,072.65	May 1-July 31
USPO	\$4,739.42	Pro-Rated Feb. 19-29

¹ Pagination reference is to the handwritten consecutive pagination in Appeal File, Exhibit 1.

\$19,634.89

March 1-July 31

Appeal File, Exhibit 1 at 19. For the second option year, the monthly unit price for contract service at the JCK building was \$133,344.80, and for the USPO was \$21,225.21. *Id.* at 4.

5. The contract contained a Mutual Cancellation clause, whereby either the Government or the contractor could unilaterally cancel the contract without cost, effective 120 calendar days after receipt of written notice. Appeal File, Exhibit 1 at 89 (§ E, ¶ G).

6. The total cleaning area of the JCK building was 1,106,276 square feet (BOMA measurement). Appellant's Exhibit 80. The USPO cleaning space was about 200,000 square feet. Transcript at 885-86.

Contract cleaning requirements

7. Required cleaning services were to be performed at frequencies determined by the contractor, except for special areas such as restrooms or the fitness center, determined by the contracting officer's representative (COR) to require more frequent cleaning. Appeal File, Exhibit 1 at 66 (§ C, ¶ L). Performance was measured by results, not the frequency or method of performance. *Id.* Evaluation of results was based on tenant satisfaction, the contracting officer or designee's inspection, International Facility Management Association (IFMA) surveys, and best trade practices. *Id.* Final results were the determining factor for the success or failure of the contract. *Id.*

8. All interior spaces (excluding mechanical spaces and elevator pits) were to be free of obvious dirt, dust, and debris. Appeal File, Exhibit 1 at 66 (§ C, ¶ L(1)a). All vertical surfaces (excluding windows) and horizontal surfaces were to be freshly cleaned and polished and have no accumulation of dust, dirt, marks, streaks, smudges, or fingerprints, including items above and beneath eye level. *Id.* Dusting was to be accomplished by damp cloth with no dry-dusting allowed. *Id.* Wood paneling was to be free of soil substances, dust streaks, and spots while carpets and rugs were to be free of obvious spots and stains and were to be free of dirt and debris, spots, gum-crusted material, and removable stains. *Id.* All floors were to be maintained in accordance with best trade practices with all bare floors and moldings to shine and be bright and clean. *Id.*

9. Drinking fountains were to be cleaned to be free of water marks and any other debris and maintained at a high level of sanitation; metal surfaces in entrances, lobbies, elevators, all exterior building fixtures, and corridors were to have a polished and lustrous appearance. Appeal File, Exhibit 1 at 67 (§ C, ¶ L(1)b-c). Rest rooms were to be cleaned and sanitized with a disinfectant cleaner; fixtures in the rest rooms were to be cleaned,

polished, and free of encrustation, dust, streaks, and odor. *Id.* at 67 (§ C, ¶ L(1)e). Lobby areas in the JCK building and USPO were to be polished on a constant basis during regular business hours to ensure those areas were free of debris and obvious dirt. *Id.* at 69 (§ C, ¶ L(3)d).

10. Respondent's quality expectations in meeting the above requirements were set forth in section J, exhibit 2 of the contract. Appeal File, Exhibit 1 at 66 (§ C, ¶ L). Section J, exhibit 2 is a multi-page document entitled Cleaning Performance Standards, which contains forty-eight standards. For the sake of brevity, only pertinent examples of those standards are set forth below:

1. BRIGHT METAL POLISHING: Bright metal surfaces shall have a polished and lustrous appearance.

....

10. DAMP MOPPING AND SPRAY BUFFING: Floors shall be slip resistant, free of marks, skipped areas, streaks and mop strands. Walls, baseboards and other surfaces shall be free of splashing and markings from equipment. The finished area shall have a uniform lustre. There shall be no buildup of finish in corners or crevices.

....

13. DUSTING There shall be no obvious dust streaks. Corners, crevices, molding and ledges shall be free of all obvious dust. There shall be no oils, spots or smudges on desk glass or dusted surfaces.

Appeal File, Exhibit 1 at 227 (§ J, Exhibit 2).

11. BCI was responsible for collection and removal of all trash, Appeal File, Exhibit 1 at 82 (§ C, ¶ P.1), including the segregation and removal of recyclable material. *Id.* at 83 (§ C, ¶ P.3).

12. The contract required the continuous presence of BCI's project manager or the project manager's COR-approved alternate. Appeal File, Exhibit 1 at 96 (§ H, ¶ A(2)a). The contract also required at a minimum, for the JCK building after 1:00 p.m. until work was completed for the day, two supervisors--one working and one non-working, one of whom could be the project manager at BCI's discretion. For the USPO the contract required at least

one working or non-working supervisor on-site when work was being performed at that location. *Id.*, Exhibit 1 at 97 (§ H, ¶ A(2)d).

Contract inspections

13. Section E of the contract contained the standard Inspection of Services - Fixed Price clause, found at FAR 52.246-4 (Aug. 1996), which provided in pertinent part at subsection B:

(2) The contractor shall provide and maintain an inspection system acceptable to the Government covering the services under this contract. Complete records of all inspection work performed by the contractor shall be maintained and made available to the Government during contract performance and for as long afterwards as the contract requires.

(3) The Government has the right to inspect and test all services called for by the contract, to the extent practicable at all times and places during the term of the contract. The Government shall perform inspections and tests in a manner that will not unduly delay the work.

. . . .

(5) If any of the services do not conform with contract requirements, the Government may require the contractor to perform the services again in conformity with contract requirements, at no increase in contract amount. When the defects in services cannot be corrected by reperformance, the Government may—

(a) Require the contractor to take necessary action to ensure that future performance conforms to contract requirements; and

(b) Reduce the contract price to reflect the reduced value of the services performed.

Appeal File, Exhibit 1 at 87-88.² Additionally, subsection C of section E of the contract provided that “the hourly rate to be used when calculating deductions” shall be the rate shown on line item 0006 in section B for the base or option year covered. *Id.* at 88 (§ E,

² That clause is also contained with different paragraph numbering in the standard clause section of the contract at Appeal File, Exhibit 1 at 165.

¶ C). The rate “will be multiplied by the number of productive and administrative hours needed to complete the task as determined by the Contracting Officer’s Representative.” *Id.*

14. The contract mandated that the contractor submit a complete quality control plan (QCP), to be accepted by the contracting officer prior to the award of the contract, Appeal File, Exhibit 1 at 62 (§ C, ¶ H), and a custodial quality assurance plan (CQAP), *id.* at 64 (§ C, ¶ K). Among other requirements, the QCP required the contractor to submit to the Government quarterly self-evaluation reports. *Id.* at 62 (§ H). The CQAP required the contractor to meet with the COR not less than twice a month during the first three months of the contract, and thereafter at a frequency chosen at the COR’s discretion but not less than once per month. *Id.* at 64 (§ C, ¶ K(2)a). The CQAP also required meetings of the contractor, respondent, and the tenant agencies, at about the same frequency. *Id.* (§ C, ¶ K(2)b). Written minutes of all meetings were to be kept and signed by the COR and by the contractor’s on-site supervisor. Should the contractor not agree with the minutes, the contractor was obligated to indicate such non-concurrence in writing to the contracting officer within one week of receipt of the minutes. *Id.* at 64-65.

15. Contract work was inspected using a numerical scoring system of 1 through 5 as follows: 1--completely unacceptable; 2--partially acceptable; 3--acceptable; 4--above average; 5--exceptional. Appeal File, Exhibit 1 at 66 (§ C, ¶ K(7)).

Contracting personnel

16. Toranda Roberson was the warranted CO for respondent, Jill Slechter was the administrative CO (ACO), and Gina Carter was the COR on the contract. Transcript at 824, 1086, 1549.

17. BCI is a privately held corporation, operating in twelve states and the District of Columbia. Transcript at 608-09. At the time of the hearing on the merits, BCI had between twenty and twenty-five contracts with the United States Government. *Id.* at 611. The president of BCI is Mr. Ronald Blackstone and the director of its human resources (HR) department is Karen Cash. *Id.* at 606, 610.

Contract performance

18. When BCI took over the contract, by the admission of its president, its leadership team was “not the strongest we would have hoped for.” Transcript at 614. BCI arranged for new supervisory personnel and kept the existing labor force belonging to the Service Employees International Union (SEIU). *Id.* at 616-17.

19. Respondent recorded early performance problems on the contract. On April 23, 2004, the COR advised BCI that many areas of the JCK building had not been cleaned and vacuumed. The COR reported the presence of debris throughout the twenty-third floor; that several offices on the fourth, thirty-fifth, and thirty-sixth floors had not been vacuumed; and that the entry door to room 3600 contained smears and run-downs. Appeal File, Exhibit 2. The COR expressed displeasure and sought assurances from BCI that problems like the ones noted would not reoccur. *Id.* On April 26, 2004, BCI's project manager, Shateau Shorter, advised the COR that BCI had taken corrective measures to ensure that the employees cleaned deficient areas. *Id.* at 3.

20. Performance problems continued, however. On August 6, 2004, the COR wrote BCI that in July, there were fourteen instances of trash not being emptied, eight instances when floors were not vacuumed, and areas of heavy dust and recycling not being pulled in accordance with BCI's work schedule. The COR noted that, in July, she had received forty-four service calls for recycling. Appeal File, Exhibit 4. On August 10, recognizing that there were problems, BCI stated that it would retain a swing-shift control reviewer to make sure that work was accomplished. *Id.*, Exhibit 5.

21. Performance problems persisted throughout August 2004, including twenty-eight instances where restrooms were found to have been insufficiently policed or maintained (e.g., lacking toilet paper and other paper products). Appeal File, Exhibit 6. The COR attributed this condition to BCI's assigning only one person to police the more than 150 bathrooms in the JCK building. *Id.* In addition, the COR noted unclean elevators and carpet spotting in many areas. Again, the COR noted that BCI had allocated only one person to clean the carpets in the JCK building. *Id.* The JCK building has about one million square feet of carpeting that needed daily attention. *Id.*, Exhibit 19. By letter of August 18, BCI promised to improve by adjusting employee route schedules, installing a quality control inspector, and adding additional utility hours to the normal work schedule. *Id.*, Exhibit 7.

22. On August 20, 2004, the COR wrote BCI that inspection the night of August 19 had revealed that BCI had missed cleaning the entire thirty-fourth floor of the JCK building. Appeal File, Exhibit 8. The COR warned that due to the recurring nature of the deficiencies, deductions would be taken and demanded a remedial action plan. *Id.*

23. On August 24, the COR advised BCI that there was unsatisfactory floor cleaning on the east and north sides of the USPO lobby, including debris under the floors and tables, and that the locker rooms in the fitness center had not been properly cleaned for a three-day period. Appeal File, Exhibit 11.

24. In response to the August 20 letter, BCI promised to add its own quality control

inspectors and stated that it had replaced two “substandard performers” on their routes to increase the quality of the work on those routes. Appeal File, Exhibit 11. In response to the August 24 letter, BCI stated that it was adding another utility position to address service calls throughout the day to enable the quality control inspectors to focus on quality control. Additionally, BCI sent its president to the JCK building to “re-focus and direct the systems that BCI had in place to be more effective.” Appeal File, Exhibit 12.

25. BCI’s president and respondent held a meeting on August 31, 2004, after which BCI promised to improve in the areas of subcontract management, service calls, and quality control inspection systems. BCI stated it was adding a utility position to address service calls, and that it would team two dusters to insure that personnel are dusting each and every floor of the JCK building. BCI stated that it had used a carpet cleaning machine to clean carpets in the JCK building and that it had purchased a new carpet cleaning machine that would be forthcoming within the month. Appeal File, Exhibit 15.

26. Quality control problems persisted to the end of 2004 and throughout 2005. On April 11, 2005, in response to complaints from the USPO, GSA inspected the post office lobby and found numerous deficiencies in the cleaning, including visible streaks and marks on black-waxed floors in the USPO lobby, and streaks with wax drips on floors behind tables on the Adams Street and Dearborn Avenue sides of the building. A USPO employee had reported that on the work level of the USPO, large areas of the black wax were wet in the morning, tables and mats were not put in their proper places after waxing, mail carts were moved, workers could not locate their mail, and there were spots and stains on the carpets. Appeal File, Exhibit 16.

27. Floor and mat care seemed to be particularly frustrating to respondent’s contracting personnel. On April 20, 2005, the ACO sent the following e-mail message to the COR with copies to BCI personnel:

I don’t understand why BCI is consistently and continuously baffled with floor/mat care. I’ll say this BCI, when you don’t want to do something you are consistent. You left the mats (and floors) in the Post Office a mess and have continued that in the JCK lobby. As I have said repeatedly, these are **HIGH PROFILE BUILDINGS**.

Appeal File, Exhibit 16 at 8. At around this time, GSA seriously considered not exercising BCI’s first year option. *Id.* The ACO wrote the COR that “[m]onitoring a contract is one thing but we have taken on the role of BCI Project Managers and we should deduct for the time we spend doing that. I am weary and without much hope that BCI will ever be able to stand on its own.” *Id.* at 2.

28. However, the COR responded to the ACO that contract deductions might be the incentive for BCI to improve its performance. Appeal File, Exhibit 16 at 1. The ACO asked the COR, “When will GSA be able to leave this contractor to work on [its] own? They have had the contract for 14 months and still don’t grasp the concept of quality control.” *Id.*

29. On May 5, 2005, respondent informed BCI of deficiencies found the night before in the cleaning of the north corridor and in the main lobby area of the USPO facility, which were a continuation of deficiencies that had been found earlier. Appeal File, Exhibit 17. On May 13, 2005, the ACO notified BCI of a deduction from its invoice of \$517.68 for lack of contractually required supervisor coverage at the USPO facility for April 18, 21, and 22, and for several instances where minimum supervisory requirements were not met at the JCK building because the supervisor was assisting at the USPO facility. *Id.* Exhibit 18. A deduction of \$395.30 was assessed for damage to bathroom fixtures which the ACO concluded was due to BCI’s use of improper chemicals or improper application of chemicals. *Id.*

30. On July 19, 2005, the ACO expressed to BCI considerable frustration about the quality of BCI’s work, stating that BCI had not yet fixed the carpet cleaning problem and had inadequate quality control. Appeal File, Exhibit 19.

31. In September 2005, respondent deducted \$801.54 for lack of supervisory coverage at the JCK building for September 1-2 and September 6-9. BCI had one supervisor doing double-duty at the USPO and JCK building to accommodate vacation schedules when the contract called for two supervisors. Appeal File, Exhibits 21-22.

32. On November 16, 2005, the COR recorded that trash was not emptied from room 1064, the seventeenth floor, and room 3718 of the JCK building; that dusting and vacuuming was skipped in one office; that work was not being done in accordance with established time frames; that there were supervisory and night shift concerns; that problems were beginning to arise with trash pick-up; and that there were ongoing and continuous recycling problems. Appeal File, Exhibit 23. The ACO also recorded a compliment for clean-up in room 408, but noted that vacuuming was not being done daily in that room. *Id.*

The reduction in force

33. In December 2005, respondent suffered a reduction in force (RIF) of its inspection personnel in the Chicago office. Appeal File, Exhibit 24. Until the RIF there had been two full-time inspectors for respondent on the contract. Transcript at 862-63, 867. Respondent replaced the two full-time inspectors with three or four part-time employees from respondent’s Office of Buildings Management who had no previous experience as inspectors.

Id. at 862, 867. In the opinion of the ACO, after the removal of the inspectors, BCI's performance declined because "everybody [became] laid back and relaxed." *Id.* at 870.

Contract performance after the reduction in force

34. On December 7, a progress meeting summary stated that on the floor housing the Department of Labor (DOL), trash had not been emptied in Room 800 for three days. It was also reported that freight elevator lobbies needed a thorough cleaning. Appeal File, Exhibit 29. Tile floors in room 230 and the second floor mail room were not being buffed as needed. *Id.*

35. By written memorandum of January 3, 2006, the COR advised BCI officials of its poor service on the twenty-third floor of the JCK building: spots throughout the floor; waiting area contained a soda bottle that had remained for a few days; heavy dust on chairs in the waiting area; recycle overflow in the kitchen; debris on the floor of the public bathroom; and no seat covers in one of the stalls. Appeal File, Exhibit 26. The COR advised BCI of on-going complaints regarding the uncleanness of the second floor women's bathroom. The COR reported that oftentimes, there was no paper or seat covers in that bathroom. The COR reminded BCI that it had promised a revised policing schedule for the bathroom two weeks prior to the January 3 memorandum but that she had not seen any improvement. *Id.*

36. On February 7, 2006, the COR advised BCI that respondent would take deductions of \$3166.12 for vacant space and for supervisory hours not worked from BCI's monthly invoice of \$151,403.97. Appeal File, Exhibit 21.

37. On February 10, 2006, the COR and BCI's project manager, Janis Jackson, walked through the USPO. The COR observed that the black floor areas of the USPO were not adequately cleaned and mopped, that BCI's cleaning schedule showed that only one person was responsible for cleaning all of the black floor areas, and that more hours might have to be devoted to that task. The COR expressed concern about lack of daily quality control and supervisory coverage. Appeal File, Exhibit 28. The ACO testified that BCI used four people to perform all contract tasks on the USPO space of 200,000 square feet. Transcript at 885-86.

38. On February 10, the COR again advised BCI of unsatisfactory cleaning on the twenty-third floor of the JCK building the previous night. Appeal File, Exhibit 30. The COR walked the floor around 8:30 a.m. and found debris in the interview and conference rooms. *Id.* Additionally, the floor was not thoroughly vacuumed. The only part of the floor that had

been vacuumed was the waiting area. *Id.* The COR advised BCI that respondent would take deductions in accordance with the contract's inspection clause. *Id.*

39. On February 27, 2006, BCI's project manager issued a memorandum to the COR regarding the cleaning of the USPO. BCI promised to schedule additional personnel daily to help with the workload throughout the USPO, particularly on the work level. BCI stated it was working with its vendors to find a more efficient method to clean areas treated with black wax. BCI also promised improved quality control coverage for the USPO site. Appeal File, Exhibit 33.

Sexual harassment complaint

40. On February 28, 2006, BCI's director of human resources, Ms. Cash, advised the ACO that one of BCI's employees had complained to BCI about inappropriate conduct towards her by an IRS employee who was also the husband of respondent's COR. Appellant's Exhibit 30. BCI, in a letter signed by Ms. Cash, stated that it felt it had the obligation to advise respondent of these events "so that you can inform your human resources department for further handling." *Id.* On March 3, respondent's ACO turned the matter over to the IRS employee's supervisor--Melinda Geddes--for investigation and resolution. Appeal File, Exhibit 55 at 2; Transcript at 894. According to the ACO, she advised Ms. Cash that GSA had no jurisdiction over the IRS and suggested that Ms. Cash contact Ms. Geddes. Transcript at 893-94. According to the ACO, Ms. Cash refused to deal with the IRS. *Id.* at 895-96.

41. In subsequent conversations between the ACO and Ms. Cash, Ms. Cash suggested that the COR be relieved of her responsibilities under the contract. Respondent refused that suggestion because of a shortage of capable CORs. Transcript at 904-05. The ACO suggested to Ms. Cash that BCI's employee be removed from the floor where the IRS employee worked and assigned to work in other areas of the building. According to the ACO, Ms. Cash refused that suggestion because it would have victimized the employee again. *Id.* at 907. That line of reasoning made no sense to the COR; she felt that if the employee was uncomfortable being in daily contact with the IRS employee, it would have been better for the employee to move from the floor and let her work elsewhere in the building. *Id.*

42. The COR testified that she was upset about this matter. Transcript at 1259. Whenever the COR personally inspected that part of the JCK facility where the BCI employee-complainant worked, she had the BCI project manager accompany her to avoid an appearance of impropriety. *Id.* at 1267.

Inspections after sexual harassment complaint

43. On March 2, 2006, the COR, in an e-mail message to the ACO and to BCI, stated that BCI had not been providing supervisory coverage required under the contract, that the night supervisor had been out that week, and that there had been days when supervisory coverage was not provided. Appeal File, Exhibit 33. The COR noted that missing supervision had been at issue for several months. The COR requested BCI's plans to assure the required supervisory coverage. The COR also advised that deductions would be taken for supervisory hours not worked. *Id.*

44. BCI's general manager apologized for the lack of coverage and explained that the assigned supervisor's son took seriously ill that week. BCI stated that it would submit substitute supervisors for respondent's background clearance. Appeal File, Exhibit 34. The substitute supervisor that BCI had called in lacked a current security badge. *Id.* On March 3, BCI informed the ACO that the new chief operating officer at BCI "would work internally" to address respondent's concerns. *Id.* at 5.³ BCI did not dispute the COR's conclusions.

45. In an e-mail message on March 10, the COR noted that there continued to be a lack of supervisory coverage in the evening. On the evening of March 9, there was one supervisor although two supervisors were required. Appeal File, Exhibit 34. On March 20, the COR noted in another e-mail message to BCI and the ACO that BCI had not provided respondent with plans to address the lack of evening supervision. *Id.*

46. On March 10, the COR issued two notices of unsatisfactory performance to BCI, the first notice for BCI's performance in its vacuuming and dusting on the tenth floor of the JCK building, Appeal File, Exhibit 35, and the second notice for BCI's performance in its vacuuming and dusting in Room 380, *id.*, Exhibit 36. The first notice advised BCI that on March 8, the COR walked through the tenant spaces on the tenth floor and found heavy dust throughout. *Id.*, Exhibit 35. She noticed several areas containing debris on the floor. *Id.* The office of the regional administrator for DOL was on the tenth floor. When the COR spoke to the administrator's assistant, she was informed that the assistant had her own dust wand because dusting services were not being provided. *Id.* Follow-up inspections were conducted on March 9 and 10 and the unsatisfactory conditions persisted. *Id.* The second notice advised BCI that when the COR inspected the tenant space in Room 380, she found

³ The pagination reference is to the typewritten pagination of the appeal file exhibit. The exhibit starts with typewritten pagination "2," so the page referenced is actually the fourth consecutive page of the exhibit.

heavy dust in several areas of the office, as well as debris on the floor throughout the office. This condition also persisted on March 9 and 10. *Id.*, Exhibit 36.

The inspection of March 14

47. Respondent and BCI conducted a joint inspection of the ground and work levels of the USPO on March 14. Appeal File, Exhibit 39. Respondent's inspector was Robbie Jones, an employee of respondent's Office of Buildings Management who had been conducting inspections for nine years. Transcript at 1501, 1503. She conducted the inspection with the COR, another employee of respondent's buildings management office, and BCI's Janis Jackson. *Id.* at 1505-06. This was the first inspection she had conducted of the USPO. *Id.* at 1507. Ms. Jones testified that she did not read the contract before she inspected the building because "I already knew how to inspect, I knew what we were looking for." *Id.* at 1507. Ms. Jones testified that she was the author of the inspection report, *id.* at 1524, and that no one, including the COR, influenced her to write a negative inspection report, *id.* at 1525. She stated that "no one influenced me on this, or any of my work. No one ever influences me." *Id.* She also testified that she did not hear about the allegation of sexual harassment by a BCI employee until after she had submitted her inspection report. *Id.* at 1519-20.

48. The inspector gave BCI an unsatisfactory rating for sixteen items. For example, the inspector found heavy dust on the working level of the USPO near the soda machines, near the freight elevator, and throughout the work level of a staging area. Appeal File, Exhibit 39 (Contract Cleaning Inspection Report). The inspector also found heavy dirt located at the revolving doors on the north side of the USPO and streaks on what the inspector called the north side. *Id.* The COR stated in her notice of unsatisfactory performance to BCI:

Of special note is the overall condition of the lobby floor. There are several areas that are not being mopped daily. We saw many areas with spots, streaks, stains, etc., especially under tables and near doors. In addition, there are several areas where the buffing is not being done and/or not done properly. There are areas . . . where there are lines in the floor where you can see where the buffing was done and where it was not.

. . . .

Your February 27th plan to address conditions at the Post Office has not been effective. Not only have deficiencies not been corrected, but continue to grow.

The overall condition of the lobby floor has declined dramatically. It does not appear that the daily cleaning is being performed in the lobby and on [the] work level.

Id. at 3-4.⁴ The COR's notice of deficiency stated that deductions would be imposed. *Id.* The record reveals no substantive or credible evidence that calls into question these or the earlier conclusions regarding uncleanliness and inadequate performance.

49. On March 14, 2006, in an e-mail message to BCI and the COR, the ACO proposed taking a 100% deduction from BCI's invoice for the USPO cleaning to "solve this ongoing deficiency." Appeal File, Exhibit 40 at 2. BCI's president responded that a 100% deduction would not be appropriate and that BCI would be working diligently to insure that quality service would be forthcoming at the USPO. *Id.*

50. On March 21, BCI wrote the COR that it had sought to satisfy the concerns expressed in the notice of deficiency on the USPO ground level by training the responsible employees and by instituting a "disciplinary process." Appeal File, Exhibit 41 at 1. BCI also sought to blame the poor cleaning of the USPO work level on the lack of black waxing and the enormous amount of equipment stored on the USPO work level. Black wax is a floor finish in the buildings, but the black wax process was not included in BCI's contract. Transcript at 851. However, BCI performed black waxing on a delivery order basis pending negotiation of a modification. *Id.* at 854-55. BCI stated that lack of black waxing left the floor uneven and patchy, which drastically impacted the daily maintenance of the floor. *Id.*

51. The COR, in her reply memorandum of March 21, advised BCI that the primary deficiency found in the report, dust build-up, was not related to the lack of black waxing; and that in the COR's opinion, the quality problem arose from BCI's assigning only two employees to clean the USPO work level comprising almost 50,000 square feet.⁵ She also stated that BCI should expect equipment on the work level of a post office. The COR stated that the quality control improvements BCI had promised for the USPO ground level had not

⁴ As with Appeal File, Exhibit 34, the pagination reference is to the typewritten pagination of the appeal file exhibit. The exhibit starts with typewritten pagination "2", so the reference is to the second and third consecutive pages of the exhibit.

⁵ The ACO testified that BCI assigned four people to perform all contract work at the USPO. In contrast at the time of the hearing, the successor contractor had assigned eight people to perform that work. Transcript at 881-82. She also testified that BCI assigned thirty-one or thirty-two employees to the JCK building; whereas the successor contractor assigned about fifty-five people. *Id.* at 1027.

materialized one week later. Appeal File, Exhibit 42. She also noted that a BCI cleaner had left a dirty vacuum cleaner bag on top of a computer keyboard at the USPO, generating a complaining phone call from a USPO supervisor to respondent's assistant property manager. *Id.* The COR's view that BCI's performance was not hindered by lack of black waxing is credible.

52. On March 30, an officer with the Immigration and Naturalization Service (INS) at the JCK building called respondent to complain that the INS area was a mess, that his area had not been cleaned, and that the public area had debris all over the floor. Appeal File, Exhibit 44. Consequently, the COR issued a notice of unsatisfactory performance. *Id.*, Exhibit 45.

53. BCI's invoice for the month of March 2006 for both the JCK building and the USPO was \$154,570.09. Appellant's Exhibit 80. By single-spaced, two-page letter of April 7, 2006, the COR issued a deduction notice to BCI deducting \$4393 for vacant space, \$1098 for fifty hours of missing supervisory coverage, and \$15,355 for the unsatisfactory performance at the USPO, for a total deduction of \$21,276.08.⁶ *Id.* By subsequent e-mail message of April 14 to BCI of three-quarters of a page, single spaced, the COR explained that respondent deducted the \$15,355 from what the COR said was BCI's monthly price of \$20,474.31 for contract service at the USPO. Appeal File, Exhibit 47.⁷ The COR explained that the original suggestion of the ACO was to deduct the full amount of the invoice for unsatisfactory performance, but that a lesser amount was decided. *Id.* The COR wrote in her e-mail message:

Please keep in mind that the unsatisfactory performance goes back not only to March, but to February when we tried a more informal approach of working with your team to not only identify, but [to] correct deficiencies. This

⁶ In fact, the COR and ACO originally had disagreed on the amount of deductions to be taken from BCI's invoice for the USPO. The ACO wanted to "hit [BCI] in the pocket," to "make [BCI] perform." Transcript at 919. The ACO thought a 100% deduction was appropriate because respondent received no value from BCI's work at the USPO. *Id.* at 921. The COR thought a 50% reduction in the invoice was appropriate. *Id.* The ACO and COR reached a compromise figure of 75%. *Id.* at 922.

⁷ There is no explanation in the record why the COR used the \$20,474.31 figure rather than the \$21,225.21 figure stated in the unit price schedule for option year two. *See* Appeal File, Exhibit 1 at 4. The \$751.21 discrepancy does not affect our decision. Similarly, the total invoice price for the items stated in the unit price schedule was \$154,570.01, not \$154,570.09. *Id.* The \$.08 discrepancy does not affect our decision.

unfortunately was not effective and we had to resort to a more formal approach to addressing the unsatisfactory performance. As a note, prior to the loss of our custodial inspectors, these areas had previously been identified as problematic and inspection reports show similar deficiencies.

Id.

54. The ACO explained at the hearing on the merits that she and the COR would have calculated the deductions through use of a deductions formula based upon a labor rate for work BCI had not done. However, the amount of work BCI did not do for the month of March was so large that the deduction would have been “huge.” Transcript at 923. Consequently, in this instance, the officials decided on a percentage reduction. *Id.*

55. Regarding missing supervisory coverage, BCI’s project manager testified that during the March to May 2006 time frame, the COR would not allow any of BCI’s previous managers who had worked in the building to substitute as supervisors. Transcript at 69-70. However, the COR testified that she never disapproved BCI’s use of temporary supervisors who were properly approved and badged as supervisors. *Id.* at 1121-22. The COR allowed BCI’s project manager to act as a supervisor when her shift as a project manager was over. *Id.* For the specific dates of April 18-22, BCI never requested the COR to approve substitute supervisors when the regular supervisor was not present. *Id.* at 1233.

56. On April 21, the COR issued a notice of unsatisfactory performance to BCI noting that an inspection that afternoon had found dust build-up on the floor in the northwest side of the lock box area and that the floor under the main lobby runners contained extremely heavy dirt and dust build-up. Appeal File, Exhibit 49. The COR stated that this condition was a continuing deficiency that had continued not to be addressed. *Id.* The notice stated that deductions would be taken but requested advice from BCI on how it proposed to prevent these problems from happening in the future. *Id.*

57. On April 26, BCI canceled the contract under the mutual cancellation clause of the contract. REA at 4; Appeal File, Exhibit 51. BCI stated in pertinent part:

We have reached the conclusion that there is no chance of [BCI] being successful on this project. While we certainly understand the nature of ‘challenging customers’ . . . , the actions of the contracting officer, contracting officer representative and quality assurance personnel over the past [four to eight] weeks demonstrates that we are being held to standards that are unreasonable and that we can not adequately resolve. While we acknowledge that we are not perfect, we can not continue to operate in an environment

where deficiency notices and associated deductions are assessed based on very subjective criteria.

For the record, we are also quite troubled by the fact that many of the deficiency notices and deductions started occurring after we pointed out and provided detailed information about an alleged sexual harassment complaint against the contracting officer representative's husband by one of our employees. While we wrestled with the decision to bring this matter to JCK's attention given the COR's relationship with the accused, we ultimately felt that it was our fiduciary duty to do so. We can't help but feel that recent actions are a form of retaliation for our decision.

Id., Exhibit 51 at 2. Per the Mutual Cancellation clause of the contract, the cancellation would have been effective one hundred and twenty days later, i.e., on August 24, 2006. However, option year two--and the contract, if additional options were not exercised--expired by its terms on July 31, 2006. *Id.*, Exhibit 1 at 2.

58. On November 21, 2006, BCI submitted its REA to respondent, seeking \$450,929.99 in damages as follows:

Supervisory & Postal Deductions

September 1-30, 2005	\$801.54
April 1-30, 2005	517.68
March 1-31, 2006	1098.00
Postal	15,355.00
January 1-31 2006	109.80
April 1-30, 2006	2294.82
Total Deductions	\$20,176.84
Cost of replacement employees	2786.82
Unpaid invoices	92,345.27
Lost profit	291,251.90
Settlement costs	44,369.16
Claim total	\$450,929.99

REA at 9. The REA does not allocate BCI's alleged lost and anticipatory profits claim between the unexercised option periods three and four. The REA also asserts:

On April 26, 2006, Blackstone sent a letter notifying [respondent] that

Blackstone was exercising its 120-day cancellation right under the terms of the contract. In the letter Blackstone expressed the unreasonable level of scrutiny and unjustifiable performance deductions [respondent] began imposing on Blackstone after the sexual harassment complaint.

....

Following Blackstone's [employee's] submission of [a] sexual harassment complaint against the COR's husband, Blackstone became the victim of retaliatory invoice deductions. For work done the same month the complaint was filed the GSA arbitrarily deducted 75% from [BCI's] invoice for unspecified performance deficiencies. Despite a clear conflict the COR was not switched with an unbiased person and the GSA's only recommendation to [BCI] was to simply move the employee to the another floor. The GSA's actions served no other purpose than to do harm to [BCI], and as such amount to bad faith conduct on the part of the GSA.

REA at 4, 6.

59. On April 26, 2007, BCI filed its appeal on a "deemed denial" basis. Notice of Appeal. Appellant later reduced and amended the quantum of its claim as follows:

Supervisory & Postal Deductions

September 1-30, 2005	\$801.54
April 1-30, 2005	517.68
March 1-31, 2006	1098.00
Postal	15,355.00
January 1-31 2006	109.80
April 1-30, 2006	2294.82
Total Deductions	\$20,176.84 ⁸
Cost of replacement employees	2786.82
Unpaid invoices	9,245.27
Lost profit	291,251.90
Settlement costs	52,247.91

⁸ The amended claim contains the incorrect figure of \$20,276.84. We correct the error.

Claim total

\$375,708.74

Amended Claim; Appellant's Response to Respondent's Motion to Dismiss, Exhibit 1.

60. On April 30, 2007, contracting officer Toranda Roberson issued her decision denying the claim. She decided that the \$15,355 deduction from the March invoice was proper in light of the numerous deficiency notices for the USPO and the ineffective corrective measures that BCI had put in place. Appeal File, Exhibit 55. She denied that the deductions subsequent to the sexual harassment complaint were retaliatory. She determined that the deductions were "the product of good stewardship by the COR" and that the Government would not pay for services it did not receive. *Id.*, Exhibit 55 at 2. Regarding supervisory deductions, she determined they were allowed by the contract clauses. She denied the claim for lost profits because there had been no breach; she also denied the claim for unpaid invoices. She found that fourteen of the fifteen unpaid invoices were for unsatisfactory work. She remitted a \$839.34 payment for one invoice.

61. Respondent filed a motion to dismiss that portion of the claim relating to the unexercised option years. Appellant responded by stating that it would prove at trial that respondent's retaliatory deductions left appellant with no option but to cancel the contract and that but for the retaliation, respondent would have awarded option years three and four. Appellant's Opposition to Respondent's Motion to Dismiss at 2-3. We granted the motion as to option year four because the claim for option year four was too speculative given that appellant canceled the contract before respondent had decided to exercise option year three. We permitted BCI to maintain its claim that BCI would not have canceled the contract and that respondent would have exercised option year three but for the retaliation of respondent. *Blackstone Consulting, Inc. v. General Services Administration*, CBCA 718, 08-1 BCA ¶ 33,770.

62. The Board bifurcated the proceedings into entitlement and quantum. The Board tried entitlement only from June 16 to June 19, 2008.

Discussion

Appellant's contentions of bad faith and improper actions are not supported by the record in this matter. Appellant has not demonstrated entitlement to relief. As explained below, the record demonstrates that appellant cleaned and supervised inadequately throughout the contract. Respondent's conclusions of unsatisfactory performance and deductions are justified fully.

Appellant's contentions

Appellant claims that it was the victim of respondent's over-intrusive inspections conducted in violation of the contract and improper deductions in violation of the deduction formula in the contract's Inspections clause. Appellant's Brief at 2. Appellant argues that respondent acted by using "improper contract clauses to accomplish [its] goal to cause [appellant] financial harm." *Id.* Appellant suggests that respondent could deduct no more than the amount specified in the hourly-rate deduction formula--see Finding 13--set forth at § E, ¶ C of the contract. Appellant's Brief at 21, 23.

With regard to the deduction of April 7, 2006, appellant argues that the large deduction was punitive, done without reason, and therefore malicious. Appellant's Brief at 3. Appellant argues that the deduction of April 7 "was in retaliation for the allegation of [sexual] harassment submitted by appellant to respondent on February 28, 2006." *Id.* at 5. Appellant suggests that because the largest deduction was subsequent to the sexual harassment complaint, despite worse performance problems in the first years of the contract, the deduction was retaliatory. *Id.* at 23.

Appellant contends, therefore, that "appellant opted to utilize the mutual cancellation clause for fear of continuing punishments that were both unjustified and not delineated." Appellant's Brief at 3. As bad faith breach damages, appellant seeks lost profits for the unexercised option years of the contract. In short, appellant poses a combination of bad faith, breach, and duress claims.

A tribunal may award damages for unexercised option years of a contract if a contractor proves that the decision not to exercise an option was a product of bad faith or so arbitrary and capricious as to be an abuse of discretion. *Greenlee Construction, Inc. v. General Services Administration*, CBCA 416, 07-1 BCA ¶ 33,514, at 166,062; *Nova Express*, PSBCA 5102, et. al., 08-1 BCA ¶ 33,763; *IMS Engineers-Architects, P.C.*, ASBCA 53471, 06-1 BCA ¶ 33,231, at 164,674, *aff'd*, 274 Fed. Appx. 8981 (Fed. Cir. 2008), *cert. den.*, 129 S.Ct. 595 (2008).

Burden of proof and analysis

Recently, we set forth the standard of proof necessary to successfully maintain a claim of bad faith:

[A]s a general principle, we presume that government officials act in good faith in the discharge of their duties. Overcoming that presumption presents

[appellant] with a high hurdle. We recently stated in *Greenlee*, 07-1 BCA at 166,063, “a contractor who asserts that a government official was motivated by bad faith in the conduct of his duties bears the burden of proving its assertion by clear and convincing evidence - ‘evidence which produces in the mind of the trier of fact an abiding conviction that the truth of a factual contention is *highly probable*.’”

Innovative (PBX) Telephone Services, Inc., v. Department of Veterans Affairs, CBCA 44, et al., 08-1 BCA ¶ 33,854, at 167,584 (citing *Am-Pro Protective Agency, Inc. v. United States*, 281 F.3d 1234, 1239-40 (Fed. Cir. 2002)); *see also North Star Alaska Housing Corp. v. United States*, 76 Fed.Cl. 158, 187 (2007) (burden of proof equated to specific intent to injure plaintiff, i.e., conduct that is designedly oppressive, such as a government conspiracy to get rid of a contractor). A custodial contractor must show that respondent’s inspection procedures were motivated only by malicious intent to injure the appellant and not by an intent to improve appellant’s performance. *Harris Systems International, Inc. v. United States*, 5 Cl. Ct. 253, 264 (1984).

As applied to failure to exercise options, one of our predecessor boards, the General Services Board of Contract Appeals (GSBCA), succinctly noted that a contractor must prove that failure to exercise the option was motivated by bad faith. *Aspen Helicopters, Inc. v. Department of Commerce*, GSBCA 13258-COM, 99-2 BCA ¶ 30,581, at 151,025, *aff’d. sub nom. Aspen Helicopters v. Mineta*, 243 F.3d 561 (Fed. Cir. 2000) (Table).

Retaliation claim

Here, BCI has not established by credible evidence, much less by clear and convincing evidence, that the evaluation and deduction resulting from the March 14, 2006, inspection was motivated by a BCI employee’s filing a sexual harassment complaint about the COR’s husband. BCI’s performance on the contract--both in the JCK building and the USPO--was, at best, unsatisfactory from the beginning of its contract performance. As early as April 2004, the COR noted BCI’s cleaning deficiencies in the JCK building. Finding 19. On August 20, 2004, the COR noted cleaning deficiencies at the USPO facility. Finding 23. BCI’s performance problems, both at the JCK building and the USPO facility, continued in 2005, despite BCI’s numerous, but unfulfilled, promises to improve its performance. Findings 19, 21, 23-27, 29. The performance deficiencies were so numerous that in April 2005, some nine months before the filing of the sexual harassment complaint, respondent’s contracting officials seriously considered not exercising BCI’s option. Finding 27. However, as an alternative the COR had suggested deductions as a way of encouraging BCI to improve its performance. Finding 28. BCI’s unsatisfactory performance continued well into the summer and fall of 2005. Findings 29-32. BCI did not dispute the inadequacies as

they arose; rather, BCI offered explanations with promises of improved performance. Findings 19, 21, 23-27, 29.

Subsequent to the RIF of permanent GSA inspectors, BCI's performance problems persisted. The COR expressed concerns about the sufficiency of the USPO cleaning effort as late as February 10, noting inadequate cleaning of black floor areas and BCI's lack of quality control due to lack of supervisory coverage. Finding 37. Again, BCI, in apparent agreement with respondent's criticism, promised improved performance. Finding 39. Problems with BCI's performance continued with the JCK building as well. *See, e.g.*, Finding 35 (detailing spots throughout the twenty-third floor of the JCK building and heavy dust and debris in the bathrooms).

In March 2006, the COR detailed the continual lack of supervisory coverage that had been at issue for several months. Findings 43, 45. BCI did not disagree with the comments and, once again, agreed to improve its performance. Finding 44. The cleaning of the JCK building continued to be a problem for BCI, which was noted by the COR on March 10. Finding 46. The parties conducted a joint inspection on March 14, with the inspector exercising her independent judgment on the adequacy of the cleaning.⁹ Findings 47, 48. After that inspection, respondent's officials found the lobby floor of the USPO building to be filthy and BCI's improvement plan of February 27 to be ineffective. Finding 48.

The INS floors continued to be a mess, even as late as March 30. Finding 52. Continued inspection in late April 2006, just before BCI canceled the contract under the mutual cancellation clause, showed heavy dust and dirt build-up in the JCK building. Finding 55.

The evidence of record establishes BCI's unsatisfactory performance in both buildings. The ongoing and unremedied failures in cleaning and supervision by BCI justified the findings of unsatisfactory performance and the deductions. BCI has not established by clear and convincing evidence that the COR or any other of respondent's officials retaliated, through use of harsh inspections and the resulting deduction, against BCI for the BCI employee's filing of a sexual harassment complaint. The inspections conducted by respondent's officials and the deficiencies noted were consistent from the commencement of the contract up until BCI's cancellation of the contract. The deficiencies the COR noted in the cleaning of the JCK building and USPO after the filing of the sexual harassment

⁹ The inspector did not read the contract's cleaning standards before the inspection but relied upon her ten years of experience as a custodial inspector when conducting the inspection. Finding 47. BCI has not demonstrated that in conducting the inspection, the inspector applied a standard more stringent than that stated in the contract.

complaint merely continued the COR's pattern of identifying BCI's unsatisfactory performance since the inception of the contract. Additionally, the respondent had considered deductions as a way to spur BCI's improvement in performance as early as April 2005.

We considered the testimony of BCI employees that the post-February 2006 deductions were retaliatory. *See, e.g.*, Transcript at 166-76, 216-17, 279-80. We found this testimony to be conclusory and without further support. We came to a different conclusion after examining the whole record.

Improper deduction claim

BCI has not convinced us that the deduction of April 7, 2006, was improper. BCI's suggestion that respondent was limited by the Inspection of Services clause to the deduction formula is incorrect. The Inspection of Services clause provides that respondent may reduce the contract price by the "reduced value of the services performed." Finding 13. Such a provision gives respondent the right to deduct an amount beyond the itemized rate in the deduction formula set forth in § E, ¶ C of the contract to reflect the actual damage to respondent from having to operate in unclean facilities. *Harbert International Services*, ASBCA 36983, 90-1 BCA ¶ 22,449, at 112,717-18 (1989) (service contract clause allowed agency to assess "all cost" deduction in addition to that specified in deduction formula); *Mutual Maintenance Co. v. General Services Administration*, GSBCA 7637, et al., 91-1 BCA ¶ 23,287, at 116,782 (1990); *Trinity Services, Inc.*, GSBCA 5825, 81-1 BCA ¶ 15,034, at 74,385-85. Consequently, the deductions formula applies when the respondent's contracting officials decide to base deductions on labor hours that would have been necessary to complete the work in a satisfactory manner. However, the Inspections clause does not limit the officials to use only a labor-hours methodology in calculating the "reduced value of the services performed." Here the ACO and COR decided to augment the labor hours methodology because the amount of work BCI had not done would have skewed the deduction. Finding 54. Given that the majority of contract performance at the USPO was unsatisfactory, we find that a 75% reduction was reasonable. The reduction reflected not only the amount it would have taken to complete the work, but the inconvenience and discomfort to building tenants of working in a dirty facility. BCI has not demonstrated that the 75% deduction overstates the reduced value to the Government of the unperformed work.

We do not regard the percentage deduction in this case as punitive. While the deduction was 75% of the invoice for the USPO, it represented only a little more than a 10% reduction from the total contract invoice of \$154,570.09. Finding 53. In the context of the continuing performance deficiencies detailed above, and BCI's promises of improved performance that were not met, noted in findings 21, 24, 39, 44, 49, we cannot conclude that the deduction in this case was inappropriate.

Moreover, we do not find the reasons for the deductions to be vague and non-specific, as appellant argues. The COR was a meticulous record-keeper, and she explained the reasons for the deduction to BCI at length. Findings 48, 53. Having given appellant numerous opportunities to improve its unsatisfactory performance identified well before the filing of the sexual harassment complaint, respondent took this deduction after careful consideration. Findings 37, 39.

Appellant's exercise of the Mutual Cancellation clause

BCI claims it exercised its right per the Mutual Cancellation clause to unilaterally cancel the contract under duress. Finding 57. The elements of duress are: (1) one side involuntarily accepted the terms of the other; (2) circumstances permitted no other alternative; and (3) the circumstances were the result of the coercive acts of the opposite party. *Corners & Edges, Inc. v. Department of Health and Human Services*, CBCA 693, 08-2 BCA ¶ 33,961, at 168,021 (citing *Louisiana Pacific Corp. v. United States*, 656 F.2d 650, 652 (Ct. Cl. 1981)). For government acts to be found coercive, “[s]ome wrongful conduct must be shown, to shift to the defendant the responsibility for bargains made by plaintiff under the stress of financial necessity.” *DKW Construction, Inc., v. General Services Administration*, CBCA 438, 08-1 BCA ¶ 33,755, at 167,093 (2007) (quoting *Johnson, Drake & Piper, Inc.*, 531 F.2d 1037, 1042-43 (Ct. Cl. 1976)). Here the record does not establish a wrongful act by respondent. Additionally, BCI had a number of alternatives other than walking away from the contract. It might have devoted more resources to the contract in order to improve its performance; it could have also challenged respondent's inspection reports and the propriety of the deductions while continuing contract performance.

Finally, appellant has not established what it said it would establish in responding to respondent's motion to dismiss for failure to state a claim—that respondent would have exercised the next option period but for the alleged retaliation. Finding 61. BCI unilaterally canceled the contract ninety-six days before contract expiration. Finding 57. The record does not suggest that respondent had even considered whether or not to exercise the remaining contract options at that time. However, the record does suggest that respondent might not have chosen to exercise the remaining contract option because of BCI's unsatisfactory performance, an option that was considered as early as April 2005, some nine months before the filing of the sexual harassment complaint. Finding 27.

Decision

The appeal is **DENIED**.

ANTHONY S. BORWICK
Board Judge

We concur:

BERYL S. GILMORE
Board Judge

JOSEPH A. VERGILIO
Board Judge

